

Equity Strategy - China (H/A)

2026 Year Ahead: from innovation to broader earnings revival

Equity Strategy

Can innovation drive broader earnings recovery in 2026?

China equities outperformed again in 2025 and investor sentiment improved notably. In 2026, we see limited room (10~15%) for further multiple expansion, supported by potential fund inflows from insurers, Fed easing, and policy catalysts such as the Two Sessions in March and President Trump's planned China visit in April. More importantly, sustained market strength will depend on recovery in corporate earnings and economic fundamentals. While structural challenges such as overcapacity, a property slump, and weak job/income trends persist, innovation-led growth, particularly in AI and advanced manufacturing, could emerge as new growth engines. Whether innovation can offset macro headwinds and drive a broad-based earnings recovery is the key to watch. We continue to recommend a barbell strategy for 2026, favoring growth and higher-beta sectors (eg tech, insurers, materials) in 1Q26, but potentially rotating back to value and yield (banks, traditional consumption), if earnings fail to catch up with share prices.

Market: China outperformed and valuation normalized

MSCI China rallied 28% in 2025 in USD terms, and outperformed global markets again (vs MSCI World: +21%, NASDAQ: +20%), amid China's technological advancement, reduced geopolitical tensions, and strong domestic liquidity. Materials (+114%), Healthcare (+47%) and Communication Services (+43%) were the best performers in MSCI China, while Utilities (-1%), Real Estate (+0.5%) and Staples (+5%) lagged. Forward P/E valuation at 12.4x currently is slightly above its long-term average. Consensus EPS growth forecast of 11-12% for MSCI China in 2026E may see downside risk.

Macro: GDP likely to soften amid structural challenges

China Investment Compass (CIM) should mostly be in the C4/stimulating phase in 2026. Credit growth rose modestly from 8.0% YoY in 2024 to 8.4% in Nov-25, insufficient to qualify as a "strong stimulus", and nominal GDP growth is likely to soften in 2026. Consensus is expecting limited LPR cuts and fiscal stimulus, and some RMB appreciation in 2026. Overcapacity continues to weigh on inflation and investment appetite, while weak jobs and income dampen property and consumer confidence. Structural reforms and targeted fiscal policies are the key to restore confidence.

Model portfolio: prefer media/NBFI/metals to consumers

For 1Q26, we continue to like media & entertainment within internet, and insurers and brokers within financials. We stay bullish on the metals & mining and gold sectors, both strong performers in 4Q25. We raise oil & gas and household durable sectors to the Top-10 list for 1Q26. Conversely, we remain cautious on liquors, real estate, and software sectors, which struggled in 4Q25. We also downgrade several consumer sectors (auto, food, apparel & footwear) and healthcare sectors (biotech and pharma) to our Bottom-10 list in 1Q26, driven mainly by their negative earnings revision trends.

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Glossary

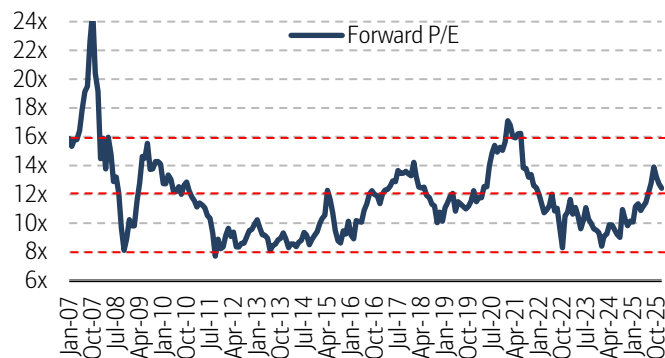
OW: overweight
UW: underweight
ADR: American depositary receipt
CCL: copper clad laminate
CPO: co-packed optics
LFP: lithium iron phosphate
LPR: loan prime rate
MPU: microprocessor unit
NBFI: non-bank financial institution
OSAT: outsourced semiconductor assembly and testing
PCB: printed circuit board
SoC: system on chip

Executive summary: the 3Ms

Market: China outperformed in 2025, amid the US-China trade truce and its technological advancement. MSCI China's forward P/E at 12.4x by end-2025 was slightly above the long-term average of 12x. Earnings growth will be the key driver for 2026.

Exhibit 1: MSCI China's P/E at 12.4x now, above long-term average

Forward P/E valuation of MSCI China Index

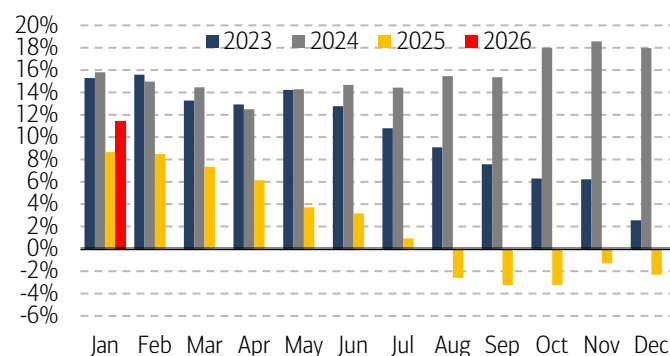


Source: Bloomberg, MSCI

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Exhibit 2: Consensus expects MSCI China EPS to grow 11% in 2026E

Consensus forecast for MSCI China earnings growth



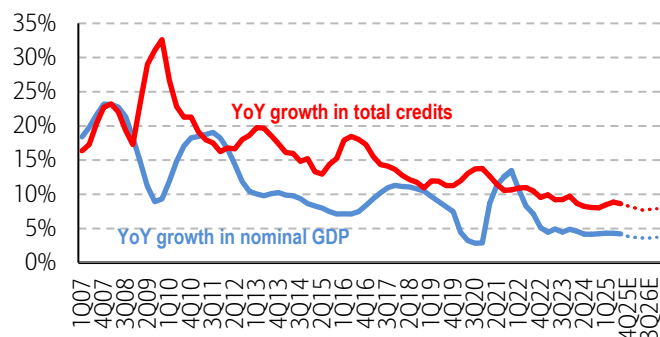
Source: MSCI, FactSet

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Macro: Credit and nominal GDP growth are likely to soften in 2026E. Policy measures to address overcapacity/deflation, and promote job/income outlook are the keys.

Exhibit 3: We expect credit and GDP growth to edge down in 2026E

China's credit growth cycle leads GDP growth

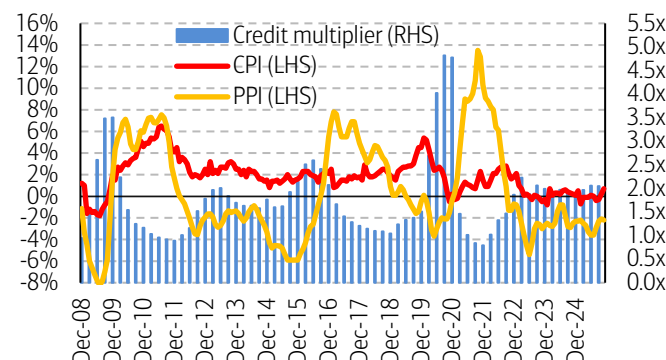


Source: PBOC, CEIC *Total credit include RMB & FX loans, corporate bonds & ABS, government bonds, and trust & entrusted loans

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Exhibit 4: PPI has been negative for over 3 years

China's PPI, CPI and credit multiplier



Source: NBS

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Model portfolio: For 1Q26, we prefer media, NBFI, materials, oil & gas, and household durable sectors, and underweight consumers (liquors, auto, food, footwear), healthcare (pharma & biotech) and property sectors.

Exhibit 5: We prefer media/NBFI/materials sectors and UW consumers, pharma/biotech in 1Q26

China Investment Compass based model portfolio recommendation: 1Q26

#	Overweight Sectors	vs 4Q25	Underweight Sectors	vs 4Q25
1	COM- Media & Interactive Media	✓	CS- Liquors	↓
2	FI- Diversified Financials	✓	CD- Auto	↓
3	EG- Oil & Gas	↑	CS- Food & Personal Products	↓
4	FI- Insurance	✓	HC- Pharmaceuticals	↓
5	MAT- Metals & Mining (ex. gold)	✓	ND- Construction & Engineering	✓
6	ND- Heavy Machinery	✓	RE- Real Estate	✓
7	MAT- Gold	✓	T- Software & Services	✓
8	CD- Household Durables	↑	HC- Biotechnology	↓
9	COM- Interactive Entertainment	✓	CD- Apparel & footwear	↓
10	HC- Life Sciences Tools & Services	✓	MAT- Construction Materials & Paper	↓

Source: BofA GLOBAL RESEARCH *✓ shows sectors on our OW/UW list last quarter; ↑ shows new upgrades, ↓ shows new downgrades

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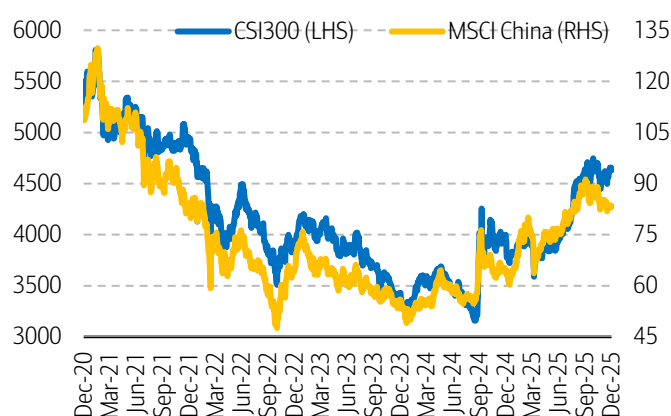
Key themes for 2026

1. Multiple re-rating: some, but limited, upside

China equities rallied another 28% in 2025, or 49% in two years. MSCI China plunged from 130 in Feb-2021 to 48 in Oct-2022, with multiple rebounds ending up in “lower lows”, but it formed a “double bottom” in Jan-24, and has seen “higher lows” since Jan-24 and “higher highs” in 2025. China’s outperformance was partly boosted by fund inflow – peak of US exceptionalism, support from China’s national team, and reversal of the “long India, short China” trade. More fundamentally, it is driven by the turnaround in market expectations on: 1) China’s long-term growth potential, as breakthroughs in AI and other technologies changed China market from “tradeable” to “investable” for long-term investors; 2) China’s proven leverage in global supply chains and reduced fears of China being cut off from global trade and financial systems; 3) Stronger confidence in China’s policy direction and effectiveness.

Exhibit 6: MSCI China achieved “higher highs” in 2025

Performance of MSCI China and CSI300 since 2021

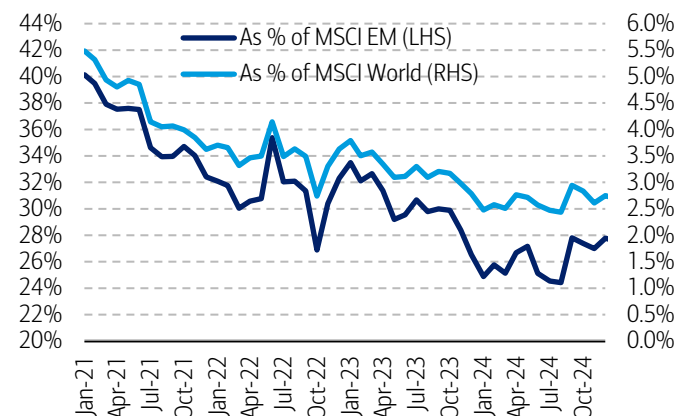


Source: Bloomberg, MSCI

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Exhibit 7: China recovered to 28% of MSCI EM weighting by end 2025

China’s weighting in MSCI EM and World indices



Source: MSCI, FactSet

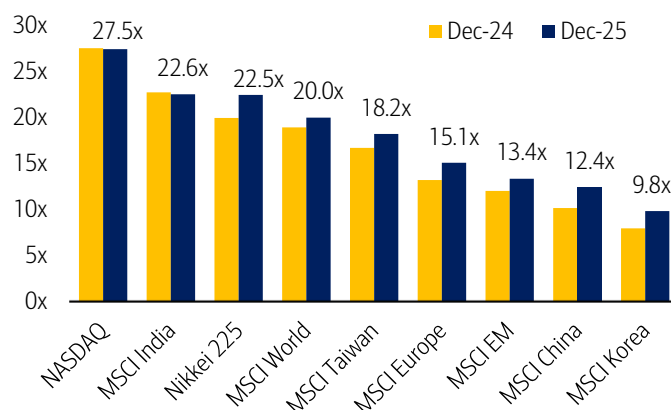
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China’s weighting in the MSCI EM rebounded from 24% in Aug-24 to 28% by end-2025. China remains a large and liquid market that investors should not ignore.

Forward P/E valuation for MSCI China bottomed at 8x in Oct-22 and Jan-24, in line with its historical trough levels seen in 2008 and 2011-14. It rose to 14x in Oct-2025, above its long-term average of 12x, and softened to 12.4x currently. MSCI China remains much cheaper than MSCI India (23x), Nikkei 225 (23x), and MSCI Taiwan (18x).

Exhibit 8: China’s valuation is one of the lowest among major markets

12mth forward P/E comparison of key global markets

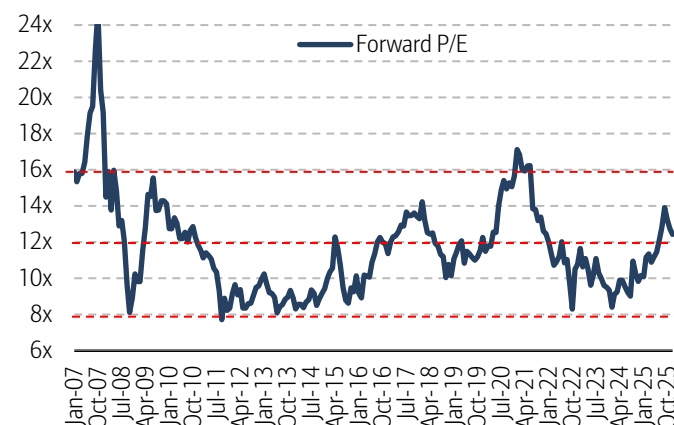


Source: Bloomberg, MSCI

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Exhibit 9: MSCI China’s P/E at 12.4x now is slightly above LT average

Forward P/E valuation of MSCI China Index



Source: Bloomberg, MSCI

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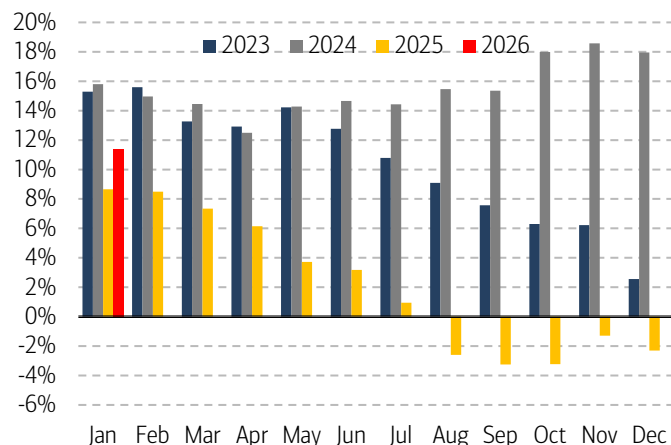


2. Earnings recovery: low visibility

Earnings visibility for 2026E remains low. Consensus EPS growth forecast for MSCI China in 2025E was cut from +9% in Jan-25 to -2% by year-end. For 4,452 A-share companies (ex. STAR board), aggregate earnings rose 5.7% YoY by 9M25, while non-financials grew only 2.1% YoY. For 2026E, consensus projects MSCI China EPS to rise 11.4% YoY, led by significant growth acceleration in auto, healthcare, and IT sectors, and expected turnaround in broadline retail, restaurants, energy, and real estate sectors. However, these forecasts face significant uncertainty, depending on the progress in anti-involution efforts, consumption subsidy policies, and the global AI/tech cycles.

Exhibit 10: Consensus expects MSCI China EPS to grow 11% in 2026E

Consensus forecast for MSCI China earnings growth



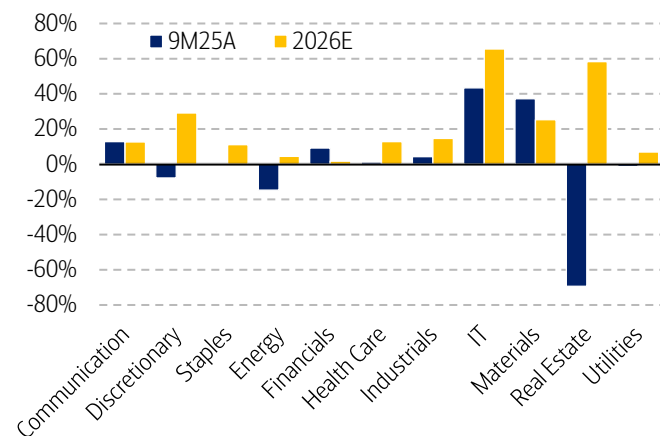
Source: MSCI, FactSet

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Aggregate earnings of the MSCI China constituents rose by 6.1% YoY by 9M25, mostly contributed by two sectors: insurers (accounting for 77% of the total earnings growth) and materials (26%), whereas energy (-25%) and consumer discretionary (-21%) sectors were the biggest drags to earnings growth. Consensus expects the earnings growth to accelerate to 10.2% YoY for FY2025E and further to 11.4% in FY2026E.

Exhibit 12: Consensus expects earnings in consumers, energy, and property sectors to turn around and in IT sector to accelerate in 2026

YoY aggregate earnings growth of MSCI China sectors



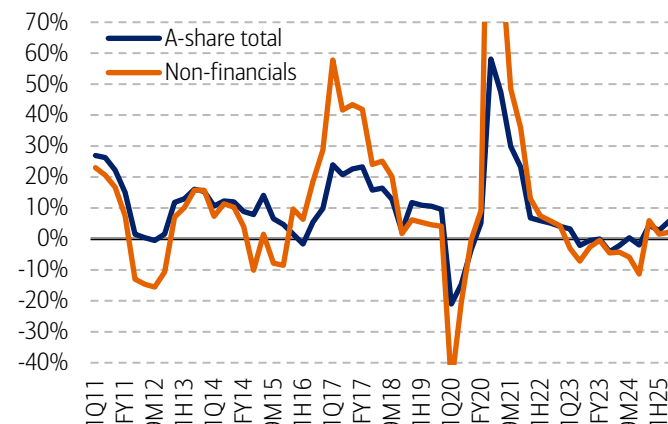
Source: MSCI, FactSet

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As shown in the exhibit below, consensus expectations appear stretched for some sectors. For instance, real estate sector's 9M25 earnings accounted for only 20% of

Exhibit 11: A-share non-financial firms' earnings rose 2% YoY in 9M25

A-share companies' aggregate earnings growth YoY: YTD

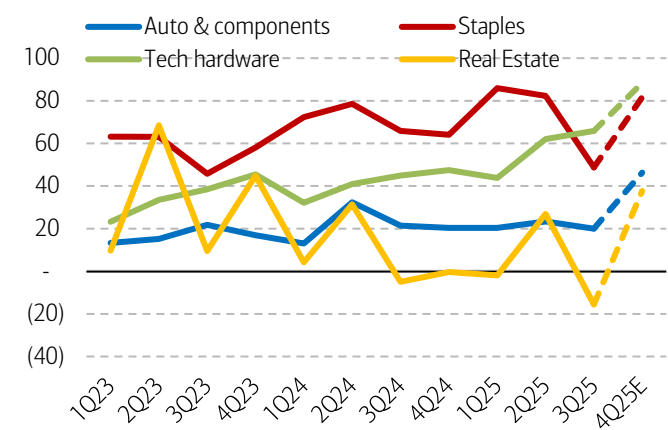


Source: Wind, Company reports

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Exhibit 13: Consensus expects auto, staples, tech hardware and property sectors to show strong QoQ earnings growth in 4Q25

Aggregate quarterly net profits of some key sectors (HKD bn)



Source: MSCI, FactSet

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FY25E, versus 102% achieved in 9M24. Semiconductor sector's 9M25 earnings were just 10% of FY25E, as solar companies are expected to post much smaller losses in 4Q25 and turn profitable in 2026. Autos and auto components, along with consumer staples (mainly liquors), are also expected to see significant turnarounds in 4Q25 and 2026. Meanwhile, tech hardware earnings are projected to accelerate from +45% YoY in 9M25 to +56% for FY25. On the flip side, consensus already factors in slower earnings growth for media and insurance sectors in 2026E.

Exhibit 14: Consensus expectations may see downside risks for sectors such as consumer discretionary, staples, and real estate

MSCI China constituents' earnings analysis by sector

	Aggregate earnings estimates (HKD bn)				Aggregate YoY Growth			9M Earnings as % of FY*		As % of MSCI China total earnings		As % of MSCI China earnings growth	
	2023	2024	2025E	2026E	9M25A	2025E	2026E	2024A	2025E	9M25A	2026E	9M25A	2026E
MSCI China	5,481	5,859	6,456	7,189	6.1%	10.2%	11.4%	76.9%	74.0%	100%	100%	100%	100%
Communication Services	232	329	387	442	12.9%	17.6%	14.0%	74.7%	71.7%	6.8%	6.1%	10.2%	7.4%
Media & Entertainment	212	308	363	412	13.4%	18.0%	13.2%	74.1%	71.2%	6.4%	5.7%	9.8%	6.6%
Telecom	20	21	24	30	5.5%	12.3%	25.1%	83.6%	78.6%	0.4%	0.4%	0.4%	0.8%
Consumer Discretionary	458	623	586	750	-7.8%	-5.8%	28.0%	72.1%	70.6%	10.4%	10.4%	-20.8%	22.4%
Auto & Components	67	87	110	178	-4.7%	26.2%	61.7%	76.7%	57.9%	1.6%	2.5%	-1.1%	9.2%
Broadline Retail	212	307	266	326	-9.4%	-13.5%	22.6%	69.0%	72.3%	5.3%	4.5%	-9.9%	8.2%
Hotels Restaurants & Leisure	44	75	30	42	-39.9%	-60.2%	40.5%	82.4%	124.3%	1.2%	0.6%	-15.5%	1.6%
Household Durables	91	101	111	120	12.1%	10.5%	7.4%	76.7%	77.8%	1.7%	1.7%	4.7%	1.1%
Others	44	53	70	85	11.4%	31.9%	22.9%	59.2%	50.0%	0.0%	1.2%	0.0%	2.2%
Consumer Staples	230	281	299	331	0.1%	6.2%	10.9%	77.1%	72.7%	1.3%	4.6%	0.0%	4.4%
Energy	435	392	355	378	-14.7%	-9.5%	6.7%	82.5%	77.8%	9.0%	5.3%	-25.3%	3.2%
Financials	2,693	2,897	3,169	3,221	9.2%	9.4%	1.6%	78.5%	78.4%	59.1%	44.8%	101.0%	7.0%
Banks	2,273	2,278	2,340	2,407	0.9%	2.7%	2.9%	77.4%	76.1%	38.1%	33.5%	5.0%	9.2%
Insurance	250	419	540	509	29.2%	28.8%	-5.6%	88.8%	89.1%	18.0%	7.1%	77.2%	-4.2%
Financial Services	170	200	290	304	61.2%	45.0%	5.0%	69.1%	76.8%	3.1%	4.2%	18.8%	2.0%
Health Care	114	135	147	167	1.2%	8.7%	13.2%	67.9%	63.3%	1.1%	2.3%	7.3%	2.7%
Industrials	519	565	634	710	4.3%	12.3%	11.9%	73.8%	68.6%	5.5%	9.9%	-2.5%	10.3%
Information Technology	235	168	280	462	43.4%	66.1%	65.4%	72.6%	62.7%	1.8%	6.4%	12.3%	24.9%
Semis & Semi Equip	98	(9)	14	88	-83.2%		536.1%	-89.4%	10.0%	0.0%	1.2%	-1.0%	10.1%
Software & Services	(5)	11	6	11		-45.6%	94.0%	-36.9%	39.2%	0.0%	0.2%	1.4%	0.7%
Tech Hardware & Equipment	141	167	260	364	45.5%	55.9%	39.9%	70.7%	66.0%	1.9%	5.1%	11.9%	14.1%
Materials	262	254	359	455	37.2%	41.1%	26.8%	69.5%	67.6%	3.9%	6.3%	26.1%	13.1%
Real Estate	132	30	47	70	-69.4%	55.7%	48.4%	101.5%	20.0%	-0.7%	1.0%	-9.4%	3.1%
Utilities	172	184	193	203	-1.3%	4.9%	5.5%	84.7%	79.7%	1.8%	2.8%	1.0%	1.4%

Source: MSCI, FactSet *9M vs FY may not be accurate as a small group of stocks do not disclose quarterly earnings, but can compare 2025 vs 2024 for reference

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3. Fundamental challenges: overcapacity and job/income

China's fundamental economy continues to face significant challenges, including prolonged deflation, a sharp slowdown in investment in 2H25, weak consumer confidence, a persistent property market slump, subdued corporate risk appetite, and demographic headwinds. In our view, two structural issues must be addressed to restore sustainable growth:

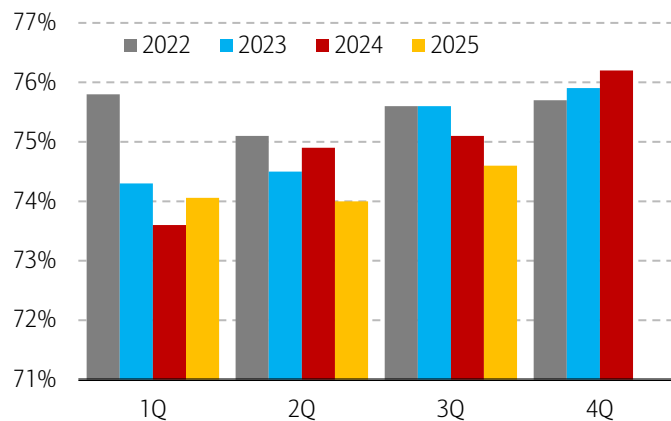
- 1) Reducing over-capacity to improve pricing power and investment appetite, and
- 2) Creating high-paying jobs to boost household income, stabilize confidence, and support domestic consumption.

Industrial capacity utilization stayed below 75% in 9M25, a further decline from 2024 levels. Youth unemployment reached 18.9% in Aug-25, also slightly higher than the same period in 2024.



Exhibit 15: Capacity utilization has been below 75% in 2025

China's industrial capacity utilization rate

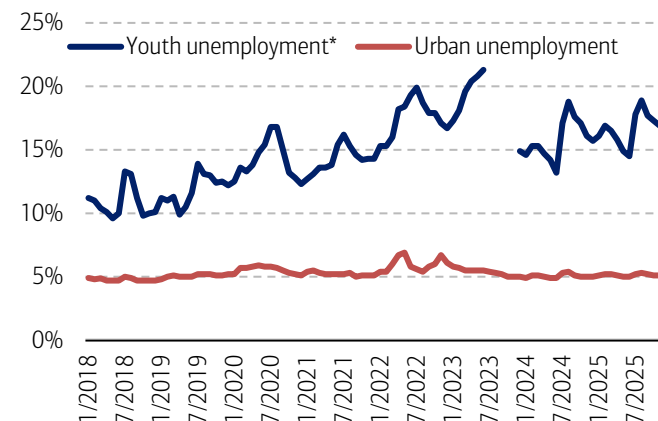


Source: NBS

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Exhibit 16: Youth unemployment remained high at 17% by Nov-25

China: overall unemployment and youth unemployment



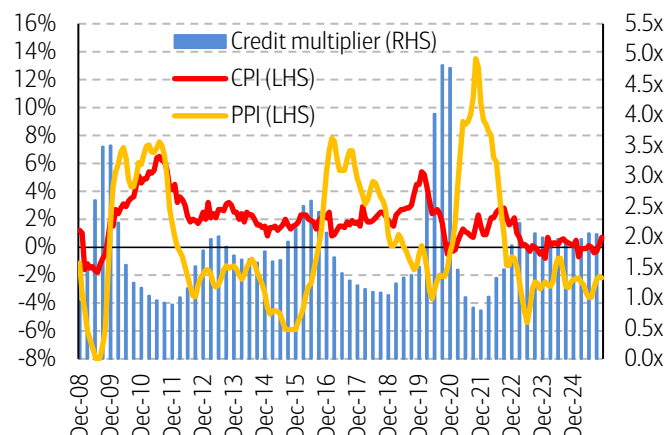
Source: NBS *Scope of youth unemployment narrowed to exclude students after Dec-23

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Overcapacity, deflation, and weak investment: with prevailing overcapacity in both old economy (eg steel, cement) and new economy (eg solar, EV) sectors, producers' pricing power is limited and deflationary trends spread across the economy, eroding corporate margins and profitability. PPI has been negative for over 3 years, and stayed at -2.2% in Nov-25. Based on our credit multiplier, which remains lukewarm, we expect PPI to stay depressed for most of 2026. The margin pressure, together with government's "anti-involution" campaign, dampens private investment appetite. China's Fixed Asset Investment (FAI) growth decelerated notably in 2H25, from 4% YoY growth in May-25 to -2.6% by Nov-25. Despite policymakers' aim to stabilize investment, structural overcapacity and weak demand make it challenging to generate sustainable returns to justify the CAPEX. As we highlighted in our anti-involution report in July-25, "we believe it is more challenging than the supply-side reform in 2015-16, and the boost to China's PPI and corporate earnings may be limited in the near term." We believe more forceful policy measures to boost demand or reduce capacity are needed.

Exhibit 17: PPI has been negative for over 3 years

China's PPI, CPI and credit multiplier

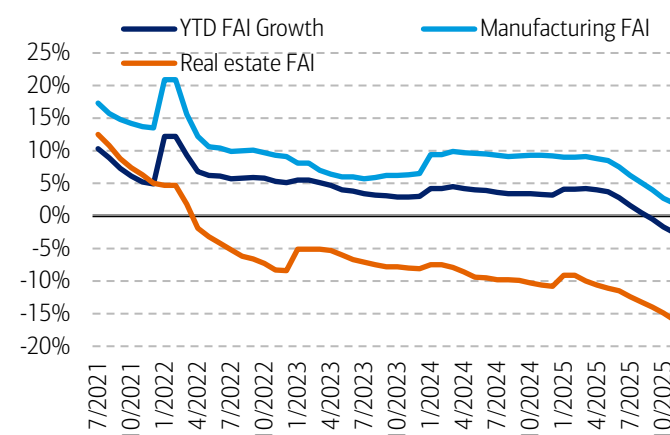


Source: NBS, PBOC, CEIC

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Exhibit 18: FAI growth declined sharply in 2H25

YoY growth of China's Fixed Asset Investment ytd



Source: NBS

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Unemployment, consumer confidence, and property slump: the property slump extended through 2025, with continued double-digit YoY decline in property new starts, projects under construction, and completion, alongside with MoM sequential slide in

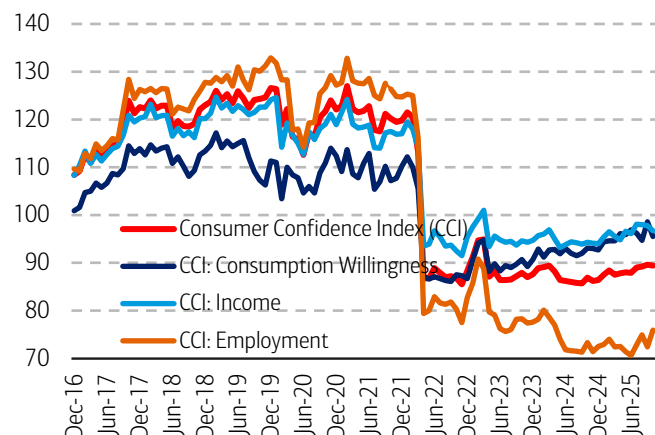


property prices. Government has tried various easing/stimulus measures in the past few years, including rate cuts, mortgage backbook re-pricing, reducing mortgage downpayment, relaxing purchase restriction, encouraging local SOEs to help property de-stocking, “white-list” for developers’ financing, etc., but the policy efforts largely failed to stabilize the market. In our view, a sustainable property market recovery depends on a growing young population with strong earning power; without that, effectiveness of rate cuts or monetary easing is limited, as shown in Japan’s experience.

Consumer confidence remained weak, amid the negative wealth effect from continued property price decline, elevated youth unemployment, and fear of layoffs and pay cuts. In particular, consumer confidence on employment dropped to a record low level in Jun-2025, before climbing up in the past few months.

Exhibit 19: Confidence on employment reached new lows in 2025

China consumer confidence index

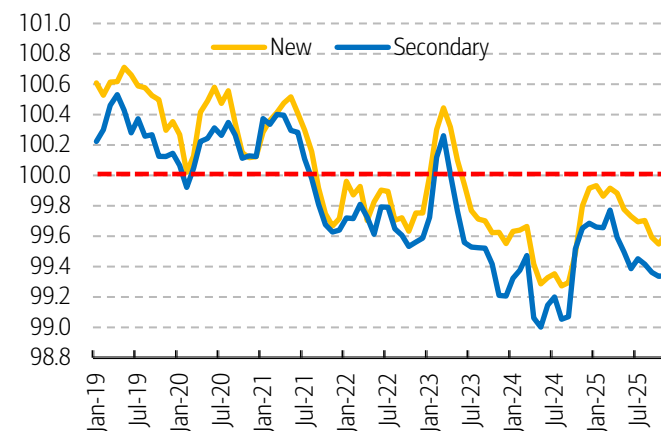


Source: NBS

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Exhibit 20: Property price continued to weaken sequentially in 2H25

Residential property price index (previous month = 100)



Source: NBS

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Fiscal policies that create jobs, support youth employment, and strengthen social safety nets (eg healthcare and eldercare) would help. Alternatively, if technology breakthroughs (eg any AI “killer apps”) can start creating high-paying jobs for young people, that could form the ultimate bull case for the China market.

4. Innovation-driven growth to broaden out

The “DeepSeek moment” in 2025 marked not just a technological breakthrough, but a fundamental shift in China’s innovation narrative. Investor sentiment has flipped 180 degrees, from skepticism (eg “lack of animal spirit”, “brain-drain”, “no new growth drivers”) to confidence in its innovative capabilities. From DeepSeek to humanoid robots and innovative drugs, China’s private sector has proven its competitiveness and ability to propel China’s long-term economic growth. Our report in Feb-2025 noted that the DeepSeek moment transformed Chinese equities from “trade-able” to “investable” for long-term investors. Innovation-driven growth should be a multi-year structural trend, aligned with global AI development and adoption, and supported by domestic policy initiatives. In 2026, we expect the innovation-driven growth to continue and potentially broaden - from upstream, export-oriented firms to downstream themes focusing on localization and application, and from established large-caps to a new wave of IPOs. This shift could diversify growth drivers and create fresh opportunities.

As shown in the table below, leading stocks in the innovative areas (eg AI, robotics, innovative drugs) are projected to see 70-150% YoY earnings growth in 2025E, followed by 50-100% growth in 2026E, much higher than the EPS growth for broader MSCI China or China’s industrial profit growth. Not surprisingly, many of these stocks delivered stellar performance in 2025.



Exhibit 21: Innovative sectors delivered superior earnings growth and share price performance in 2025

Top 20 constituents of the CSI AI, CNI Robotics and CSI Southbound Innovative Drug indices and their key financials

Company	Chinese name	Ticker	Mkt cap USD bn	ADTV USD mn	Profit growth (%)		P/E (x)		P/S (x)		Performance	
					25E	26E	24E	25E	24E	25E	4Q25	2025
CSI AI Index												
Zhongji Innolight Co Ltd	中际旭创	300308 CH	97.0	2,222	101.7	101.3	15.1	31.8	3.4	9.3	51%	396%
Eoptolink Technology Inc Ltd	新易盛	300502 CH	61.3	2,057	229.7	78.9	21.5	25.6	6.2	9.7	18%	424%
Cambricon Technologies Corp Ltd	寒武纪-U	688256 CH	81.8	1,592	592.8	114.6	3,074.8	117.6	86.6	39.6	2%	106%
Dawning Information Industry C	中科曙光	603019 CH	17.9	730	31.8	25.1	40.5	39.6	5.9	7.2	-28%	19%
Montage Technology Co Ltd	澜起科技	688008 CH	19.3	586	57.3	40.6	36.7	42.6	13.7	18.3	-24%	75%
Iflytek Co Ltd	科大讯飞	002230 CH	16.6	349	61.3	40.8	119.6	92.3	4.1	3.6	-10%	4%
Hangzhou Hikvision Digital Tec	海康威视	002415 CH	39.1	259	15.7	14.4	16.7	17.4	2.6	2.6	-4%	1%
OmniVision Integrated Circuits	豪威集团	603501 CH	22.6	362	33.0	31.6	27.5	26.0	4.0	4.3	-16%	21%
Beijing Kingsoft Office Softwa	金山办公	688111 CH	20.4	290	14.0	21.4	68.6	62.3	20.9	20.0	-3%	8%
IEIT Systems Co Ltd	浪潮信息	000977 CH	14.0	619	17.5	35.1	27.3	27.0	0.7	0.5	-11%	29%
Verisilicon Microelectronics S	芯原股份	688521 CH	10.3	349	62.9	164.3	354.3	478.9	8.4	14.8	-25%	161%
Unisplendour Corp Ltd	紫光股份	000938 CH	10.1	311	25.9	24.9	26.7	28.5	0.9	0.6	-18%	-11%
360 Security Technology Inc	三六零	601360 CH	11.2	309	80.6	171.0	1,451.0	507.7	8.1	8.7	-1%	10%
Rockchip Electronics Co Ltd	瑞芯微	603893 CH	10.7	295	83.2	34.3	69.5	51.0	11.7	13.2	-21%	63%
Kunlun Tech Co Ltd	昆仑万维	300418 CH	7.5	388	64.2	118.5	134.1	484.9	8.0	5.8	-14%	8%
Zhejiang Dahua Technology Co L	大华股份	002236 CH	8.9	157	34.2	4.8	12.5	15.0	1.4	1.7	-5%	23%
Sharetronic Data Technology Co	协创数据	300857 CH	8.4	256	63.7	64.9	24.6	30.9	2.6	3.4	-7%	122%
Huizhou Desay Sv Automotive Co	德赛西威	002920 CH	10.3	151	25.0	27.0	21.7	20.9	1.7	1.8	-20%	11%
37 Interactive Entertainment N	三七互娱	002555 CH	7.5	224	13.2	6.6	11.0	16.2	1.7	2.8	10%	60%
Talkweb Information System Co	拓维信息	002261 CH	6.0	437			152.6				-8%	81%
Top 20 avg				597	84.6	58.9	285.3	111.4	10.1	8.8	-7%	80%
CNI Robotic Industry Index												
Zhejiang Shuanghuan Driveline	双环传动	002472 CH	5.8	144	21.6	20.2	20.1	26.6	2.3	3.6	-4%	57%
Ecovacs Robotics Co Ltd	科沃斯	603486 CH	6.7	78	142.2	16.3	17.8	20.2	1.5	2.1	-25%	73%
Leader Harmonious Drive System	绿的谐波	688017 CH	5.0	128	96.3	41.9	145.7	207.7	36.0	45.6	6%	78%
Siasun Robot & Automation Co L	机器人	300024 CH	4.1	127	105.6	714.3	179.5	319.1	5.3	5.7	-7%	1%
Beijing Roborock Technology Co	石头科技	688169 CH	5.6	97	-13.9	41.3	15.6	16.3	3.1	1.7	-28%	-2%
Ningbo Tuopu Group Co Ltd	拓普集团	601689 CH	19.2	420	-3.0	25.1	21.5	35.5	2.4	3.6	-5%	59%
Estun Automation Co Ltd	埃斯顿	002747 CH	3.0	91	108.1	225.3	84.1	97.1	2.7	3.5	-7%	28%
CITIC Heavy Industries Co Ltd	中信重工	601608 CH	4.3	78	7.1	33.3	27.8	54.9	184.9	3.0	22%	58%
Shanghai Moons' Electric Co Lt	鸣志电器	603728 CH	4.3	106	20.2	89.7	110.4	171.0	7.6	9.8	-15%	34%
Shenzhen Inovance Technology C	汇川技术	300124 CH	29.1	380	28.6	20.1	26.0	30.5	3.5	3.7	-10%	29%
Guangdong Topstar Technology C	拓斯达	300607 CH	2.2	106			45.5				-8%	29%
Ningbo Zhongda Leader Intellig	中大力德	002896 CH	2.5	185	17.8	23.0	55.2	167.0	3.9	14.0	-7%	204%
Iflytek Co Ltd	科大讯飞	002230 CH	16.6	349	61.3	40.8	119.6	92.3	4.1	3.6	-10%	4%
Beijing Aerospace Shenzhou Int	航天智装	300455 CH	3.1	147			53.9		4.1		73%	132%
Shenzhen Zhaowei Machinery & E	兆威机电	003021 CH	4.3	124	16.2	24.5	63.9	91.4	9.4	12.7	-9%	68%
Orbtec Inc	奥比中光-UW	688322 CH	5.1	116	321.9	135.2	422.7	107.4	21.6	23.5	-2%	93%
Fulin Precision Co Ltd	富临精工	300432 CH	4.1	190	128.7	69.2	18.7	18.6	1.5	1.4	-25%	53%
SanFeng Intelligent Equipment	三丰智能	300276 CH	1.9	65							-3%	8%
Changchun UP Optotech Co Ltd	奥普光电	002338 CH	2.0	65			57.1				1%	55%
China Southern Power Grid Tech	南网科技	688248 CH	3.6	32	35.5	32.1	28.9	38.4	3.5	4.9	-26%	40%
Top 20 avg				151	68.4	97.0	79.7	93.4	17.5	8.9	-4%	55%
CSI Southbound Innovative Drug Index												
Innovent Biologics Inc	信达生物	1801 HK	16.9	209	1,100.0	227.5	307.1	34.8	5.3	6.8	-21%	108%
BeOne Medicines Ltd	百济神州	6160 HK	37.3	124	156.8	77.5		48.6	4.4	5.8	-13%	64%
Wuxi Biologics Cayman Inc	药明生物	2269 HK	16.7	181	4.9	18.0	17.1	20.2	3.4	4.7	-23%	79%
Akeso Inc	康方生物	9926 HK	13.4	176	34.5	264.9	322.3	156.6	12.8	17.6	-20%	86%
Sino Biopharmaceutical Ltd	中国生物制药	1177 HK	14.9	116	42.3	-3.7	17.4	21.4	1.7	2.9	-24%	96%
CSPC Pharmaceutical Group Ltd	石药集团	1093 HK	12.5	175	17.4	-0.7	9.6	17.6	1.7	3.0	-9%	81%
3SBio Inc	三生制药	1530 HK	7.9	147	341.9	-62.3	6.2	15.3	1.4	4.8	-19%	301%
WuXi AppTec Co Ltd	药明康德	2359 HK	38.5	98	68.2	0.4	14.0	16.2	3.7	5.3	-17%	79%
Hansoh Pharmaceutical Group Co	翰森制药	3692 HK	28.1	48	13.6	7.5	24.4	35.8	7.8	12.3	0%	111%
Sichuan Kelun-Biotech Biopharm	科伦博泰生物-B	6990 HK	11.7	40	-76.0	95.1			21.1	27.1	-24%	140%
Genscript Biotech Corp	金斯瑞生物科技	1548 HK	3.5	35	-97.9	57.1	66.7	36.3	1.6	4.3	-26%	26%
InnoCare Pharma Ltd	诺诚健华	9969 HK	3.1	30	128.5	-75.7		613.6	9.0	9.6	-34%	101%
China Medical System Holdings	康哲药业	867 HK	4.0	13	3.1	18.5	8.1	14.2	2.0	2.9	-8%	76%
Remegen Co Ltd	荣昌生物	9995 HK	5.9	74	76.7	106.3		1,616.2	5.5	11.4	-39%	400%
Ascentage Pharma Group Interna	亚盛医药-B	6855 HK	2.5	34	-106.6	150.4		33.6	25.8	7.2	-32%	15%
Zai Lab Ltd	再鼎医药	9688 HK	2.0	43	46.2	9.3			5.0	3.1	-49%	-35%
XtalPi Holdings Ltd	晶泰控股	2228 HK	5.2	159	93.4	90.4			39.4	38.0	-33%	58%
WuXi XDC Cayman Inc	药明合联	2268 HK	9.8	51	42.3	35.5	31.0	31.1	7.1	8.4	-22%	98%
HUTCHMED China Ltd	和黄医药	13 HK	2.3	25	1,072.5	-84.4	70.8	36.3	3.2	3.4	-18%	-9%
Keymed Biosciences Inc	康诺亚-B	2162 HK	2.1	25	-1.5	9.0			14.7	13.0	-28%	73%
Top 20 avg				90	148.0	47.0	74.6	171.7	8.8	9.6	-23%	98%

Source: CSI, Wind, Bloomberg *Updated as of Dec 31st 2025

So far, global investors have played China AI mainly through ADRs (eg internet platforms, data centers), while domestic investors focused on A-share tech (eg optical module, PCB, chips) and AI infrastructure (eg metals, power supply/storage) stocks. We are also seeing growing interests in China's AI and semi localization stocks (eg AI accelerators, memory, semi equipment), and domestic AI adoption/application stocks (eg industrial/robotics/autonomous vehicles). Stock performance in these sectors should be driven primarily by their technological advancement and ability to build a self-sustaining ecosystem, government policies, and the growth of China's domestic demand, which may be less correlated to the US AI cycle and offer some diversification to a highly concentrated global AI trade. Our [AI tech playbook report in Nov-25 \(link\)](#) also advised investors to seek alpha in the "Battleground" sectors (ie semi equipment, PCB/CCL, optical module/CPO, MPU/SoC and OSAT) for hidden gems and pair-trading opportunities.

5. Continue with barbell strategy

High-yield stocks for defensiveness

We have been advocating the value of defensive high-yield stocks in a barbell strategy since 2023. During the market volatility in 2023-24, these stocks significantly outperformed the broader China indices. In the 2025 China market rally, high-yield names lagged technology and AI infrastructure stocks, but still delivered double-digit return with relatively low beta. For 2026, we remain constructive on high-yield stocks, and have screened 15 stocks with: 1) MSCI China index weighting >0.1%; 2) 2025-26E dividend yield >5%; 3) equity beta <0.9, and 4) ADTV >USD10mn. They are mainly in the financials, energy and utilities sectors.

Exhibit 22: Stocks with 2025-26E dividend yield >5%, MSCI China index weighting >0.1%, beta <0.9, and ADTV >USD10mn, as of Jan 1st 2026

Index-heavy, low-beta stocks with high dividend yield

Name	Chinese name	Ticker	Sector	Mkt cap	ADTV	P/E	P/B	EPS growth		Divi yield		Performance		Weighting
				USD bn	USD mn	(x) 26E	(x) 26E	25E	26E	25E	26E	Total return	Share price	
CCB	建设银行	939 HK	Financials	265.6	266.7	5.4	0.5	-0.2	1.4	5.6	5.7	30.0%	18.7%	3.4
ICBC	工商银行	1398 HK	Financials	376.0	167.5	5.7	0.5	1.3	1.1	5.5	5.5	31.3%	20.7%	1.9
BOC	中国银行	3988 HK	Financials	243.5	132.4	5.5	0.5	-3.7	1.7	5.5	5.7	22.8%	12.3%	1.4
PetroChina	中国石油	857 HK	Energy	263.9	99.9	8.8	0.9	-3.6	-0.1	5.7	5.7	47.0%	37.2%	0.8
China Shenhua	中国神华	1088 HK	Energy	112.4	69.6	13.3	1.6	-15.0	0.0	5.7	5.6	27.7%	15.5%	0.6
CITIC Bank	中信银行	998 HK	Financials	58.2	32.2	5.1	0.5	-0.8	2.7	5.5	5.7	36.2%	29.2%	0.3
Bank of Communications	交通银行	3328 HK	Financials	84.4	23.7	5.6	0.4	-8.8	-0.9	5.6	5.7	10.4%	0.9%	0.3
China Resources Power	华润电力	836 HK	Utilities	11.5	34.4	5.9	0.8	-6.4	8.3	6.2	6.8	-3.4%	-8.3%	0.2
COSCO SHIPPING	中远海控	1919 HK	Industrials	32.5	47.2	10.0	0.8	-35.1	-37.3	8.0	5.1	21.9%	7.4%	0.2
Guotai Haitong Securities	国泰海通	2611 HK	Financials	49.0	43.8	9.3	0.7	20.5	-3.3	5.4	5.5	54.6%	49.1%	0.1
Yankuang Energy	兖矿能源	1171 HK	Energy	16.3	46.7	8.1	1.0	-31.2	11.2	6.0	6.3	17.1%	7.5%	0.1
Industrial Bank	兴业银行	601166 CH	Financials	63.8	236.2	5.7	0.5	2.7	2.2	5.0	5.1	15.0%	9.9%	0.14
Minsheng Bank	民生银行	1988 HK	Financials	23.6	21.4	5.5	0.3	3.6	-1.7	5.3	5.5	20.0%	14.2%	0.12
Huaneng Power	华能国际	902 HK	Utilities	15.2	24.6	6.2	0.7	80.4	1.2	7.9	8.0	42.2%	33.9%	0.11
Tingyi	康师傅控股	322 HK	Consumer Staples	8.5	15.1	13.1	3.9	13.3	6.7	7.1	7.6	23.3%	16.5%	0.11

Source: Bloomberg *Note: This is not a recommended list either individually or as a group of stocks. Investors should consider the fundamentals of the companies and their own individual circumstances/objectives before making any investment decisions

BofA GLOBAL RESEARCH

Innovative stocks for China domestic demand

Below is a list of our fundamental sector analysts' top picks of innovative companies that have relatively low reliance on exports. These companies are well positioned to benefit from China's domestic growth drivers and structural themes, with limited vulnerability to trade tensions and external demand (eg the US AI cycle). They are mainly in the internet, industrial automation/robotics, power grid, healthcare, semis and software/cloud/data center sectors.



Exhibit 23: Innovative companies focused on domestic markets are mainly in internet, auto, healthcare, power, semis and software sectors

Our analysts' top picks of innovative companies that have <20% revenue exposure from overseas markets

Name	Chinese name	Ticker	Category	Mkt cap	ADTV	EPS growth		P/E (x)		P/S (x)		Performance (%)		Export exposure		Analyst
				USD bn	USD mn	25E	26E	24YE	25YE	24YE	25YE	3M	2025	Overseas	US	
Tencent	腾讯	700 HK	Internet	702.6	1328.8	19.3	13.4	15.2	16.9	5.1	5.9	-9.7	44.9	15-20%	5-10%	Liu, Alex
Alibaba	阿里巴巴	9988 HK	Internet	350.2	1940.8	-17.9	27.8	8.9	17.7	1.4	2.2	-19.3	76.2	15-20%	<5%	Ju, Joyce
Baidu	百度	9888 HK	Internet	47.4	230.3	-25.2	8.6	8.4	16.3	1.6	2.4	-1.3	59.0	<5%	Minimal	Zhuang, Miranda
Inovance	汇川技术	300124 CH	Industrials	29.1	380.2	28.6	20.1	26.0	30.5	3.5	3.7	-10.1	29.4	6%	0-2%	Lee, Ming Hsun
Xpeng	小鹏汽车	9868 HK	Auto	19.5	211.4	80.1	309.3		58.4	1.1	1.2	-14.8	70.1	15-20%	0%	Lee, Ming Hsun
Shuanghuan	双环传动	002472 CH	Auto	5.8	144.1	21.6	20.2	20.1	26.6	2.3	3.6	-4.4	56.6	17%	2-3%	Liang, Fiona
Hesai	禾赛科技	HSAL US	Auto	3.5	66.9	2895.0	54.2	63.7	33.9	3.0	5.4	-20.3	62.1	15-20%	10%	Lo, Jessie
RoboSense	速腾聚创	2498 HK	Industrials	2.2	42.4	51.6	146.5		160.3	4.4	4.6	-13.4	19.2	5-10%	5-10%	Yang, Joey
Zhongtian Tech	中天科技	600522 CH	Power Grid	8.8	242.2	14.4	24.3	11.7	15.3	0.9	1.0	-4.2	29.2	15%	0%	Tsang, Gary
Orient Wires & Cables	东方电缆	603606 CH	Power Grid	5.9	73.6	50.1	34.7	19.2	20.1	3.2	3.0	-15.4	14.8	8%	0%	Tsang, Gary
Innovent	信达生物	1801 HK	Healthcare	16.9	208.9	1100.0	227.5	307.1	34.8	5.3	6.8	-20.9	108.3	11%	2%	Li, Bo (David)
United Imaging	联影医疗	688271 CH	Healthcare	14.8	101.9	50.1	25.9	45.9	43.1	7.5	6.8	-17.2	-0.6	19%	7%	Sun, Sandra
AMEC	中微公司	688012 CH	Semi	24.4	480.3	30.6	49.9	46.2	53.4	10.0	10.6	-8.8	44.4	5%	0%	Shen, Dai
Horizon Robotics	地平线机器人	9660 HK	Semi	16.3	221.9	-268.2	54.2			13.5	18.9	-9.6	140.6	<5%	0%	Li, Daley
Rockchip	瑞芯微	603893 CH	Semi	10.7	295.2	83.2	34.3	69.5	51.0	11.7	13.2	-21.0	62.9	<5%	0%	Li, Daley
InnoScience	英诺赛科	2577 HK	Semi	9.2	69.0	30.5	77.1				25.3	-10.7	150.9	15%	<5%	Li, Daley
GDS	万国数据	9698 HK	Software	6.9	38.5	250.7	-110.9			2.5	3.8	-15.9	47.8	0%	0%	Li, Daley
Kingdee	金蝶国际	268 HK	Software	6.1	66.6	189.8	211.1	140.6	106.5	3.8	5.3	-24.1	55.8	<5%	0%	Li, Daley
Kingsoft Cloud	金山云	3896 HK	Software	3.2	85.5	24.2	24.6	28.6		2.5	2.0	-32.9	-7.6	0%	0%	Li, Daley
VNET	世纪互联	VNET US	Software	2.3	50.8	-507.5	213.5	63.5	106.5	1.0	1.4	-18.1	78.5	0%	0%	Li, Daley

Source: Bloomberg, company reports

BofA GLOBAL RESEARCH

Innovative stocks with significant export exposure

Below is a list of our fundamental sector analysts' top picks of innovative companies with strong global reach and substantial export exposure. These businesses are well-positioned to capture international demand, including the US AI capex cycle. They are mainly in the industrial automation/robotics, drug discovery, medical devices, power supply/storage, and semi/hardware/software sectors.

Exhibit 24: Innovative companies with significant export exposure are mainly in healthcare, industrials and tech sectors

Our analysts' top picks of innovative companies that have >20% revenue exposure from overseas markets

Name	Chinese name	Ticker	Category	Mkt cap	ADTV	EPS growth		P/E (x)		P/S (x)		Performance (%)		Export exposure		Analyst
				USD bn	USD mn	25E	26E	24YE	25YE	24YE	25YE	3M	2025	Overseas	US	
Tuopu	拓普集团	601689 CH	Auto	19.2	420.2	-3.0	25.1	21.5	35.5	2.4	3.6	-4.7	59.2	25-30%	20-25%	Yang, Joey
Wuxi AppTec	药明康德	2359 HK	Healthcare	38.5	97.8	68.2	0.4	14.0	16.2	3.7	5.3	-16.8	79.3	85%	69%	Li, Bo (David)
BeOne	百济神州	ONC US	Healthcare	37.7	99.0	160.5	114.9	843.4	47.1	4.4	6.0	-10.8	64.5	66%	52%	Li, Bo (David)
Hansoh	翰森制药	3692 HK	Healthcare	28.1	47.9	13.6	7.5	24.4	35.8	7.8	12.3	0.1	111.1	20%	NA	Li, Bo (David)
Mindray	迈瑞医疗	300760 CH	Healthcare	33.0	238.7	-13.2	13.4	19.5	20.1	6.8	5.9	-22.0	-23.8	50%	6-7%	Sun, Sandra
Hengli Hydraulic	恒立液压	601100 CH	Industrials	21.1	141.8	13.7	18.1	22.7	43.8	6.3	11.9	15.2	111.1	22%	5%	Lee, Ming Hsun
UBTECH	优必选	9880 HK	Industrials	8.2	160.4	21.0	33.1			9.3	19.7	-18.0	129.8	34%	0-5%	Lee, Ming Hsun
Himile	豪迈科技	002595 CH	Industrials	9.7	33.6	22.1	18.3	18.1	23.1	4.2	5.2	42.6	69.5	42%	6%	Liang, Fiona
Megmeet	麦格米特	002851 CH	Industrials	7.1	292.2	-15.6	111.6	36.0	58.3	3.2	3.8	16.3	46.7	33%	2%	Liu, Yikai
GeekPlus	极智嘉	2590 HK	Industrials	3.8	12.0		232.5		76.7		6.2	-25.8	30.2	72%	26%	Wang, Summer
Sungrow	阳光电源	300274 CH	Industrials	50.7	1511.8	33.4	17.4	11.7	20.5	1.5	3.1	6.3	137.2	47%	15-20%	Zhao, Matty
Sieyuan	思源电气	002028 CH	Industrials	17.2	136.4	39.8	31.1	22.0	32.0	3.0	4.7	41.8	114.1	20%	NA	Zhao, Matty
OmniVision	韦尔股份	603501 CH	Semi	22.6	361.9	33.0	31.6	27.5	26.0	4.0	4.3	-16.4	21.2	<30%	<10%	Shen, Dai
JCET	长电科技	600584 CH	Semi	9.4	345.0	5.6	41.5	26.6	27.4	1.8	1.5	-16.6	-9.6	81%	64%	Shen, Dai
Montage	澜起科技	688008 CH	Software	19.3	585.6	57.3	40.6	36.7	42.6	13.7	18.3	-23.8	74.6	71%	<5%	Li, Daley
Meitu	美图公司	1357 HK	Software	4.1	102.7	53.5	36.0	14.6	23.1	2.8	5.8	-24.5	144.4	32%	<10%	Zhuang, Harry
Victory Giant	胜宏科技	300476 CH	Tech Hardware	35.8	1657.8	331.0	80.5	19.7	27.6	2.4	7.7	0.7	586.0	50%	45%	Zhu, Katherine

Source: Bloomberg, company reports

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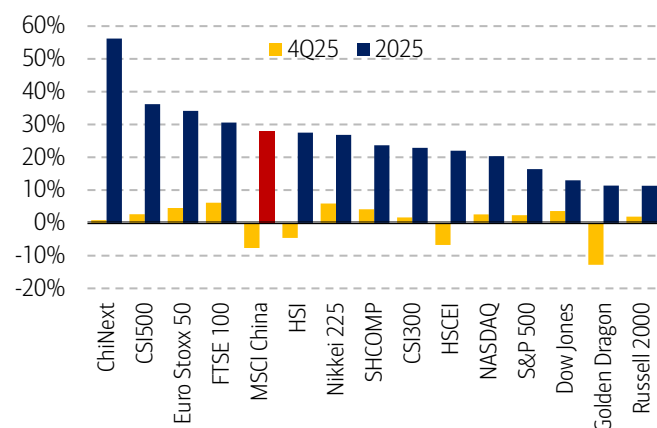


Market: another strong year in 2025

Market performance review

China market wrapped up its second consecutive year of double-digit returns in 2025 (MSCI China +28% vs. +16% in 2024). The strong performance was mainly driven by valuation multiple expansion, thanks to the improved confidence on: 1) China's AI and innovative capabilities and long-term growth potential, 2) China's leverage in the global trade and financial systems, and 3) strong domestic liquidity and policy support. In USD terms, ChiNext, CSI500 and Euro Stoxx 50 were the best performing major indices in 2025 (up by 30-60%), while Russell 2000, Nasdaq Golden Dragon and Dow Jones lagged (up by 10-13%). Within MSCI China, Materials (+113.7%), Healthcare (+46.9%) and Communication Services (+43.3%) were the best performing sectors in 2025, while Utilities (-1.0%), Real Estate (+0.5%), and Consumer Staples (+4.6%) underperformed.

Exhibit 25: ChiNext, CSI500 and Euro Stoxx 50 outperformed in 2025 while Russell 2000, Nasdaq Golden Dragon and Dow Jones lagged
Comparison of key global market performance



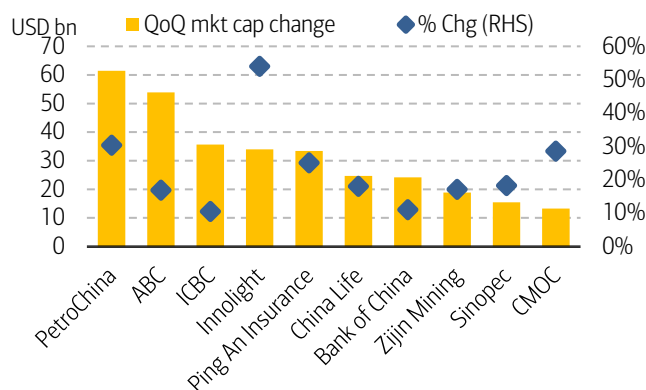
Source: Bloomberg, MSCI *Net return excluding dividend

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Market sentiment turned more defensive in 4Q25, after the strong rally in 3Q pushing MSCI China's P/E valuation to nearly 14x. MSCI China Index corrected 8% in 4Q, and underperformed other major markets, while SHCOMP/CSI300 rose another 2-4%. Energy, financials and material stocks were among the top market cap gainers in 4Q25, while internet, auto, and consumer stocks were among the top market-cap losers.

Exhibit 27: Energy, financials and material stocks were among the top market cap gainers

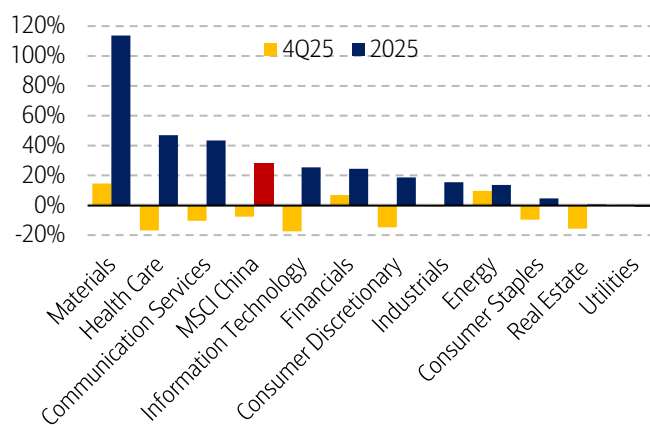
Top 10 market cap gainers in MSCI China (4Q25)



Source: Bloomberg, MSCI

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Exhibit 26: Materials, Healthcare, Communication Services outperformed, while Utilities, Real Estate and Consumer Staples lagged
Comparison of MSCI China sector performance

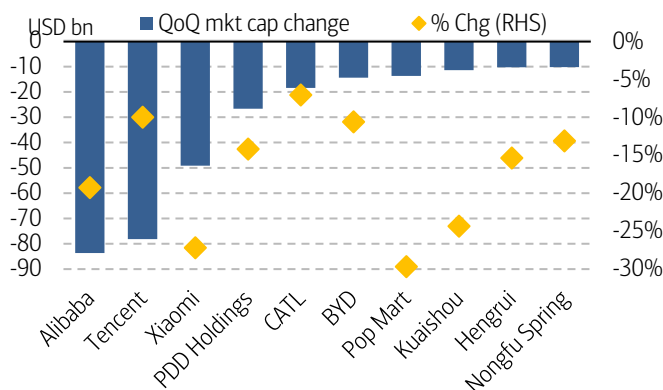


Source: Bloomberg, MSCI *Net return excluding dividend

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Exhibit 28: Internet, auto and consumer stocks were among the top market cap losers

Top 10 market cap losers in MSCI China (4Q25)



Source: Bloomberg, MSCI

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China's 15th Five Year Plan highlighted tech leadership and economic rebalancing. The Central Economic Work Conference (CEWC) in Dec also confirmed that demand revival will be at the core in 2026, highlighting unified national market (anti-involution, fair competition, etc.). Policymakers seem to be doubling down on tech localization while prioritizing consumption and investment boost to help domestic demand.

In terms of consumption boost, the 2026 consumer goods trade-in scheme indicated a tighter focus – from the RMB62.5bn initial fiscal support (vs. RMB75bn each batch in 2025), to cutbacks on home appliance subsidies (eg reduced product categories from 12 to six, smaller per-customer rebate). Auto trade-in rebates will be tied to prices (6-12% rebate, vs. flat-rate subsidy), potentially shifting benefits towards mid-to-high-end brands from entry-level brands previously. In addition, central fiscal support of up to RMB400mn per city will be granted to 50 select regions to boost new consumption.

On investment, central government has ramped up efforts through new policy financing tools, government investment funds, and private capital. MOF in Oct directed RMB200bn of unused local government debt quota to drive government-backed investment at the provincial level. RMB500bn of new policy financing tool has been allocated to over 2,300 projects by Oct, to drive RMB7tn investments in digital economy, AI, consumption infrastructure and urban renewal fields. In early Nov, State Council said to allow private stake of >10% in profitable projects in railways, nuclear power, energy pipeline, etc. sectors. However, Nov new loan growth suggested subdued credit demand and limited traction of recent easing.

On AI and tech localization, domestic foundries such as SMIC are guided by regulators to secure “50% domestic equipment” for new fab investments. CSRC also underlined STAR/ChiNext reforms to boost capital market inclusiveness, allowing pre-profit tech listings. AI accelerator firms like Huawei, Alibaba, and Baidu announced domestic AI chip roadmaps, targeting multi-million-unit production by 2026, leveraging SMIC's 7nm process and home-grown high-bandwidth memory integration. Alibaba mulled big revamp of its flagship “Qwen” model to rival ChatGPT. In late Nov, Singapore picked Alibaba's Qwen to drive regional language model. In early Dec, DeepSeek launched V3.2.

China's anti-involution campaign continued to disrupt supply-demand balance, with notable supply tightness in battery materials such as lithium and LFP since July. Meanwhile, seasonal and AI-driven demand surged across energy storage, grid investment, and AI data centers in 4Q25, boosting upstream pricing power in lithium-related businesses. In early Dec, leading LFP suppliers agreed to raise processing fees and announced a one-month production halt in Jan-26 for maintenance, following margin pressure from rising raw material costs and downstream pushback. These unusual dynamics are expected to persist in the near term, supporting potential price recovery and incentivizing downstream capacity expansion or new investments in profitable segments. For 2026, capacity control remains a top priority to stabilize growth across 10 key sectors: steel, nonferrous metals, petrochemicals, chemicals, construction materials, machinery, auto, electrical equipment, light industry, and electronic information manufacturing.

Worries on property market continued in 4Q25, after local media reports on banks auctioning foreclosed properties at discounted price and Vanke's delayed onshore bond payment. Bloomberg report on potential mortgage subsidies also fueled easing expectations. However, Dec CEWC meeting downplayed property stimulus.

On US-China relations, the Trump-Xi meeting in Oct signaled reduced trade uncertainty, with the U.S. agreeing to lower overall tariffs on China from 57% to 47% by cutting fentanyl-related tariffs by 10% and suspending the 24% reciprocal tariff for another year. Both sides also agreed to delay certain export controls, such as the U.S. affiliates rule and China's rare earth curbs, and punitive port fees for one year. In mid-Dec, a TikTok deal was finalized, allowing ByteDance to retain algorithm IP rights. By year-end, U.S. policy focus reportedly shifted toward maintaining trade truce ahead of Trump's



planned China visit in Apr-2026, with China chip tariffs postponed until Jun-2027. Meanwhile, China had purchased over half of its pledged U.S. soybean imports by Dec (7mn vs. 12mn tons), and rare earth shipments rose 13% MoM in Nov under a new licensing regime. However, tensions persist over advanced chip access and sensitive tech: Trump approved conditional easing on Nvidia H200 sales to China, but faced pushback from the US lawmakers through the proposed bills (eg SAFE CHIPS Act and the RESTRICT Act). The US FCC (Federal Communications Commission) also banned new drones from DJI (which accounts for 70–90% of U.S. drone market) and Autel Robotics.

Exhibit 29: China markets outperformed US in 2025. Within China, ChiNext, CSI500 and MSCI China outperformed NASDAQ Golden Dragon, HSCEI and CSI300

Performance comparison (net return in USD terms, as of Dec 31)

	Current level	Performance (%)								Ranking										
		1M	3M	6M	12M	YTD	3yr	5yr	10yr	1M	3M	6M	12M	YTD	3yr	5yr	10yr			
Major indices																				
S&P 500	6,846	-0.1	2.3	10.3	16.4	16.4	78.3	82.3	234.9	9	8	10	12	12	2	1	2			
Dow Jones	48,063	0.7	3.6	9.0	13.0	13.0	45.0	57.0	175.8	7	5	11	13	13	6	3	3			
NASDAQ	23,242	-0.5	2.6	14.1	20.4	20.4	122.1	80.3	364.2	10	7	7	11	11	1	2	1			
Euro Stoxx 50	5,791	3.3	4.5	9.0	34.1	34.1	67.3	56.5	91.4	5	3	12	3	3	3	4	6			
FTSE 100	9,931	3.8	6.2	11.2	30.6	30.6	48.2	51.5	45.3	3	1	8	4	4	5	5	7			
Nikkei 225	50,339	0.1	5.9	14.7	26.8	26.8	61.7	21.1	104.0	8	2	5	7	7	4	7	5			
Russell 2000	2,482	-0.7	1.9	14.1	11.3	11.3	40.9	25.7	118.5	11	9	6	15	15	7	6	4			
MSCI China	83	-1.5	-7.7	10.8	28.0	28.0	29.1	-23.8	39.0	13	14	9	5	5	11	14	8			
NASDAQ Golden Dragon	7,530	-3.4	-12.8	2.6	11.3	11.3	12.3	-51.5	-1.6	15	15	15	14	14	15	15	13			
HSI	25,631	-0.9	-4.6	7.4	27.5	27.5	29.9	-6.2	16.4	12	12	13	6	6	10	11	9			
HSCEI	8,914	-2.3	-6.8	3.6	22.0	22.0	33.2	-17.3	-8.1	14	13	14	10	10	9	13	14			
SHCOMP	3,969	3.3	4.2	18.1	23.7	23.7	26.8	6.7	4.1	6	4	4	8	8	12	9	12			
CSI300	4,630	3.5	1.7	20.6	22.9	22.9	18.0	-17.0	15.2	4	10	3	9	9	14	12	10			
CSI500	7,466	7.5	2.6	29.4	36.2	36.2	25.7	9.5	-9.0	1	6	2	2	2	13	8	15			
ChiNext	3,203	6.2	0.8	52.5	56.2	56.2	34.7	0.9	9.6	2	11	1	1	1	8	10	11			
Asset classes																				
Gold USD Spot	4,319	1.9	11.9	30.8	64.6	64.6	136.8	127.5	307.1	2	2	1	1	1	2	2	2			
Crude oil, Brent	61	-3.7	-9.2	-10.0	-18.5	-18.5	-29.2	17.5	63.2	5	5	5	6	6	6	5	5			
Iron ore, Dalian	808	1.2	2.9	14.4	8.3	8.3	-7.0	-30.1	108.2	3	4	2	4	4	5	6	4			
Copper, CMX	568	9.6	17.0	13.0	41.1	41.1	49.1	61.5	166.1	1	1	3	2	2	3	3	3			
Bloomberg Commodity Index	110	-0.7	4.8	7.5	11.1	11.1	-2.8	40.5	39.6	4	3	4	3	3	4	4	6			
Bitcoin USD Spot	87,648	-3.9	-23.5	-18.5	-6.5	-6.5	429.9	202.3	20,183	6	6	6	5	5	1	1	1			
MSCI China subsectors																				
										Relative to MSI China										
Communication Services	171	-1.4	-10.4	17.4	43.3	43.3	69.9	-1.0	28.3	0.1	-2.7	6.6	15.3	15.3	40.9	22.8	-10.7			
Consumer Discretionary	209	-3.5	-14.8	8.1	18.7	18.7	11.3	-45.6	9.4	-2.1	-7.1	-2.7	-9.4	-9.4	-17.7	-21.7	-29.6			
Consumer Staples	1,049	-4.9	-9.6	0.2	4.6	4.6	-29.2	-52.4	19.0	-3.5	-2.0	-10.7	-23.4	-23.4	-58.3	-28.6	-20.0			
Energy	632	-0.8	9.6	18.4	13.6	13.6	50.0	108.3	70.8	0.6	17.3	7.6	-14.4	-14.4	20.9	132.1	31.8			
Financials	558	0.2	6.8	6.1	24.4	24.4	53.2	15.3	25.1	1.6	14.5	-4.7	-3.6	-3.6	24.2	39.1	-13.9			
Health Care	190	-9.1	-16.9	10.1	46.9	46.9	-8.0	-45.4	29.5	-7.6	-9.2	-0.8	18.9	18.9	-37.0	-21.6	-9.5			
Industrials	124	1.5	-0.9	15.8	15.4	15.4	12.5	-5.0	-8.2	3.0	6.8	4.9	-12.6	-12.6	-16.5	18.8	-47.2			
Information Technology	952	0.5	-17.5	-4.7	25.4	25.4	67.1	-23.5	190.9	2.0	-9.8	-15.5	-2.6	-2.6	38.0	0.3	151.9			
Materials	1,563	12.4	14.6	71.7	113.7	113.7	85.2	44.3	197.1	13.9	22.3	60.8	85.6	85.6	56.1	68.2	158.1			
Real Estate	417	-7.9	-15.7	-5.2	0.5	0.5	-39.0	-72.3	-58.3	-6.4	-8.0	-16.0	-27.5	-27.5	-68.1	-48.5	-97.3			
Utilities	559	-4.1	0.5	1.2	-1.0	-1.0	-4.4	-16.7	-1.9	-2.6	8.1	-9.6	-29.1	-29.1	-33.4	7.2	-40.9			

Source: Bloomberg, MSCI *Net return excluding dividend

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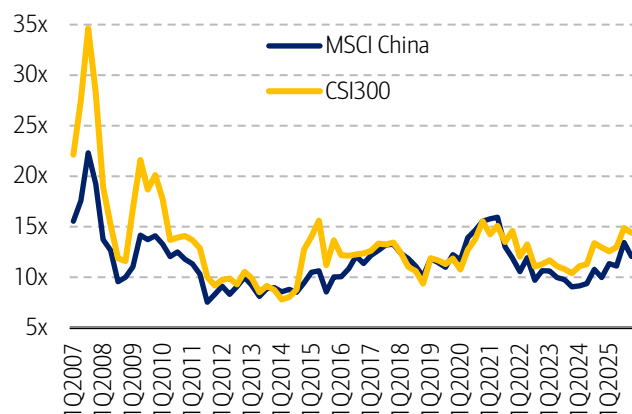


Valuation and earnings revision

The average 12-month forward P/E valuation rebounded to 14.4x for the CSI 300 and over 12x for the MSCI China Index as of 4Q25, which were at 8% and 5% premium to their long-term average levels, respectively. As of 4Q25, more than half of the major MSCI China sectors were below their long-term average P/E levels. Real Estate and IT sectors were at 38-39% premium to long-term P/E levels. Consumer Staples and Energy sectors had the largest discount, at 26% and 15% below their long-term average valuations, respectively.

Exhibit 30: PE is at >14x for CSI 300 and >12x for MSCI China

Forward P/E valuation of China market indices



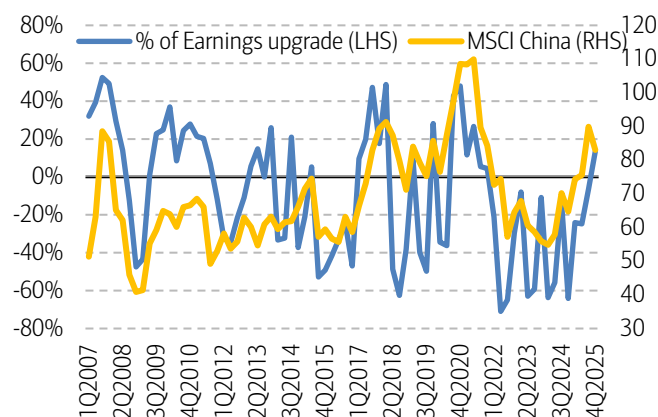
Source: Bloomberg, MSCI

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In 4Q25, consensus earnings were revised up by 1.6% QoQ for the MSCI China Index, a recovery from the downward revision in the previous three quarters. Within MSCI China, net earnings upgrades accounted for 13% of companies. Communications and Financials had 56%-64% of net earnings upgrades, while Consumer Staples and Consumer Discretionary had 29% and 8% of net earnings downgrades, respectively.

Exhibit 32: Net earnings upgrade accounted for 13% of total companies in 4Q25

MSCI China performance vs index earnings revision QoQ

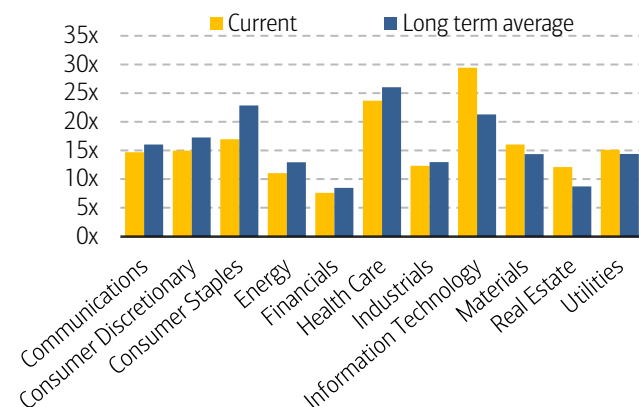


Source: Bloomberg, MSCI

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Exhibit 31: Real estate and IT are above their long-term P/E levels

Forward P/E valuation of major MSCI China sectors

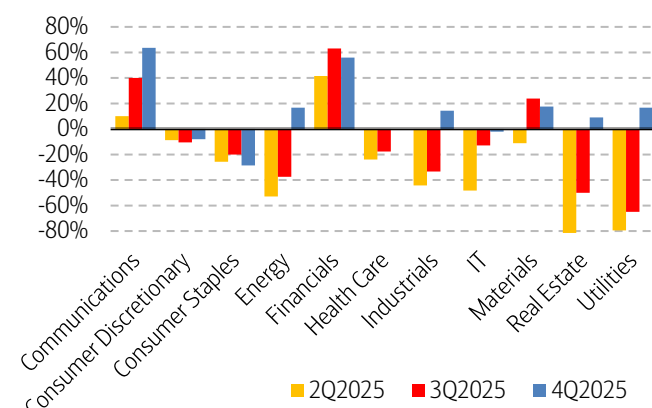


Source: Bloomberg, MSCI

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Exhibit 33: Financials and communications saw the highest net upgrade, while consumer sectors saw the most downgrade in 4Q25

Percentage of companies that had net earnings upgrade



Source: Bloomberg, MSCI

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Macro: structural challenges remain

China Investment Compass (CIM) swayed between the C1/recovering and the C4/stimulating phases in 2H24-2025, as nominal GDP growth fluctuated around 4.2-4.3%, while monetary policy remained loose. In 2026, we expect nominal GDP growth to soften modestly, and CIM will probably stay in the C4 phase. China equity markets could see more upside in 1H26, supported by positive catalysts such as the seasonally strong liquidity from the insurers' equity allocation, the Two Sessions, and President Trump's planned China visit in April. However, if policy supports and technological breakthroughs fail to translate into an earnings recovery, market volatility could increase in 2H26.

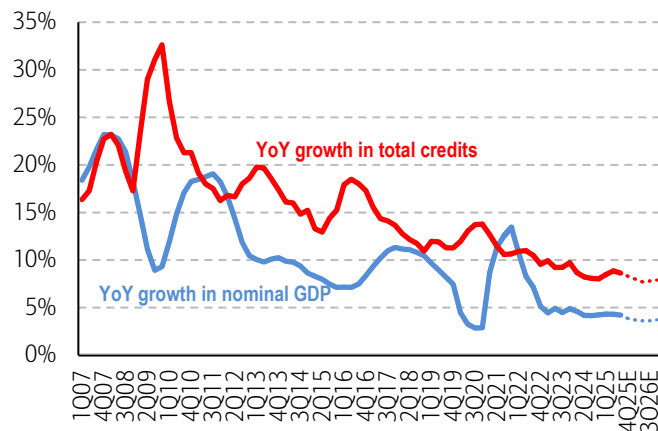
Credit and nominal GDP growth may further soften in 2026

Our forecast of the nominal GDP growth trajectory is based on the credit growth multiplier. As discussed [in our earlier reports](#), China's credit/GDP growth multiplier has been a strong driver and leading indicator to the sequential change in nominal GDP growth. Based on the past experience, the credit multiplier needs to be 1.5-2x for the GDP growth to be sequentially stable (ie flattish QoQ). Over 2.5x multiplier is considered "strong stimulus", while under 1.5x means "over-tightening".

China's real GDP growth rose moderately from 5.0% in 2024 to 5.2% YoY in 9M25 and nominal GDP growth was largely stable at 4.2% by 3Q25. Total credit growth weakened from 9.7% in 2023 to 8.0% in 2024 and recovered to 8.4% by Nov-2025, driven by increased government bond issuance. Credit growth/GDP growth multiplier rose to slightly above 2x in the past two quarters, but was insufficient to drive a meaningful GDP growth recovery in 2026. To qualify as a "strong stimulus" and drive economic recovery, the credit/GDP growth multiplier needs to rise to over 2.5x, and credit growth needs to accelerate to 9-10% in 2026.

Exhibit 34: We expect credit and GDP growth to edge down in 2026E

China's credit growth cycle leads GDP growth

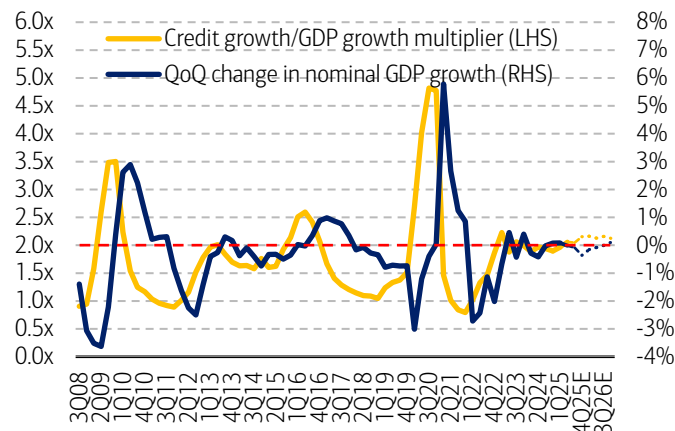


Source: PBOC, CEIC

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Exhibit 35: Credit multiplier is unlikely to exceed 2.5x in 2026E

Credit growth multiplier leads sequential GDP growth



Source: PBOC, CEIC

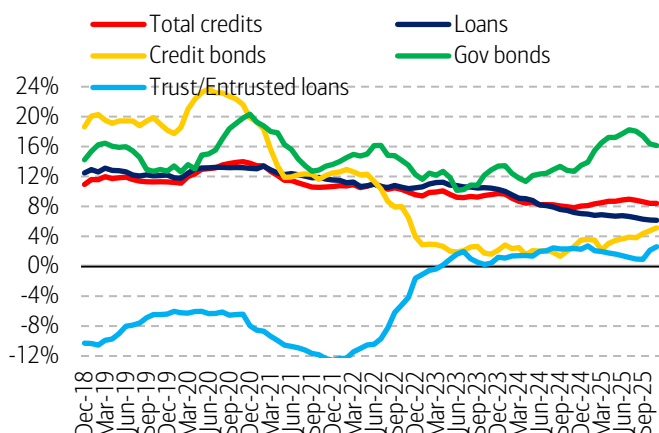
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Bank sector loan growth declined from 10.3% YoY in 2023 to 7.0% in 2024, and further down to a historical low level at 6.1% by Nov-25. With prolonged weakness in the property market and domestic consumption, credit demand from household and private sectors remains subdued. Growth of credit bonds dropped from 12.5% YoY in Dec-21 to 2.2% in Dec-23 and rose modestly to 5.1% in Nov-25. Growth of government bonds outstanding rebounded from 13.5% YoY in Dec-24 to 18.2% in Jul-25, but eased to 16.1% in Nov-25, due partly to the higher base of muni bond issuance in 4Q24. Government borrowing accounted for a record 46% of total new credits in 11M25, up from 40% in 2024 or 28% in 2021. Credit growth has been increasingly reliant on government borrowing.



Exhibit 36: Growth of government bonds accelerated in 2025, while loan growth declined to a historical low of 6.1% YoY

YoY growth of various types of financing

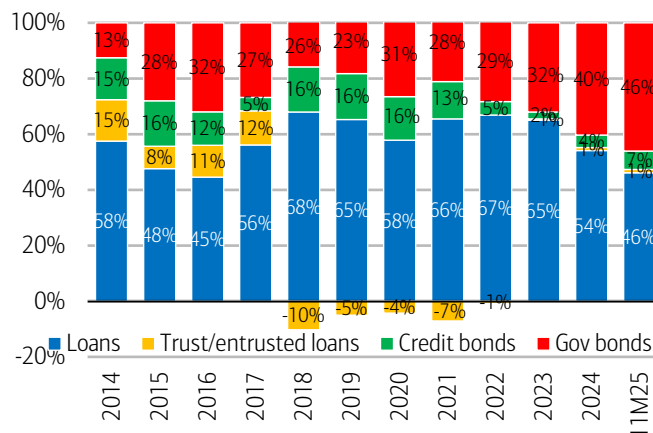


Source: PBOC, CEIC

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Exhibit 37: Credit growth is increasingly driven by government bonds, which made up 46% of new credits in 11M25, vs 28% in 2021

Breakdown of annual new credits by types of financing



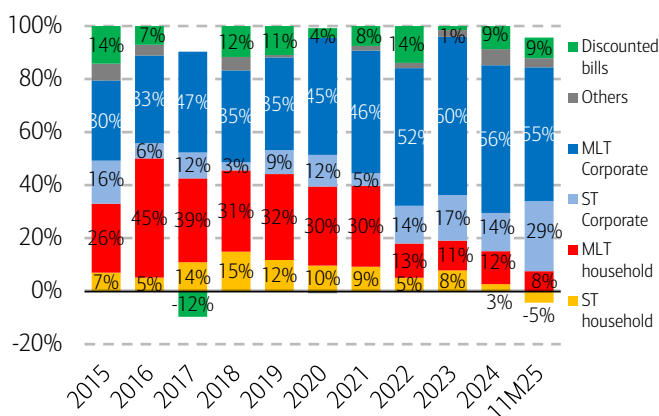
Source: PBOC, CEIC

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Household loan growth slowed from 15-25% YoY in previous years to 3.4% in 2024, and only 1.1% in Nov-25. Household made up only 3% of net new loans in 11M25, a sharp decline from 15%/19% in 2024/23, or 40-60% during 2016-21. In contrast, corporate loans accounted for >85% of the new loans granted YTD, up from 70% in 2024.

Exhibit 38: Retail accounted for only 3% of new loans in 11M25

Breakdown of annual new loans by type

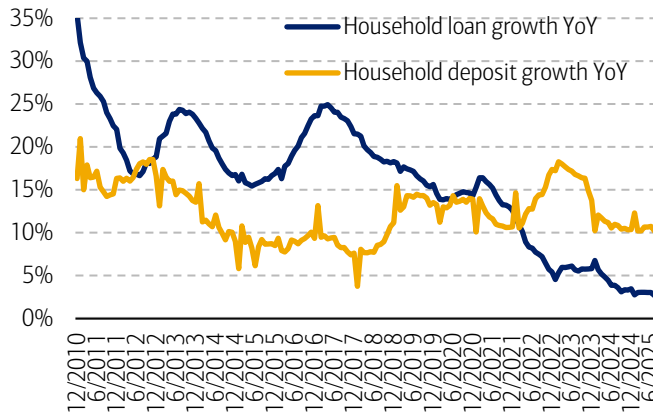


Source: PBOC

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Exhibit 39: Retail loan growth dropped to only 1% YoY in Nov-25

YoY household loan and deposit growth



Source: PBOC

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2026 is the first year of China's 15th Five Year Plan, and GDP growth and credit growth are typically front-loaded during the five-year period. Nonetheless, given government's emphasis on "quality growth" and containing local government debt leverage, we do not expect credit growth to accelerate meaningfully from the current levels. We forecast total credit and loan growth to soften modestly in 2026.

Diminishing marginal impact of rate cuts

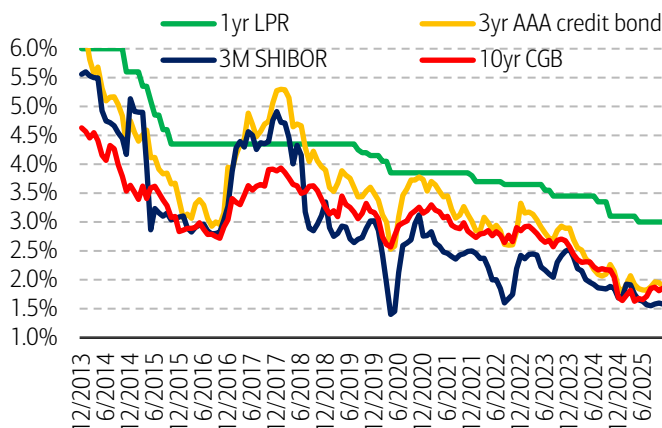
1-year and 5-year Loan Prime Rate (LPR) were only cut once, by 10bp, in 2025. Interbank liquidity has been abundant. 3mth SHIBOR declined from 1.9% in Oct-2024 to 1.7% in Jan-2025, rebounded to 1.9% in Mar-25, but fell back to 1.6% by Dec-25. Bond yields rebounded in 2H25, partly due to the fund flow out of bonds into equities and the levy of value-added-tax. 10yr CGB yield dropped from 2.2% in Sep-24 to 1.6% in Apr-25, and recovered to 1.9% in Dec-25. Yield on 3yr AAA-rated credit bond declined modestly from 2.1% in Nov-24 to 1.9% in end 2025.



Over the past five years, 1yr/5yr LPR has been cut by 85bp/115bp, while major banks' 1yr/3yr time deposit pricing has been reduced by 80/150bp cumulatively. However, the effectiveness of monetary easing in terms of boosting consumption, stabilizing property markets, and driving credit demand has been limited and diminishing. Given China bank sector's already thin margins and the need to safeguard financial stability, regulators appear reluctant to further cut LPRs, unless China's economy deteriorates significantly.

Exhibit 40: 1yr LPR was only cut once, by 10bp, in May 2025

China's policy rate, interbank rate and bond yields

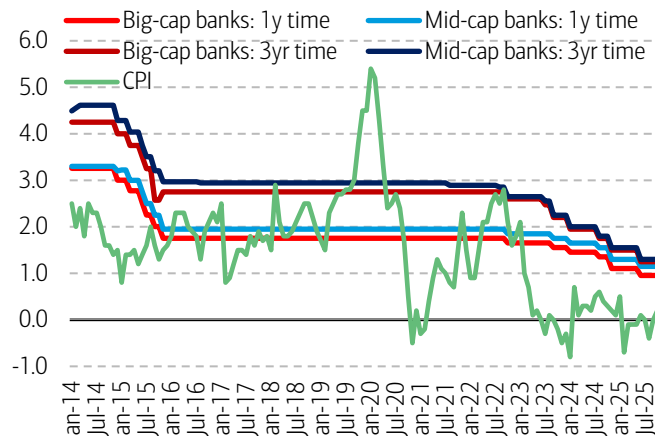


Source: PBOC, CEIC

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Exhibit 41: Deposit pricing has been cut more aggressively in 2024-25

Major banks' average time deposit pricing vs CPI (%)



Source: Company reports, NBS

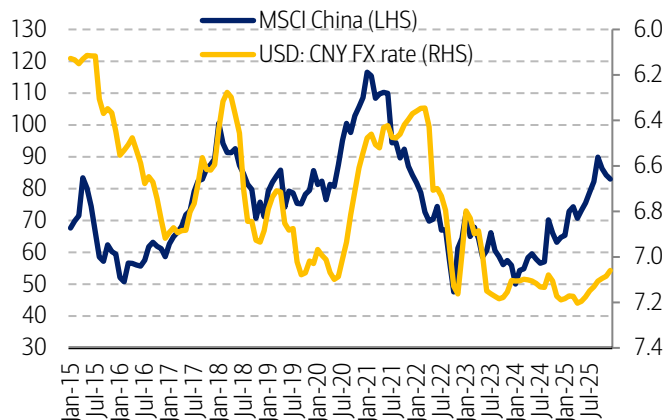
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RMB: modest appreciation should be positive to RMB asset prices

RMB to USD exchange rate touched 7.2 in Apr/May 2025, amid the trade wars, but eased back to 7.1 by 4Q25, with the Fed's 50bp rate cuts. Market consensus expects a modest RMB appreciation in 2026, driven mainly by the weaker USD. China's FX reserve has also rebounded from USD3.0tn in Sep-2022 to USD3.35tn in Nov-2025, the highest level since 2016. RMB appreciation should be positive for RMB-dominated asset prices - for instance, China banks' dividend yield could become more attractive in USD terms.

Exhibit 42: Equity market already led the FX rate to rally

RMB-USD FX rate vs MSCI China Index

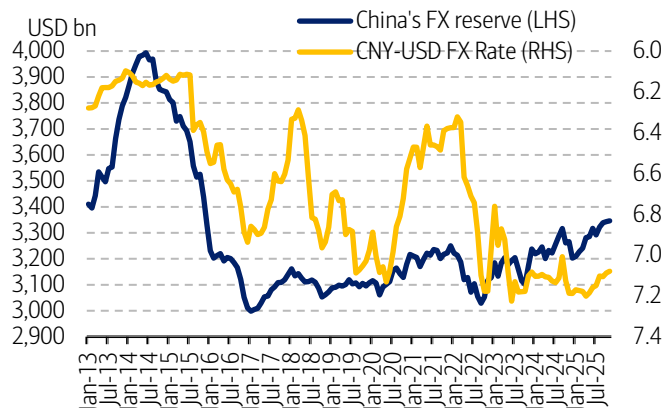


Source: Bloomberg

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Exhibit 43: China FX reserve has risen to the highest level since 2016

China's FX rate and FX reserve



Source: CEIC

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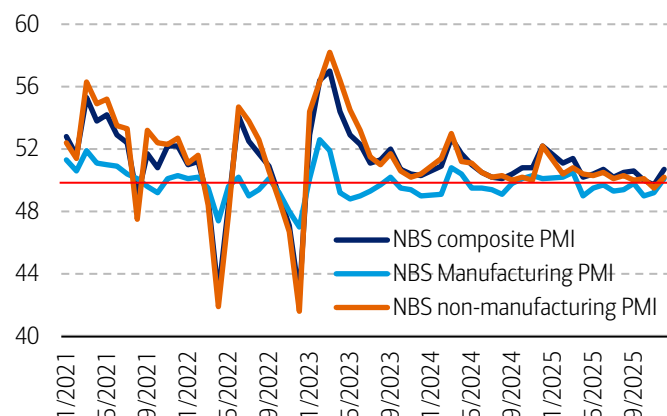
Other key things investors are watching

China's PMI readings dropped to below 50 in Nov-25, but rebounded to >50 in Dec-25. Composite PMI weakened from 52.2 in Dec-24 to 50.7 in Jun-25 and 49.7 in Nov-25, but rebounded to 50.7 in Dec-25. Manufacturing PMI declined from 50.5 in Mar-25 to 49.7 in June, and fluctuated between 49.0 to 50.1 in 2H25 (was 50.1 in Dec-25). Non-manufacturing PMI softened from 50.8 in Mar-25 to 50.5 in Jun-25 and 50.2 in Dec.

In the first eleven months of 2025, exports grew by 5.4% YoY in USD terms or 6.2% in RMB terms, slightly weaker than 5.9%/7.1% respectively in 2024, but were quite resilient considering the trade wars. Import growth slowed from 1.1%/2.3% YoY in USD/RMB terms in 2024 to -0.6%/+0.2% in USD/RMB terms in 11M25.

Exhibit 44: NBS PMI fell in Nov-25 but rebounded in Dec-25

China Purchasing Managers' Index (PMI)



Source: NBS

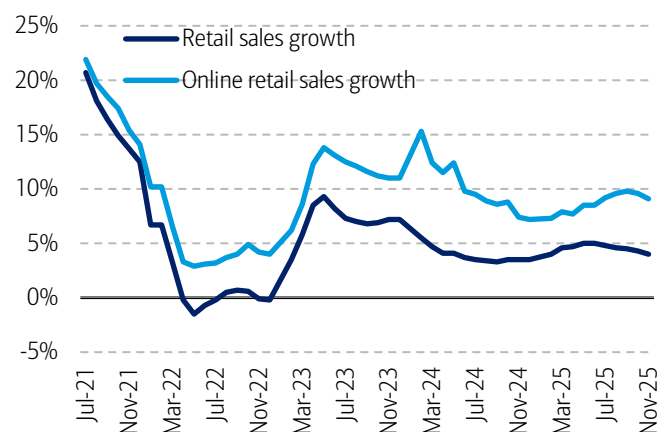
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Growth of retail sales of consumer goods decelerated from 7.2% YoY in FY23 to 3.5% in FY24 and rebounded to 4.0% in 11M25. Online retail sales growth also rose from 7.2% YoY in FY24 to 9.1% in 11M25. Both were boosted by the government trade-in programs and consumption subsidy offered by the large eCommerce platforms.

Industrial profit growth weakened from -2.3% YoY in 2023 to -3.3% in 2024, and was only 0.1% YoY in 11M25. Given the prolonged PPI deflation, industrial profit growth may remain challenged in the near term.

Exhibit 46: Retail sales improved in 1H25, but weakened in 4Q25

YoY growth in YTD retail sales and online retail sales

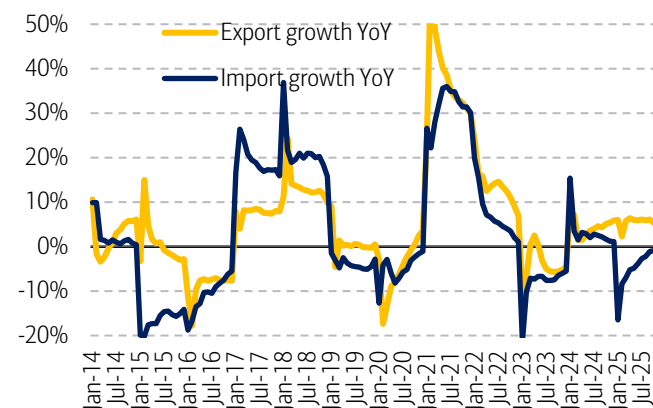


Source: NBS

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Exhibit 45: Trade growth remained very resilient despite tariffs

YoY growth in China YTD imports/exports in USD terms

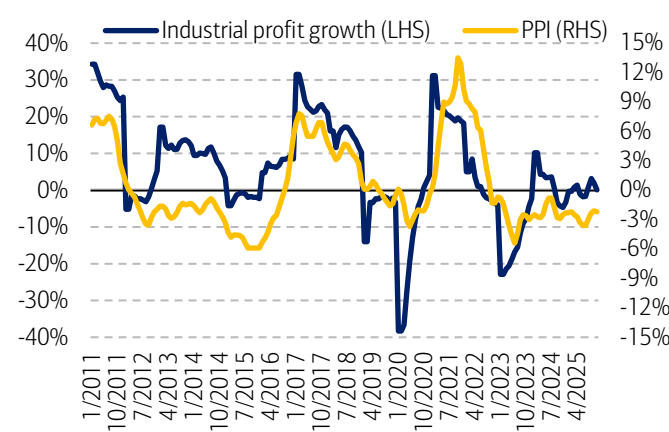


Source: NBS

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Exhibit 47: Industrial profit growth was 0.1% YoY in 11M25

Industrial profit growth (YTD) vs PPI inflation



Source: NBS

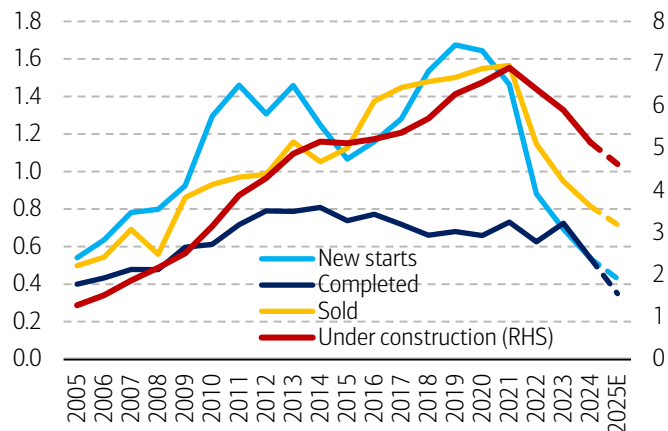
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Property market downside continued, but unlikely to be a systemic risk

Property slump continued in 2025, despite a temporary improvement during 4Q24 to 1Q25, after the policy easing. New home sales volume dropped 27%/17%/14% YoY in 2022/23/24, and was down by 9% YoY in 11M25. New residential floor space starts, under construction, and completion continued to see double-digit YoY decline in 11M25. After 4-5 years of continued decline, property related loans accounted for <20% of total banking sector loans by 3Q25, down from the peak of 29% in 2019. Property sector's drag to GDP and financial stability should become less significant going forward, although the negative wealth effect remains.

Exhibit 48: Property market saw continued double-digit YoY decline in 2025

Residential floor space (in bn sqm)

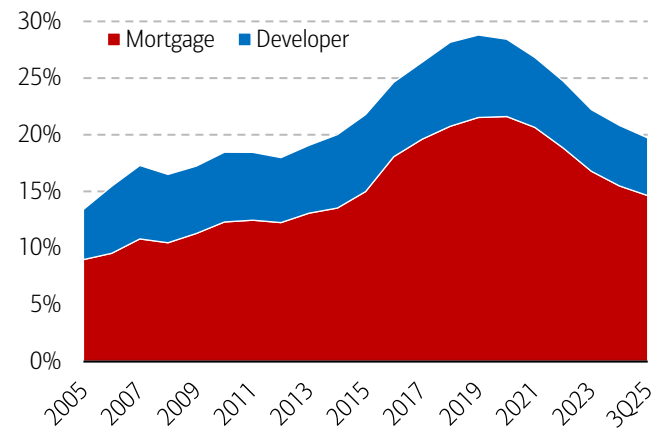


Source: CEIC, NBS

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Exhibit 49: Property loans accounted for <20% of total bank sector loans in 3Q25, down from the peak of 29% in 2019

Property related loans as % of total bank sector loans



Source: PBOC, CEIC

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Sector model portfolio

1Q26: prefer media/NBFI/materials and UW consumers, healthcare and property

Our model portfolio for each quarter selects the Top-10 sectors to overweight and the Bottom-10 sectors to underweight. For 1Q26, our Top-10 sectors remain broadly unchanged from the recommendations in 4Q25. We continue to like media & entertainment within internet, and insurers and brokers within financials. We stay bullish on the metals & mining and gold sectors, both strong performers in 4Q25. We raise oil & gas and household durable sectors to the OW list for 1Q26. Conversely, we remain cautious on liquors, real estate, and software sectors, which struggled in 4Q25. We also downgrade several consumer sectors (auto, food, apparel & footwear) and healthcare sectors (biotech and pharma) to our Bottom-10 list in 1Q26, driven mainly by their negative earnings revision trends. A risk to our quant-driven model is any major policy changes.

Please refer to [Valuation comp table](#) for a full list of BofA recommendations.

Exhibit 50: We prefer media/NBFI/materials sectors and UW consumers, pharma/biotech in 1Q26

China Investment Compass based model portfolio recommendation: 1Q26

#	Overweight Sectors	vs 4Q25	Underweight Sectors	vs 4Q25
1	COM- Media & Interactive Media	✓	CS- Liquors	✓
2	FI- Diversified Financials	✓	CD- Auto	↓
3	EG- Oil & Gas	↑	CS- Food & Personal Products	↓
4	FI- Insurance	✓	HC- Pharmaceuticals	↓
5	MAT- Metals & Mining (ex. gold)	✓	ND- Construction & Engineering	✓
6	ND- Heavy Machinery	✓	RE- Real Estate	✓
7	MAT- Gold	✓	T- Software & Services	✓
8	CD- Household Durables	↑	HC- Biotechnology	↓
9	COM- Interactive Entertainment	✓	CD- Apparel & footwear	↓
10	HC- Life Sciences Tools & Services	✓	MAT- Construction Materials & Paper	↓

Source: BofA GLOBAL RESEARCH *✓ shows sectors on our OW/UW list last quarter; ↑ shows new upgrades, ↓ shows new downgrades
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Key trends at the top-8 major sectors

Among the 40 sectors, the top-4 sectors with the largest market capitalization as of end-2025 were: banks (eg. Industrial & Commercial Bank of China), media & interactive media (eg. Tencent), online retail (eg. BABA), and electronic equipment (eg. Foxconn Industrial Internet). In addition, insurance (eg. China Life), auto (eg. BYD), tech hardware (eg. Xiaomi), metal & mining (eg. CMOC) sectors are among the top sectors with the highest MSCI China Index weighting. We will highlight the earnings and performance trends at these top-8 sectors.

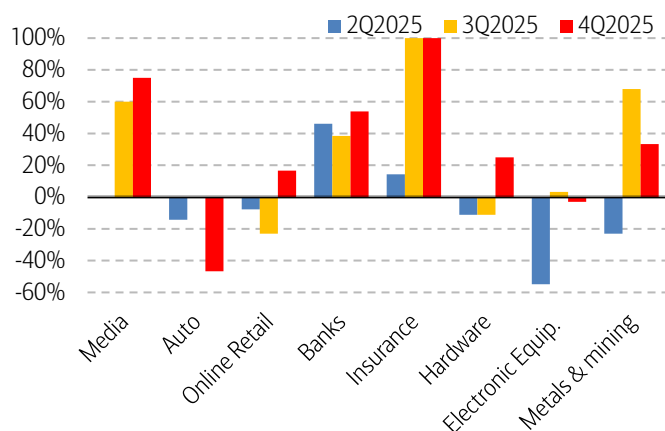
Earnings momentum improved in 4Q25. Financials led peers – banks and insurers had 54%/100% of companies witnessing net earnings upgrades, amid the improving equity market sentiment. Media sector also had 75% net earnings upgrades, followed by 33% in the metals & mining sector. By contrast, auto sector saw the most earnings downgrades, with 47% companies having net estimate cuts in 4Q, and electronic equipment also had 3% net earnings downgrades. Earnings revision for the online retail sector improved from -23% in 3Q25 to +17% in 4Q25.

The top-8 sectors had mixed performance in 4Q25, while the MSCI China gross total return was down 7% QoQ. Metal & mining sector rallied 22% in 4Q, on AI-driven demand for energy storage and data centers, combined with supply discipline and policy support for grid investment and electrification. Financials again outperformed, as insurance +20% and banks +10%. By contrast, tech hardware sector continued to underperform in 4Q, and online retail reversed from one of the best performers in 3Q (+31% QoQ) to one of the worst in 4Q (-15% QoQ). Auto sector also dropped 13% in 4Q.



Exhibit 51: Financials & media sectors had good earnings revision in 4Q, auto suffered

Percentage of companies that had net earnings upgrade

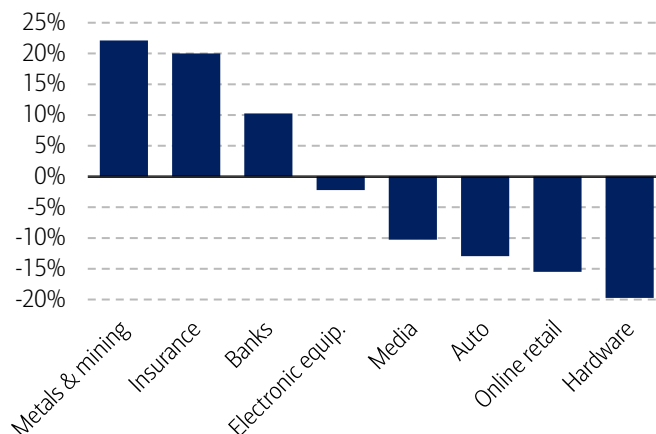


Source: Bloomberg

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Exhibit 52: Metals and financials outperformed internet & tech in 4Q

4Q25 performance of the key sectors



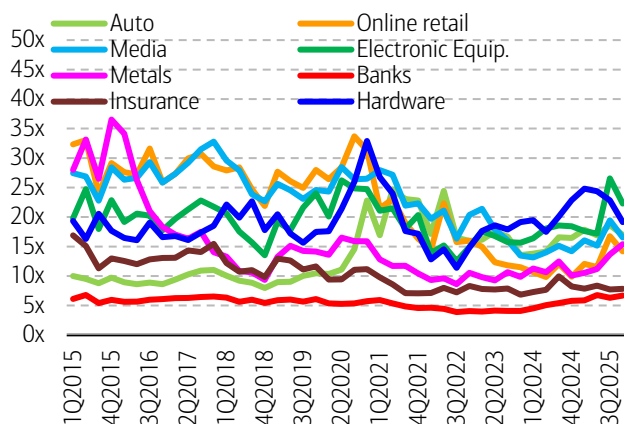
Source: Bloomberg

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P/E valuations edged down at most sectors in 4Q25, while metals & mining sector saw significant QoQ multiple expansion (from 13.7x to 15.4x). Online retail sector's P/E surged by 46% in 3Q25, but dropped 15% in 4Q. Tech hardware and electronic equipment also had 16% QoQ multiple compression. Currently, electronic equipment and auto sectors are relatively expensive, trading at 1.1 and 0.8 standard deviations above their long-term average valuations, respectively. Banks and metals & mining have re-rated back to near their long-term average. By contrast, internet (media, online retail), and insurance sectors remain relatively cheap, trading at 0.8-1.2 standard deviations below their long-term average levels.

Exhibit 53: Valuation declined at most sectors in 4Q25, except for metals & mining

Forward P/E valuations

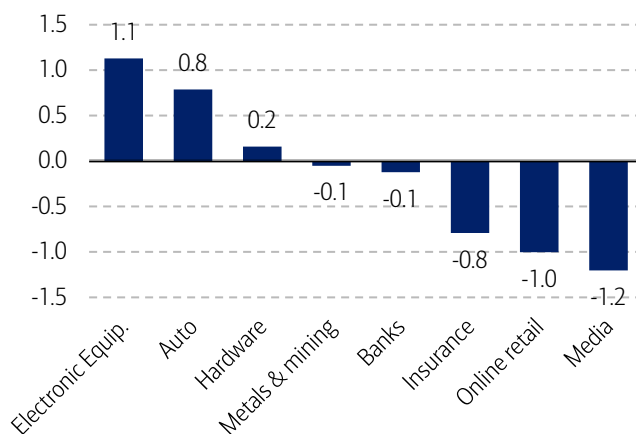


Source: Bloomberg

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Exhibit 54: Electronic equipment and auto are trading above long-term average valuation

Valuation vs the long-term mean (standard deviation)



Source: Bloomberg

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Appendix

China Investment Compass (中国投资罗盘)

We believe that China equity markets' performance is driven by the macroeconomic cycle and the monetary policy cycle. Our China Investment Compass defines the past 19 years, since 1Q2007, into four different phases:

- C1: recovering phase, with accelerating GDP growth and loose interbank liquidity;
- C2: peaking phase, with accelerating growth and tight liquidity;
- C3: over-tightening phase, with decelerating growth and tight liquidity; and
- C4: stimulating phase, with decelerating growth and loose liquidity.

China's equity market typically has low beta with flattish return in the C1/recovering phase, while the commodity market is usually strong. The C2/peaking phase is typically a bull market, and the C3/over-tightening phase tends to be a bear market. The C4/stimulating phase is the more volatile times.

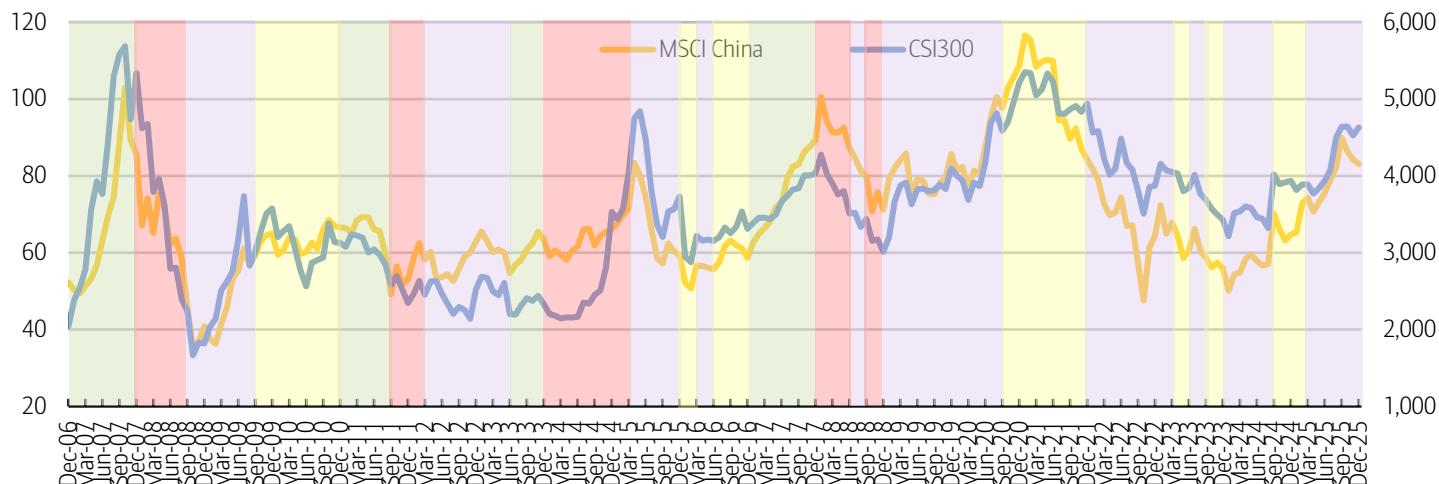
Methodology and input factors

Growth is defined as the sequential change in YoY nominal GDP growth (past four quarters cumulative). For instance, if nominal GDP grew by 10% YoY in the last quarter, and 9.5% in the current quarter, the sequential change is -0.5ppt, and it is considered as "growth decelerating".

Liquidity is calculated based on the quarterly average interbank deposit spread, using 3-month SHIBOR minus 3-month time deposit rate. Deposit spread above 2% is considered "tight liquidity", and below 2% is considered "loose".

Exhibit 55: BofA China Investment Compass and historical stock market performance

Each phase in our Compass typically lasts for 2-5 quarters



Source: Bloomberg, MSCI *Color coding: C1 = yellow, C2 = green, C3 = red, C4 = purple

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MSCI China performance correlated to GDP and liquidity cycles

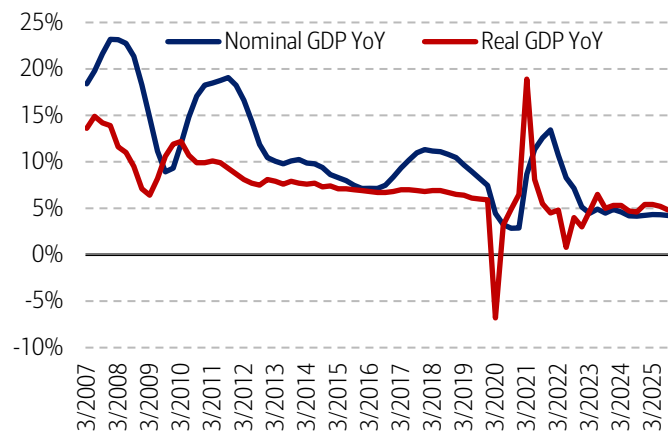
Stock market performance is partly guided by GDP growth and liquidity cycles, with GDP growth driving earnings and liquidity driving P/E multiples.

China's equity market tends to do well when GDP growth accelerates sequentially and suffers when economy decelerates. In fact, stock market performance tends to lead the GDP performance by 6-12 months. As corporate earnings cycle usually moves in sync with GDP cycle, higher GDP growth and higher earnings can drive market price higher, even without multiple expansion.



Exhibit 56: Economic growth: YoY growth in nominal and real GDP

Nominal GDP growth has decelerated over the past 19 years

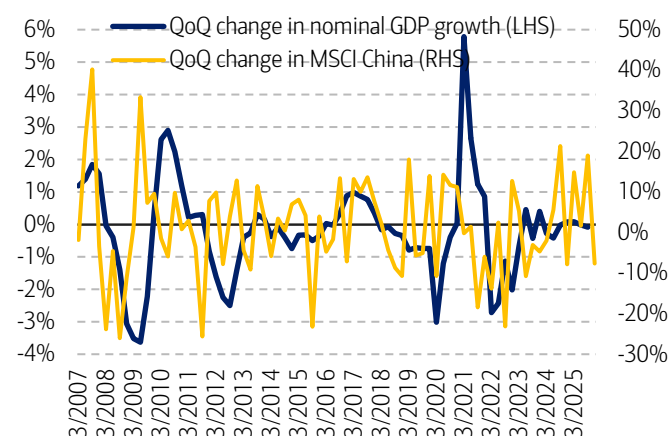


Source: CEIC

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Exhibit 57: Sequential change in nominal GDP growth vs MSCI China

MSCI China performance has positive correlation to GDP growth



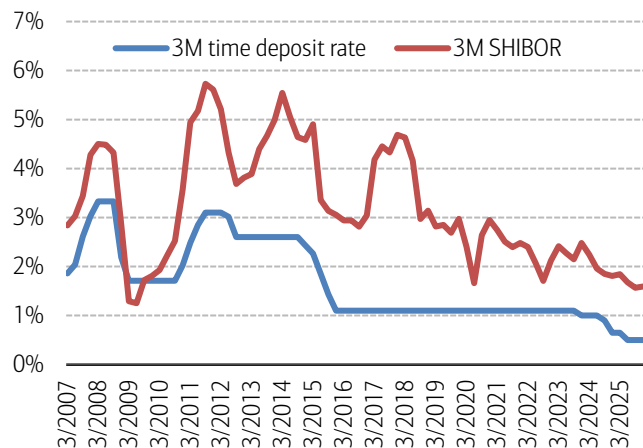
Source: Bloomberg, CEIC, MSCI

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Liquidity and monetary policy also impact stock market performance. Monetary tightening can help contain debt leverage and asset price bubbles, and is positive for the long-term health of China's financial system. In the past, China's stock market enjoyed some of the best performance during the C2/peaking phase, with the combination of policy tightening and accelerating growth, eg. 2007 and 2017. On the other side, when GDP growth decelerates, liquidity easing can also help drive strong market performance (eg. in 2H11, 2020). Rich liquidity reduces the cost of capital, and can drive up P/E multiples, so that market can do well in easing phases, without earnings growth.

Exhibit 58: Interbank liquidity: SHIBOR vs time deposit rate

Deposit spread = 3M SHIBOR - 3M time deposit rate

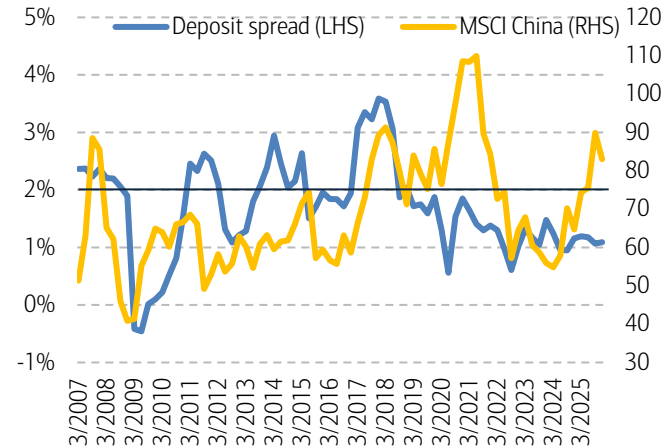


Source: Bloomberg, CEIC

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Exhibit 59: Interbank deposit spread vs MSCI China

MSCI China performance has positive correlation to interbank liquidity



Source: CEIC, MSCI *As SHIBOR was only introduced in 4Q16 and less representative in the early days, we adjusted SHIBOR during 2007-08 with benchmark loan rate

BofA GLOBAL RESEARCH

Sector classification

Our [China strategy initiation report](#) introduced a 40-sector framework, composed of MSCI China constituent stocks. Our model portfolio sector selection is based on this 40-sector classification. We updated the sector classification in Jan-2022, merged Education into Internet & Direct Marketing Retailing sector, and split Auto & Auto Components into 2 sectors.

Exhibit 60: BofA breakdown of 40 sectors and their major large-cap stocks

Our sector analysis is based on the 40-sector breakdown

BofA Sector	# of Co.	Mkt cap*	Major large-cap stocks as examples		
Communications Services					
COM- Interactive Entertainment	4	113	NetEase (NTES US/9999 HK)	Giant Network (002558 CH)	Wuhu Sanqi Interactive (002555 CH)
COM- Media & Interactive Media	8	809	Tencent (700 HK)	Baidu (BIDU US/9888 HK)	Kuaishou (1024 HK)
COM- Movies & Entertainment	5	50	Tencent Music (TME US/1698 HK)	Enlight Media (300251 CH)	Mango Excellent Media (300413 CH)
COM- Telecom	5	288	China Mobile (941 HK/600941 CH)	China Unicom (762 HK/600050 CH)	China Telecom (728 HK/601728 CH)
Consumer Discretionary					
CD- Apparel & footwear	5	65	ANTA (2020 HK)	Laopu Gold (6181 HK)	Shenzhou (2313 HK)
CD- Auto	16	335	BYD (1211 HK/002594 CH)	Seres (9927 HK/601127 CH)	SAIC Motor (600104 CH)
CD- Auto Components	8	322	CATL (3750 HK/300750 CH)	Fuyao Glass (3606 HK/600660 CH)	Ningbo Tuopu (601689 CH)
CD- Hotels, Restaurants & Leisure	5	84	CTG Duty Free (1880 HK/601888 CH)	Yum China (YUMC US/9987 HK)	Chow Tai Fook (1929 HK)
CD- Household Durables	6	168	Midea (300 HK/000333 CH)	Gree Electric (000651 CH)	Haier Smart Home (6690 HK/600690 CH)
CD- Internet & Direct Marketing Retail	13	759	Alibaba (BABA US/9988 HK)	Pinduoduo (PDD US)	Meituan (3690 HK)
Consumer Staples					
CS- Food & Personal Products	18	251	Muyuan (002714 CH)	Nongfu Spring (9633 HK)	Haitian (3288 HK/603288 CH)
CS- Liquors	10	414	Kweichow Moutai (600519 CH)	Wuliangye Yibin (000858 CH)	Shanxi Fen Wine (600809 CH)
Energy					
EG- Coal & Consumable Fuels	8	185	China Shenhua (1088 HK/601088 CH)	Shaanxi Coal (601225 CH)	Yankuang Energy (1171 HK/600188 CH)
EG- Oil & Gas	6	502	PetroChina (857 HK/601857 CH)	CNOOC (883 HK/600938 CH)	Sinopec (386 HK/600028 CH)
Financials					
FI- Banks	27	2,063	ICBC (1398 HK/601398 CH)	ABC (1288 HK/601288 CH)	CCB (939 HK/601939 CH)
FI- Diversified Financials	36	513	East Money (300059 CH)	CITICS (6030 HK/600030 CH)	Guotai Haitong (2611 HK/601211 CH)
FI- Insurance	7	486	China Life Insurance (2628 HK/601628 CH)	Ping An Insurance (2318 HK/601318 CH)	PICC (1339 HK/601319 CH)
Healthcare					
HC- Biotechnology	12	116	BeOne (ONC US/6160 HK/688235 CH)	Innovent (1801 HK)	Akeso (9926 HK)
HC- Health Care Equipment & Services	13	141	Mindray (300760 CH)	JD Health (6618 HK)	United Imaging (688271 CH)
HC- Life Sciences Tools & Services	7	86	WuXi AppTec (2359 HK/603259 CH)	Wuxi Biologics (2269 HK)	WuXi XDC (2268 HK)
HC- Pharmaceuticals	17	226	Hengrui Medicine (1276 HK/600276 CH)	Hansoh (3692 HK)	Biokin (688506 CH)
Industrials					
IND- Aerospace & Defense	4	50	Kuang-Chi (002625 CH)	AECC Aviation Power (600893 CH)	China Spacesat (600118 CH)
IND- Airline, Logistics & Shipping	15	209	COSCO Shipping (1919 HK/601919 CH)	SF (6936 HK/002352 CH)	Air China (753 HK/601111 CH)
IND- Conglomerate & Commercial Services	5	72	CITIC Limited (267 HK)	Kanzhun (BZ US/2076 HK)	BOC Aviation (2588 HK)
IND- Construction & Engineering	12	143	China State Construction (601668 CH)	China Railway (390 HK/601390 CH)	CCCC (1800 HK/601800 CH)
IND- Electrical Equipment	20	218	NARI (600406 CH)	EVE (300014 CH)	Huayou Cobalt (603799 CH)
IND- Heavy Machinery	16	283	CSSC (600150 CH)	Inovance (300124 CH)	Sany Heavy Industry (6031 HK/600031 CH)
IND- Transportation Infrastructure	6	69	Beijing-Shanghai HSR (601816 CH)	SHIA (600009 CH)	China Merchants Expressway (001965 CH)
Information Technology					
IT- Communications Equipment	6	220	Innolight (300308 CH)	Eoptolink (300502 CH)	ZTE (763 HK/000063 CH)
IT- Electronic Equipment & Components	34	671	Foxconn Industrial Internet (601138 CH)	Luxshare (002475 CH)	Hikvision (002415 CH)
IT- Semiconductors	33	563	Cambricon (688256 CH)	Hygon (688041 CH)	SMIC (981 HK/688981 CH)
IT- Software & Services	15	136	Kingsoft Office (688111 CH)	Iflytek (002230 CH)	Horizon Robotics (9660 HK)
IT- Technology Hardware	9	200	Xiaomi (1810 HK)	Lenovo (992 HK)	Longsys (301308 CH)
Materials					
MAT- Chemicals	23	299	Wanhua Chemical (600309 CH)	Salt Lake (000792 CH)	Hengli (600346 CH)
MAT- Construction Materials & Paper	4	35	Anhui Conch (914 HK/600585 CH)	China Jushi (600176 CH)	Sunpaper (002078 CH)
MAT- Gold	7	247	Zijin (2899 HK/601899 CH)	Zijin Gold Int'l (2259 HK)	Shandong Gold (1787 HK/600547 CH)
MAT- Metals & Mining (ex. gold)	25	384	CMOC (3993 HK/603993 CH)	China Hongqiao (1378 HK)	China Northern Rare Earth (600111 CH)
Real Estate					
RE- Real Estate	12	137	CR Land (1109 HK)	KE Holdings (BEKE US/2423 HK)	COLI (688 HK)
Utilities					
UTL- Gas & Water Utilities	7	50	ENN Energy (2688 HK)	ENN Natural Gas (600803 CH)	Kunlun Energy (135 HK)
UTL- Independent Power & Renewable	30	416	Yangtze Power (600900 CH)	Sungrow Power Supply (300274 CH)	CNNC (601985 CH)

Source: Bloomberg, BofA Global Research *Market cap in USD bn, as of Dec 31, 2025

BofA GLOBAL RESEARCH



Exhibit 61: Mapping our 40-sector classification with MSCI GICS

Our 40-sector classification is based on the sectors from MSCI's Global Industry Classification Standard (GICS)

Our 40-sector classification	GICS 1	GICS 2	GICS 3	GICS 4
COM- Interactive Entertainment	Communication Services	Media & Entertainment	Entertainment	Interactive Home Entertainment
COM- Movies & Entertainment	Communication Services	Media & Entertainment	Entertainment	Movies & Entertainment
			Interactive Media & Services	Interactive Media & Services
				Advertising
COM- Media & Interactive Media	Communication Services	Media & Entertainment	Media	Broadcasting
				Cable & Satellite
				Publishing
				Alternative Carriers
COM- Telecom	Communication Services	Telecommunication Services	Diversified Telecommunication Services	Integrated Telecommunication Services
			Wireless Telecommunication Services	Wireless Telecommunication Services
CD- Apparel & footwear	Consumer Discretionary	Consumer Durables & Apparel	Textiles, Apparel & Luxury Goods	Apparel, Accessories & Luxury Goods
				Footwear
				Textiles
CD- Auto Components	Consumer Discretionary	Automobiles & Components	Automobile Components	Automotive Parts & Equipment
				Tires & Rubber
CD- Auto	Consumer Discretionary	Automobiles & Components	Automobiles	Automobile Manufacturers
				Motorcycle Manufacturers
				Consumer Electronics
CD- Household Durables	Consumer Discretionary	Consumer Durables & Apparel	Household Durables	Home Furnishings
				Homebuilding
				Household Appliances
				Housewares & Specialties
		Consumer Durables & Apparel	Leisure Products	Leisure Products
CD- Hotels, Restaurants & Leisure	Consumer Discretionary	Consumer Services	Hotels, Restaurants & Leisure	Casinos & Gaming
				Hotels, Resorts & Cruise Lines
				Leisure Facilities
				Restaurants
			Broadline Retail	Broadline Retail
			Distributors	Distributors
CD- Internet & Direct Marketing Retail	Consumer Discretionary	Consumer Discretionary Distribution & Retail	Specialty Retail	Apparel Retail
				Automotive Retail
				Computer & Electronics Retail
				Home Improvement Retail
				Homefurnishing Retail
				Other Specialty Retail
		Consumer Services	Diversified Consumer Services	Education Services
		Consumer Staples Distribution & Retail	Consumer Staples Distribution & Retail	Consumer Staples Merchandise Retail
CS- Food & Personal Products	Consumer Staples			Drug Retail
		Food, Beverage & Tobacco		Food Distributors
			Beverages	Food Retail
			Food Products	Soft Drinks & Non-alcoholic Beverages
			Tobacco	Agricultural Products & Services
		Household & Personal Products	Household Products	Packaged Foods & Meats
			Personal Care Products	Tobacco
CS- Liquors	Consumer Staples	Food, Beverage & Tobacco	Beverages	Household Products
				Personal Care Products
			Energy Equipment & Services	Brewers
EG- Oil & Gas	Energy	Energy		Distillers & Vintners
			Oil, Gas & Consumable Fuels	Oil & Gas Drilling
				Oil & Gas Equipment & Services
				Integrated Oil & Gas
				Oil & Gas Exploration & Production
				Oil & Gas Refining & Marketing
				Oil & Gas Storage & Transportation
EG- Coal & Consumable Fuels	Energy	Energy	Oil, Gas & Consumable Fuels	Coal & Consumable Fuels
FI- Banks	Financials	Banks	Banks	Diversified Banks
				Regional Banks
			Capital Markets	Asset Management & Custody Banks
				Diversified Capital Markets
				Financial Exchanges & Data
				Investment Banking & Brokerage
FI- Diversified Financials	Financials	Financial Services	Consumer Finance	Consumer Finance
				Commercial & Residential Mortgage Finance
			Financial Services	Diversified Financial Services
				Multi-Sector Holdings
				Specialized Finance
				Transaction & Payment Processing Services



Exhibit 61: Mapping our 40-sector classification with MSCI GICS

Our 40-sector classification is based on the sectors from MSCI's Global Industry Classification Standard (GICS)

Our 40-sector classification	GICS 1	GICS 2	GICS 3	GICS 4
			Mortgage Real Estate Investment Trusts (REITs)	Mortgage REITs
FI- Insurance	Financials	Insurance	Insurance	Insurance Brokers Life & Health Insurance Multi-line Insurance Property & Casualty Insurance Reinsurance
HC- Health Care Equipment & Services	Health Care	Health Care Equipment & Services	Health Care Equipment & Supplies Health Care Providers & Services Health Care Technology	Health Care Equipment Health Care Supplies Health Care Distributors Health Care Facilities Health Care Services Managed Health Care Health Care Technology
HC- Biotechnology	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	Biotechnology	Biotechnology
HC- Life Sciences Tools & Services	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	Life Sciences Tools & Services	Life Sciences Tools & Services
HC- Pharmaceuticals	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	Pharmaceuticals	Pharmaceuticals
IND- Aerospace & Defense	Industrials	Capital Goods	Aerospace & Defense	Aerospace & Defense
IND- Construction & Engineering	Industrials	Capital Goods	Building Products Construction & Engineering	Building Products Construction & Engineering
IND- Electrical Equipment	Industrials	Capital Goods	Electrical Equipment	Electrical Components & Equipment Heavy Electrical Equipment
		Capital Goods	Industrial Conglomerates	Industrial Conglomerates
IND- Conglomerate & Commercial Services	Industrials	Commercial & Professional Services	Commercial Services & Supplies Professional Services	Commercial Printing Diversified Support Services Environmental & Facilities Services Office Services & Supplies Security & Alarm Services Human Resource & Employment Services Research & Consulting Services
IND- Heavy Machinery	Industrials	Capital Goods	Machinery	Agricultural & Farm Machinery Construction Machinery & Heavy Transportation Equipment Industrial Machinery & Supplies & Components
			Air Freight & Logistics	Air Freight & Logistics
IND- Airline, Logistics & Shipping	Industrials	Transportation	Ground Transportation	Cargo Ground Transportation Passenger Ground Transportation Rail Transportation
	Industrials	Transportation	Marine Transportation Passenger Airlines	Marine Transportation Passenger Airlines
IND- Transportation Infrastructure	Industrials	Transportation	Transportation Infrastructure	Airport Services Highways & Railtracks Marine Ports & Services
IT- Semiconductors	Information Technology	Semiconductors & Semiconductor Equipment	Semiconductors & Semiconductor Equipment	Semiconductor Materials & Equipment Semiconductors
	Industrials	Commercial & Professional Services	Professional Services	Data Processing & Outsourced Services
IT- Software & Services	Information Technology	Software & Services	IT Services Software	Internet Services & Infrastructure IT Consulting & Other Services Application Software Systems Software
IT- Communications Equipment	Information Technology	Technology Hardware & Equipment	Communications Equipment	Communications Equipment
IT- Electronic Equipment & Components	Information Technology	Technology Hardware & Equipment	Electronic Equipment, Instruments & Components	Electronic Components Electronic Equipment & Instruments Electronic Manufacturing Services Technology Distributors
IT- Technology Hardware	Information Technology	Technology Hardware & Equipment	Technology Hardware, Storage & Peripherals	Technology Hardware, Storage & Peripherals
MAT- Chemicals	Materials	Materials	Chemicals	Commodity Chemicals Diversified Chemicals Fertilizers & Agricultural Chemicals Industrial Gases Specialty Chemicals
			Construction Materials	Construction Materials
MAT- Construction Materials & Paper	Materials	Materials	Containers & Packaging Paper & Forest Products	Metal, Glass & Plastic Containers Paper & Plastic Packaging Products & Materials Forest Products Paper Products
MAT- Metals & Mining (ex. gold)	Materials	Materials	Metals & Mining	Aluminum Copper



Exhibit 61: Mapping our 40-sector classification with MSCI GICS

Our 40-sector classification is based on the sectors from MSCI's Global Industry Classification Standard (GICS)

Our 40-sector classification	GICS 1	GICS 2	GICS 3	GICS 4
				Diversified Metals & Mining
				Precious Metals & Minerals
				Silver
				Steel
MAT- Gold	Materials	Materials	Metals & Mining	Gold
			Diversified REITs	Diversified REITs
			Health Care REITs	Health Care REITs
			Hotel & Resort REITs	Hotel & Resort REITs
			Industrial REITs	Industrial REITs
			Office REITs	Office REITs
		Equity Real Estate Investment Trusts (REITs)	Residential REITs	Multi-Family Residential REITs
			Retail REITs	Single-Family Residential REITs
RE- Real Estate	Real Estate			Retail REITs
				Data Center REITs
				Other Specialized REITs
			Specialized REITs	Self-Storage REITs
				Telecom Tower REITs
				Timber REITs
		Real Estate Management & Development	Real Estate Management & Development	Diversified Real Estate Activities
				Real Estate Development
				Real Estate Operating Companies
				Real Estate Services
UTL- Independent Power & Renewable	Utilities	Utilities	Electric Utilities	Electric Utilities
			Independent Power and Renewable Electricity Producers	Independent Power Producers & Energy Traders
			Multi-Utilities	Renewable Electricity
				Multi-Utilities
UTL- Gas & Water Utilities	Utilities	Utilities	Gas Utilities	Gas Utilities
			Water Utilities	Water Utilities

Source: MSCI, BofA GLOBAL RESEARCH

BofA GLOBAL RESEARCH



Valuation comp table

Exhibit 62: Valuation table for BofA Global Research China coverage universe (as of Dec 31, 2025)

By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX (Local) 31-Dec	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	P/E (x) 25E	P/E (x) 26E	EPS Growth (%) 25E	EPS Growth (%) 26E	P/B (x) 25E	P/B (x) 26E	D Yield (%) 25E	D Yield (%) 26E	ROE (%) 25E	ROE (%) 26E	Analyst
COM- Interactive Entertainment																			
NetEase	9999 HK	214.6	87	Buy	0.7	-9.0	2.5	59.1	15.9	15.2	17	5	3.8	3.3	1.7	1.8	25.1	22.7	Liu, Alex
NetEase	NTES US	137.6	87	Buy	0.1	-9.1	3.1	58.3	15.9	15.2	17	5	3.8	3.3	1.7	1.8	25.1	22.7	Liu, Alex
COM- Media & Interactive Media																			
Autohome	ATHM US	22.3	3	Neutral	-1.2	-16.0	-7.0	-7.6	11.3	11.1	-16	1	0.8	0.8	8.2	8.2	7.2	7.4	Zhuang, Miranda
Autohome	2518 HK	43.0	3	Neutral	-1.2	-17.4	-6.4	-7.3	11.3	11.1	-16	1	0.8	0.8	8.2	8.2	7.2	7.4	Zhuang, Miranda
Baidu	9888 HK	131.5	47	Buy	15.6	-1.3	57.6	59.0	13.6	15.0	-1	-9	1.1	0.9	-	-	12.1	8.1	Zhuang, Miranda
Baidu	BIDU US	130.7	46	Buy	11.8	-0.8	52.4	55.0	13.6	15.0	-1	-9	1.1	0.9	-	-	12.1	8.1	Zhuang, Miranda
Bilibili	BILI US	24.6	10	Buy	-7.6	-12.5	14.6	35.8	29.4	21.1	NM	39	4.1	3.5	-	-	18.1	22.9	Liu, Alex
Bilibili	9626 HK	192.9	10	Buy	-6.5	-14.1	15.0	35.8	29.4	21.1	NM	39	4.1	3.5	-	-	18.1	22.9	Liu, Alex
Kuaishou	1024 HK	64.0	36	Buy	-5.7	-24.4	1.7	55.7	12.2	10.9	17	13	3.0	2.3	-	-	28.3	24.4	Zhuang, Miranda
Tencent	700 HK	599.0	703	Buy	-2.0	-9.7	19.1	44.9	19.1	17.1	19	12	4.0	3.4	0.8	0.9	22.7	21.4	Liu, Alex
Weibo	WB US	10.2	3	Underp.	2.8	-17.6	7.2	19.5	5.9	5.5	-4	7	0.4	0.4	8.2	8.3	12.3	11.8	Zhuang, Miranda
Weibo Corporation	9898 HK	79.1	2	Underp.	2.1	-21.3	3.7	17.3	5.9	5.5	-4	7	0.4	0.4	8.2	8.3	12.3	11.8	Zhuang, Miranda
COM- Movies & Entertainment																			
Damai Entertainment	1060 HK	1.0	4	Buy	6.7	-11.2	-1.0	100.0	71.8	29.4	20	135	1.6	1.5	-	-	2.3	5.2	Zhuang, Harry
Maoyan Entertainment	1896 HK	6.9	1	Buy	0.4	-13.0	-4.8	-9.2	15.8	11.1	149	43	0.8	0.7	1.3	1.8	5.0	6.9	Zhuang, Harry
Tencent Music	TME US	17.5	27	Neutral	-5.0	-24.9	-10.1	56.4	19.8	17.8	26	11	1.1	1.0	-	-	13.2	12.9	Liu, Alex
Tencent Music	1698 HK	69.0	27	Neutral	-3.2	-25.2	-9.0	57.9	19.8	17.8	26	11	1.1	1.0	-	-	13.2	12.9	Liu, Alex
CD- Apparel & footwear																			
ANTA	2020 HK	80.6	29	Buy	-5.1	-13.9	-13.5	6.3	16.1	14.1	10	14	2.9	2.6	3.0	3.4	20.1	20.3	Yu, Lucy
Bosideng	3998 HK	4.5	7	Buy	-8.9	-2.6	2.0	22.0	13.2	11.6	11	10	2.8	2.7	6.2	7.2	23.2	23.2	Yu, Lucy
Laopu Gold	6181 HK	618.0	14	Buy	-8.1	-11.8	-37.7	162.6	18.9	14.5	205	30	7.4	5.6	3.4	4.5	70.4	54.7	Zhang, Candice
Li Ning	2331 HK	18.7	6	Neutral	7.5	5.8	12.6	17.4	18.8	16.5	-24	14	1.2	1.1	2.7	3.0	8.7	9.4	Yu, Lucy
Shenzhou	2313 HK	61.2	12	Buy	-11.6	-0.7	12.3	3.4	13.0	11.8	2	10	2.1	1.9	4.6	5.1	17.1	17.4	Luo, Chen
Topsports	6110 HK	2.9	2	Neutral	-11.7	-3.9	4.2	7.0	13.2	12.6	-42	-0	1.8	1.8	10.3	7.9	13.8	14.2	Yu, Lucy
Yue Yuen	551 HK	16.0	3	Neutral	-2.9	20.5	36.9	2.5	8.7	7.9	-3	10	0.7	0.8	7.9	8.7	8.5	9.5	Pang, Xinyi(Yoyo)
CD- Auto																			
Aima	603529 CH	29.7	4	Buy	-3.6	-14.5	-12.1	-25.1	11.5	10.6	12	9	2.5	2.2	3.5	3.8	22.8	21.7	Yang, Joey
BAIC Motor	1958 HK	1.9	2	Underp.	-10.6	-9.0	-0.5	-19.6	20.7	17.0	-30	22	0.2	0.2	-	-	1.2	1.4	Lee, Ming Hsun
BYD	1211 HK	95.4	121	Buy	-2.2	-13.5	-22.2	8.5	22.9	17.0	-19	35	3.2	2.8	1.3	1.8	15.8	17.7	Lee, Ming Hsun
BYD	002594 CH	97.7	121	Buy	2.7	-10.5	-10.6	5.0	26.2	19.4	-19	35	3.6	3.2	1.1	1.6	15.8	17.7	Lee, Ming Hsun
Chery Auto	9973 HK	30.9	23	Buy	-0.5	-3.2	NA	NA	8.3	7.6	30	9	3.2	2.5	3.6	3.9	46.6	37.7	Yang, Joey
Dong Feng	489 HK	8.8	9	No Rating	-4.1	-2.0	155.7	137.1	52.4	59.2	NM	-12	0.5	0.5	0.8	0.7	0.9	0.8	Lee, Ming Hsun
GAC Motor	2238 HK	4.1	10	Underp.	-1.2	20.3	42.5	20.9	NM	42.2	NM	NM	0.1	0.1	-	0.7	-3.4	0.8	Lee, Ming Hsun
GAC Motor	601238 CH	8.2	10	Underp.	-11.8	7.1	8.9	-12.4	NM	93.7	NM	NM	0.5	0.6	-	0.3	-3.4	0.8	Lee, Ming Hsun
Geely	175 HK	17.9	25	Buy	5.7	-8.4	12.2	23.1	9.5	9.0	3	5	1.6	1.4	4.0	4.2	18.3	16.9	Lee, Ming Hsun
Great Wall Motor	2333 HK	15.3	25	Neutral	2.2	-8.9	31.6	16.4	9.0	7.6	3	19	1.4	1.2	3.3	4.0	15.6	16.5	Lee, Ming Hsun
Great Wall Motor	601633 CH	22.6	25	Underp.	3.3	-8.0	7.5	-12.3	14.9	12.5	3	19	2.2	2.0	2.0	2.4	15.6	16.5	Lee, Ming Hsun
Leapmotor	9863 HK	48.6	8	Buy	-8.3	-26.7	-11.1	49.4	90.2	23.7	NM	281	5.4	4.4	-	-	6.6	21.7	Lee, Ming Hsun
Li Auto	2015 HK	64.9	18	Neutral	-9.9	-36.0	-39.4	-31.0	95.5	34.7	-84	175	1.7	1.7	-	-	1.9	4.9	Lee, Ming Hsun
Li Auto	LI US	16.9	18	Neutral	-7.9	-33.2	-37.6	-29.4	95.5	34.7	-84	175	1.7	1.7	-	-	1.9	4.9	Lee, Ming Hsun
Ninebot	689009 CH	55.6	6	Buy	-2.3	-16.3	-5.4	20.1	20.3	15.6	81	30	5.4	4.2	1.2	1.6	29.0	30.5	Yang, Joey
NIO	NIO US	5.1	13	Neutral	-7.3	-33.1	48.7	17.0	NM	NM	41	73	7.5	13.1	-	-	-199.3	-54.7	Lee, Ming Hsun
NIO	9866 HK	41.0	13	Neutral	-5.9	-28.6	49.5	17.7	NM	NM	41	73	7.5	13.1	-	-	-199.3	-54.7	Lee, Ming Hsun
SAIC Motor	600104 CH	15.2	25	Buy	1.7	-11.1	-4.7	-26.3	17.8	22.4	495	-21	0.6	0.6	1.7	1.3	3.4	2.6	Lee, Ming Hsun
Seres	601127 CH	121.0	32	Buy	-4.1	-29.4	-9.8	-8.5	23.7	18.5	29	28	11.0	8.0	1.5	1.9	55.2	50.1	Yang, Joey
Xpeng	XPEV US	20.3	19	Buy	-7.1	-13.4	13.4	71.6	NM	101.8	75	NM	4.5	4.3	-	-	-4.8	4.4	Lee, Ming Hsun
Xpeng	9868 HK	79.4	19	Buy	-5.4	-14.8	12.4	70.1	NM	101.8	75	NM	4.5	4.3	-	-	-4.8	4.4	Lee, Ming Hsun
Yadea	1585 HK	11.4	5	Neutral	-7.9	-18.0	-9.5	-8.9	10.9	9.8	121	12	3.1	2.6	4.6	5.1	29.5	28.2	Yang, Joey
CD- Auto Components																			
Bethel	603596 CH	51.3	4	Buy	14.0	-4.9	-2.7	15.8	22.5	18.3	14	23	4.0	3.4	1.1	1.4	19.4	20.3	Yang, Joey
CALB	3931 HK	25.1	6	Buy	-11.5	-29.2	46.9	95.3	23.8	13.2	184	80	1.1	1.0	-	-	4.7	8.0	Lee, Ming Hsun
CATL	3750 HK	505.5	242	Buy	7.1	-11.5	54.0	NA	29.6	24.6	33	20	6.2	5.4	1.7	2.0	24.0	23.3	Lee, Ming Hsun
CATL	300750 CH	367.3	242	Buy	-1.6	-8.6	46.1	42.0	23.9	19.9	33	20	5.0	4.4	2.1	2.5	24.0	23.3	Lee, Ming Hsun
Desay SV	002920 CH	120.3	10	Underp.	9.4	-20.5	17.8	10.6	29.3	24.8	14	18	4.2	3.7	1.1	1.3	19.3	17.1	Yang, Joey
Fuyao Glass	600660 CH	64.8	24	Buy	-1.7	-10.6	15.1	8.5	17.5	15.4	29	14	4.0	3.5	3.4	3.9	25.3	26.9	Lo, Jessie
Fuyao Glass	3606 HK	67.2	24	Buy	-0.2	-13.1	21.4	26.2	16.3	14.3	29	14	3.7	3.3	3.7	4.2	25.3	26.9	Lo, Jessie
Hesai	HSAL US	22.4	3	Buy	16.5	-20.3	2.1	62.1	56.5	35.1	NM	61	NM	NM	-	-	-	-	Lo, Jessie
Huayu	600741 CH	20.0	9	Underp.	3.0	-2.4	18.4	18.6	9.1	8.9	3	3	0.9	0.9	3.8	3.9	10.8	10.3	Liang, Fiona
Joyson	600699 CH	31.4	7	Buy	17.4	-9.9	79.8	103.0	30.9	21.1	49	46	3.0	2.7	1.1	1.7	10.1	13.6	Liang, Fiona
Kedali	002850 CH	157.9	6	Buy	1.8	-19.3	39.5	64.5	24.6	19.2	18	29	3.2	2.8	0.3	0.4	14.0	15.6	Lo, Jessie
Minth	425 HK	31.7	5	Buy	-6.8	-6.2	41.6	114.2	11.8	9.5	20	24	1.5	1.3	2.5	4.2	12.9	14.3	Liang, Fiona
Nexteer	1316 HK	6.4	2	Buy	9.0	-24.9	12.5	95.7	14.9	12.5	124	20	1.0	0.9	2.3	2.8	6.8	7.8	Liang, Fiona
Shuanghuan Driveline	002472 CH	47.4	6	Buy	18.9	-4.4	42.2	56.6	32.2	25.7	23	26	4.1	3.6	0.8	1.0	13.3	14.9	Liang, Fiona
Tuopu Group	601689 CH	77.2	19	Buy	22.5	-4.7	63.3	59.2	46.8	37.6	-7	25	6.0	5.4	0.6	0.8	13.7	15.1	Yang, Joey
Wencan	603348 CH	19.3	1	Underp.	-7.7	-13.2	-7.8	-18.0	105.4	28.9	-50	265	1.4	1.4	0.2	0.7	1.4	4.9	Yang, Joey
WeRide	WRD US	8.7	3	Buy	5.3	-12.3	10.2	-38.8	NM	NM	50	-3	0.9	1.2	-	-	-21.2	-23.5	Lee, Ming Hsun



Exhibit 62: Valuation table for BofA Global Research China coverage universe (as of Dec 31, 2025)

By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX (Local) 31-Dec	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	P/E (x) 25E	(x) 26E	EPS Growth (%) 25E	(%) 26E	P/B (x) 25E	(x) 26E	D Yield (%) 25E	(%) 26E	ROE (%) 25E	(%) 26E	Analyst
WeRide	800 HK	23.0	3	Buy	11.3	NA	NA	NA	NM	NM	50	-3	0.9	1.2	-	-	-21.2	-23.5	Lee, Ming Hsun
Xingyu	601799 CH	123.4	5	Buy	2.4	-8.4	-1.1	-6.5	21.4	18.6	17	15	3.1	2.8	1.4	1.6	15.3	15.7	Yang, Joey
CD- Hotels, Restaurants & Leisure																			
Atour	ATAT US	39.4	5	Buy	3.6	5.7	22.2	49.8	24.2	18.9	23	28	9.8	7.6	0.1	0.1	50.5	46.8	Leung, Ronald
BTG Hotels	600258 CH	16.8	3	Underp.	9.6	14.1	18.5	17.2	23.4	21.1	-1	11	1.5	1.5	2.1	2.4	6.7	7.2	Leung, Ronald
China CYTS	600138 CH	9.9	1	Underp.	3.2	0.2	0.3	-1.9	26.7	23.8	67	12	1.1	1.1	0.9	1.0	4.2	4.5	Leung, Ronald
Chow Tai Fook	1929 HK	12.4	16	Buy	-7.7	-19.0	-3.8	91.8	20.9	14.3	-9	47	4.6	4.1	4.2	4.6	22.7	30.9	Leung, Ronald
CTG Duty Free	601888 CH	94.6	28	Neutral	20.0	32.5	55.6	44.0	43.7	33.3	8	31	3.3	3.1	1.1	1.4	8.0	10.1	Leung, Ronald
DPC Dash Ltd	1405 HK	71.7	1	Buy	-6.3	-17.6	-30.2	-8.1	42.9	26.5	49	62	3.5	3.2	-	-	8.4	12.5	Yu, Lucy
Galaxy Entertainment	27 HK	38.3	22	Buy	-4.8	-10.6	11.8	20.0	17.2	16.5	10	5	2.1	2.0	3.7	3.7	12.8	12.6	Choi, Karl
Haidilao	6862 HK	14.3	10	Neutral	3.6	6.2	-1.9	-5.1	16.5	14.3	-11	16	6.7	6.6	5.8	6.7	39.9	45.1	Yu, Lucy
Huazhu	HTHT US	47.1	14	Buy	2.1	20.3	41.7	50.3	22.3	18.3	23	22	8.4	7.6	3.2	3.3	37.4	43.8	Leung, Ronald
Huazhu	1179 HK	36.9	15	Buy	1.3	19.1	42.1	48.9	22.3	18.3	23	22	8.4	7.6	3.2	3.3	37.4	43.8	Leung, Ronald
Melco Resorts	MLCO US	7.6	3	Neutral	-16.9	-17.4	4.7	30.7	55.4	53.0	307	4	NM	NM	-	0.3			Choi, Karl
MGM China Holdings	2282 HK	13.1	6	Buy	-20.6	-21.2	3.9	37.7	10.3	10.6	5	-3	17.3	10.3	4.9	4.7	283.7	121.3	Choi, Karl
Mixue Group	2097 HK	409.8	20	Underp.	-3.6	5.5	-20.3	NA	23.1	21.2	29	9	5.7	4.5	-	-	30.4	23.8	Luo, Chen
NagaCorp Ltd.	3918 HK	4.7	3	Neutral	-8.6	-20.5	32.5	62.1	8.6	8.3	181	4	1.1	1.0	3.4	3.4	13.5	12.9	Leung, Ronald
Sands China Ltd.	1928 HK	19.6	20	Buy	-7.5	-9.7	21.4	-3.5	21.4	19.7	-9	9	13.6	14.2	4.3	5.1	75.3	70.7	Choi, Karl
Shanghai Jinjiang	600754 CH	25.3	4	Underp.	-0.5	9.6	14.5	-4.3	31.4	25.9	60	21	1.7	1.6	1.6	2.0	5.5	6.5	Leung, Ronald
Shangri-La Asia	69 HK	4.8	2	Buy	5.1	4.4	12.5	-7.2	16.5	14.6	14	13	0.4	0.4	3.2	3.2	2.4	2.5	Leung, Ronald
SJM Holdings Limited	880 HK	2.4	2	Underp.	-10.7	-27.4	-4.7	-10.4	215.0	24.4	NM	783	1.2	1.2	-	-	0.6	5.0	Choi, Karl
TravelSky	696 HK	10.3	4	Neutral	-2.4	-3.2	-2.1	1.3	12.0	11.2	2	7	1.1	1.1	2.7	2.9	9.3	9.4	Han, Amy
Wynn Macau	1128 HK	5.9	4	Neutral	-9.2	-17.7	12.5	17.1	14.3	11.9	-32	20	NM	NM	6.2	6.5			Choi, Karl
Yum China	9987 HK	368.6	17	Buy	-1.3	8.6	6.0	0.6	19.3	16.8	6	15	3.4	3.7	2.0	2.2	16.8	20.3	Luo, Chen
Yum China	YUMC US	47.7	17	Buy	-0.3	11.8	7.9	1.2	19.3	16.8	6	15	3.4	3.7	2.0	2.2	16.8	20.3	Luo, Chen
CD- Household Durables																			
Great Star	002444 CH	34.0	6	Buy	8.3	11.5	34.5	6.0	16.1	14.3	10	13	2.1	1.9	1.6	1.7	14.3	14.2	Wang, Summer
Gree Electric	000651 CH	40.2	32	Neutral	-0.3	1.3	-6.5	-5.6	7.5	8.0	-7	-6	1.6	1.5	6.9	6.9	20.8	17.9	Luo, Chen
Haier Smart Home	6690 HK	24.3	33	Buy	-8.7	-3.0	9.5	-6.3	9.5	9.0	14	6	1.7	1.5	5.3	5.6	18.4	17.8	Yu, Lucy
Haier Smart Home	600690 CH	26.1	33	Buy	-5.4	4.0	10.2	-4.1	11.3	10.7	14	6	2.0	1.8	4.4	4.7	18.4	17.8	Yu, Lucy
Hisense	921 HK	23.2	5	Neutral	-9.0	-4.5	8.3	0.3	8.5	7.7	2	10	1.7	1.5	5.9	6.5	20.8	20.6	Yu, Lucy
Hisense	000921 CH	24.8	5	Neutral	-6.4	-4.7	1.4	-9.8	10.1	9.2	2	10	2.0	1.8	4.9	5.4	20.8	20.6	Yu, Lucy
Jason Furniture	603816 CH	30.7	4	Underp.	-2.8	1.9	27.1	17.6	14.9	14.3	29	4	2.4	2.3	5.6	5.9	16.4	16.3	Pang, Xinyi(Yoyo)
Man Wah Holdings	1999 HK	4.6	2	Neutral	-1.1	9.5	12.6	0.9	8.6	7.7	-11	11	1.4	1.3	5.9	6.3	16.6	17.3	Pang, Xinyi(Yoyo)
Midea	300 HK	85.0	85	Buy	-4.0	4.0	14.9	18.7	13.0	13.1	8	-0	2.5	2.4	5.6	6.0	20.2	19.1	Luo, Chen
Midea	000333 CH	78.2	85	Buy	-2.1	8.2	8.9	9.6	13.4	13.4	8	-0	2.6	2.5	5.4	5.9	20.2	19.1	Luo, Chen
Oppein	603833 CH	52.1	5	Underp.	-2.1	-2.3	-3.7	-21.2	13.1	12.8	4	3	1.6	1.5	4.9	5.1	12.2	11.8	Pang, Xinyi(Yoyo)
Robam	002508 CH	19.4	3	Neutral	-5.6	1.4	4.4	-5.0	11.3	10.9	3	4	1.5	1.5	5.3	5.5	13.2	13.0	Yu, Lucy
Roborock Technology	688169 CH	152.1	6	Buy	-0.1	-27.5	-2.9	-2.4	25.6	14.5	-22	77	2.8	2.4	0.4	0.7	9.5	15.9	Pang, Xinyi(Yoyo)
Suofeiya	002572 CH	13.6	2	Buy	-2.6	7.3	-2.9	-15.2	10.7	10.4	12	3	1.8	1.8	8.3	9.0	17.1	17.5	Pang, Xinyi(Yoyo)
CD- Internet & Direct Marketing Retail																			
Alibaba	BABA US	146.6	350	Buy	-6.8	-18.0	29.2	75.8	19.7	23.3	71	-18	2.2	2.1	1.4	1.4	11.8	9.2	Ju, Joyce
Alibaba	9988 HK	142.8	350	Buy	-5.7	-19.3	30.1	76.2	19.7	23.3	71	-18	2.2	2.1	1.4	1.4	11.8	9.2	Ju, Joyce
Fenbi Ltd	2469 HK	2.1	1	Neutral	-35.7	-29.3	-16.3	-19.9	5.2	4.5	20	17	1.6	1.2	-	-	34.3	29.5	Yu, Lucy
JD.com	JD US	28.7	42	Buy	-3.8	-18.0	-12.1	-14.8	13.6	10.5	-45	29	1.0	0.9	3.8	3.6	6.8	8.0	Ju, Joyce
JD.com	9618 HK	111.6	42	Buy	-4.2	-19.4	-12.7	-15.8	13.6	10.5	-45	29	1.0	0.9	3.8	3.6	6.8	8.0	Ju, Joyce
MeiDong Auto	1268 HK	1.3	0	Neutral	-18.6	-36.8	-44.1	-43.8	NM	8.7	61	NM	0.8	0.7	-	5.7	-36.3	8.7	Yang, Joey
Meituan	3690 HK	103.3	81	Neutral	0.8	-1.1	-17.6	-31.9	NM	NM	NM	54	3.9	4.3	-	-	-12.0	-3.7	Ju, Joyce
MINISO Group	MNSO US	18.8	6	Neutral	-5.6	-16.7	4.1	-18.9	13.8	12.2	8	14	3.7	3.4	3.6	4.1	27.9	29.8	Yu, Lucy
MINISO Group	9896 HK	36.4	6	Neutral	-6.3	-18.3	3.5	-20.3	13.8	12.2	8	14	3.7	3.4	3.6	4.1	27.9	29.8	Yu, Lucy
New Oriental	EDU US	55.0	9	Buy	7.6	4.9	3.2	-13.3	17.4	15.4	14	13	2.5	2.5	-	2.2	13.9	15.6	Yu, Lucy
New Oriental	9901 HK	42.2	9	Buy	4.8	1.1	1.3	-12.7	17.4	15.4	14	13	2.5	2.5	-	2.2	13.9	15.6	Yu, Lucy
PDD Holdings	PDD US	113.4	161	Neutral	-2.3	-14.2	8.3	16.9	10.2	9.2	-6	11	2.6	2.0	-	-	31.2	26.1	Ju, Joyce
Pop Mart	9992 HK	187.7	32	Buy	-16.5	-29.6	-29.6	110.2	19.1	13.5	284	42	12.7	7.7	1.6	2.2	85.7	70.5	Ma, Alice
TAL	TAL US	10.9	7	Buy	-0.8	-2.6	6.8	8.9	44.9	23.7	74	89	1.8	1.7	-	-	4.0	7.3	Yu, Lucy
Tongcheng Travel	780 HK	22.4	7	Buy	2.4	-2.4	14.6	24.4	17.2	14.4	35	19	2.1	1.8	1.3	1.5	15.0	15.7	Ju, Joyce
Trip.com	TCOM US	71.9	50	Buy	2.8	-4.4	22.6	5.2	11.1	18.3	83	-39	1.9	1.7	0.5	0.5	19.8	10.4	Ju, Joyce
Trip.com	9961 HK	554.0	49	Buy	3.6	-7.0	21.5	3.1	11.1	18.3	83	-39	1.9	1.7	0.5	0.5	19.8	10.4	Ju, Joyce
Vipshop	VIPS US	17.7	9	Buy	-9.9	-9.9	17.5	36.3	8.6	7.9	-1	9	1.5	1.4	-	-	17.2	16.9	Ju, Joyce
Yongda	3669 HK	1.8	0	Underp.	1.1	-7.9	-18.8	-27.1	NM	12.9	NM	NM	0.2	0.2	8.9	3.9	-23.3	1.6	Yang, Joey
Zhongsheng Group	881 HK	11.6	4	Buy	-0.8	-20.3	-4.0	-12.1	11.4	8.2	-33	39	0.5	0.5	3.5	4.9	4.6	6.2	Yang, Joey
CS- Food & Personal Products																			
Anjoy Foods	603345 CH	79.3	4	Underp.	-2.7	12.4	0.5	1.8	19.4	17.4	-20	12	1.5	1.5	3.6	4.0	9.6	9.6	Chen, Jack
Chacha Food	002557 CH	21.6	2	Buy	-0.1	1.0	0.0	-21.3	19.5	13.9	-34	41	1.9	1.8	3.4	4.8	9.6	13.1	Chen, Jack
China Feihe	6186 HK	4.1	5	Neutral	-1.9	1.5	-26.9	-21.3	14.6	11.9	-37	23	1.3	1.2	6.1	7.5	8.7	10.5	Chen, Jack
CR Beverage	2460 HK	10.1	3	Neutral	-3.4	-8.6	-15.9	-9.7	20.6	16.0	-46	29	1.8	1.7	2.2	3.1	9.1	11.1	Chen, Jack
Eastroc Beverage	605499 CH	267.4	20	Buy	1.4	-12.0	-14.1	9.5	30.8	24.7	36	25	15.4	13.0	2.3	2.8	53.9	57.0	Chen, Jack
Fuling Zhacai	002507 CH	12.9	2	Underp.	-1.0	0.8	0.9	-5.7	18.2	17.4	2	5	1.7	1.6	3.3	3.5	9.2	9.3	Chen, Jack
Giant Biogene	2367 HK	33.3	5	Buy	-8.0	-41.1	-42.3	-31.8	16.6	14.2	-13	17	3.2	2.8	3.0	3.5	22.5	20.9	Cui, Ethan
Haitian	603288 CH	37.0	31	Neutral	0.2	-5.0	-4.2	-17.2	29.2	26.8	11	9	5.3	5.0	2.6	2.8	22.2	22.8	Chen, Jack

Exhibit 62: Valuation table for BofA Global Research China coverage universe (as of Dec 31, 2025)

By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX (Local) 31-Dec	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	P/E (x) 25E	P/E (x) 26E	EPS Growth (%) 25E	EPS Growth (%) 26E	P/B (x) 25E	P/B (x) 26E	D Yield (%) 25E	D Yield (%) 26E	ROE (%) 25E	ROE (%) 26E	Analyst
Hengan	1044 HK	27.9	4	Neutral	-0.6	9.8	27.7	32.7	12.0	11.9	3	1	1.3	1.3	5.7	5.7	11.1	10.9	Zhang, Candice
Ligao Foods	300973 CH	43.0	1	Buy	9.8	2.2	-11.4	11.9	20.8	17.1	30	22	2.7	2.5	2.4	2.9	13.1	14.9	Chen, Jack
Mao Geping	1318 HK	81.7	5	Buy	-10.0	-21.2	-24.6	41.4	30.0	22.8	12	32	7.7	6.2	1.0	1.3	29.4	30.3	Yu, Lucy
Mengniu Dairy	2319 HK	14.9	7	Buy	-0.7	-0.6	-7.4	-12.3	12.6	9.8	NM	29	1.2	1.1	4.0	5.6	9.8	12.0	Luo, Chen
Nongfu Spring	9633 HK	46.8	68	Buy	-4.1	-13.1	16.8	41.0	32.0	27.8	22	15	13.4	11.8	2.2	2.5	42.9	43.5	Chen, Jack
Proya Cosmetics	603605 CH	68.5	4	Neutral	-2.7	-14.4	-16.4	-17.1	17.0	16.0	3	6	4.3	3.7	2.4	2.5	27.0	24.6	Yu, Lucy
Shanghai Jahwa	600315 CH	22.5	2	Underp.	-2.9	-14.3	7.0	33.4	34.7	29.8	NM	17	2.1	2.0	-	-	7.4	7.7	Yu, Lucy
Shuanghui	000895 CH	26.5	13	Buy	-1.9	7.0	11.3	7.6	17.8	17.4	3	2	4.3	4.3	5.5	5.6	24.3	24.8	Luo, Chen
Smoore	6969 HK	11.9	9	Underp.	-10.5	-32.4	-34.0	-9.3	49.6	36.9	-7	34	2.9	2.8	0.8	1.1	5.9	7.6	Ma, Alice
Sun Art	6808 HK	1.7	2	No Rating	7.5	-2.8	-14.4	-21.0	NM	NM	75	58	0.7	0.7	1.3	2.0	-1.9	-0.8	Luo, Chen
Tingyi	322 HK	11.8	9	Buy	-1.2	13.1	2.5	23.3	13.9	13.7	15	1	4.2	4.2	7.2	7.3	30.1	30.5	Chen, Jack
Uni-President China	220 HK	8.1	5	Buy	-1.8	-1.1	-14.4	8.9	14.2	13.9	20	2	2.4	2.4	7.0	7.2	16.6	16.9	Chen, Jack
Want Want China	151 HK	4.6	7	Underp.	-0.4	-12.3	-12.9	4.7	11.8	12.2	9	-7	2.8	2.5	3.4	3.3	25.4	21.2	Luo, Chen
WH Group	288 HK	8.7	14	Buy	6.5	6.7	22.1	67.8	9.1	8.7	7	5	1.3	1.2	12.5	7.5	14.7	14.8	Luo, Chen
Yankershop	002847 CH	68.3	3	Buy	-3.8	-2.0	-13.5	11.2	24.1	19.4	22	24	9.2	7.7	2.5	3.1	41.2	43.1	Chen, Jack
Yifeng Pharmacy	603939 CH	21.7	4	Underp.	-4.0	-11.9	-10.2	-7.4	15.7	15.2	9	4	2.7	2.5	3.2	3.3	15.0	14.4	Cui, Ethan
Yihai	1579 HK	12.6	2	Underp.	1.4	0.2	-7.2	-11.6	14.1	13.8	5	3	2.5	2.4	5.7	5.8	16.7	16.6	Yu, Lucy
Yihai Kerry Arawana	300999 CH	28.7	22	Underp.	-3.3	-8.9	-2.7	-11.6	41.6	35.8	50	16	1.6	1.6	0.6	0.7	3.9	4.4	Chen, Jack
Yili	600887 CH	28.6	26	Buy	-1.0	6.6	4.3	0.4	16.8	15.5	28	8	3.3	3.1	4.5	4.8	19.7	20.3	Luo, Chen
Yonghui	601933 CH	4.7	6	Neutral	15.5	0.2	-4.3	-26.0	NM	77.6	85	NM	10.5	9.5	-	-	-5.3	13.5	Yu, Lucy
CS- Liquors																			
Bairun	002568 CH	21.8	3	Underp.	-7.2	-15.4	-14.8	-21.3	27.4	24.0	16	14	4.5	4.2	2.0	2.3	17.0	18.0	Chen, Jack
BUD APAC	1876 HK	7.6	13	Buy	-5.2	-8.3	-2.3	6.9	22.4	19.3	-21	16	1.3	1.3	5.8	6.0	5.7	6.7	Luo, Chen
CR Beer	291 HK	26.2	11	Buy	-5.7	-4.4	6.8	7.5	12.5	12.9	29	-3	2.2	2.1	4.4	4.5	18.5	16.6	Luo, Chen
Jiangsu Yanghe	002304 CH	60.7	13	Underp.	-8.2	-10.6	-5.9	-22.4	19.0	15.5	-28	22	1.9	1.9	7.7	7.7	9.5	12.0	Luo, Chen
Kweichow Moutai	600519 CH	1,377.2	247	Buy	-3.4	-3.0	-0.6	-6.3	19.1	18.6	5	3	6.8	6.2	3.9	4.0	37.1	34.8	Luo, Chen
Luzhou Laojiao	000568 CH	116.2	24	Underp.	-14.5	-11.9	6.3	-2.6	14.4	15.1	-12	-5	3.4	3.2	5.1	5.2	24.3	22.0	Luo, Chen
Shanxi Fen Wine	600809 CH	171.7	30	Buy	-11.6	-11.5	-0.6	-3.5	17.6	16.8	-3	4	5.3	4.8	3.6	3.6	32.3	29.9	Luo, Chen
Tsingtao Brewery	168 HK	48.7	10	Buy	-7.4	-8.1	-4.9	-10.4	13.0	12.5	9	4	1.9	1.9	5.4	5.8	15.4	15.4	Luo, Chen
Tsingtao Brewery	600600 CH	61.2	10	Buy	-3.7	-7.2	-11.9	-22.0	18.2	17.4	9	4	2.7	2.6	3.8	4.1	15.4	15.4	Luo, Chen
Wuliangye Yibin	000858 CH	105.9	59	Neutral	-8.0	-10.8	-6.5	-19.0	15.8	14.4	-18	10	2.9	2.8	5.4	5.6	19.1	20.2	Luo, Chen
EG- Coal & Consumable Fuels																			
CGN Mining	1164 HK	3.1	3	Buy	3.0	-1.9	27.2	90.2	52.8	19.1	30	177	5.4	4.3	0.3	0.3	10.7	25.0	Chan, Miriam
China Coal	1898 HK	10.0	22	Neutral	-5.3	7.1	15.2	12.6	8.7	9.0	-25	-4	0.7	0.7	4.0	3.9	8.8	8.0	Zhao, Matty
China Coal	601898 CH	12.4	22	Neutral	-8.0	10.9	17.7	5.7	11.1	11.4	-23	-3	1.0	1.0	2.9	2.8	9.5	8.7	Zhao, Matty
China Shenhua	1088 HK	38.8	112	Neutral	-2.6	7.0	30.8	27.7	13.7	14.0	-19	-2	1.6	1.5	5.3	5.1	11.6	11.0	Zhao, Matty
China Shenhua	601088 CH	40.5	112	Neutral	-1.6	7.6	8.1	0.8	13.7	14.0	-15	-2	1.8	1.8	4.5	4.4	13.6	12.9	Zhao, Matty
Yankuang Energy	1171 HK	9.6	16	Underp.	-5.3	-5.5	25.8	17.1	8.8	9.5	-31	-7	1.0	1.0	6.2	5.7	11.7	10.5	Zhao, Matty
Yankuang Energy	600188 CH	13.2	16	Underp.	-5.5	-1.2	9.5	-1.9	13.3	14.0	-32	-4	1.5	1.4	4.0	3.8	11.5	10.5	Zhao, Matty
EG- Oil & Gas																			
COSL	2883 HK	7.0	8	Neutral	-3.6	4.6	8.5	3.4	7.4	7.4	29	0	0.6	0.6	4.8	4.8	8.8	8.3	Wang, Yiming
COSL	601808 CH	14.0	8	Neutral	0.5	4.3	2.0	-6.4	16.5	16.5	29	0	1.4	1.3	2.1	2.1	8.8	8.3	Wang, Yiming
PetroChina	857 HK	8.4	264	Buy	-3.5	18.4	28.1	47.0	8.7	8.5	-4	3	0.8	0.8	5.9	6.1	10.0	9.7	Zhao, Matty
PetroChina	601857 CH	10.4	264	Buy	6.8	29.2	24.9	22.9	12.1	11.7	-4	3	1.2	1.1	4.3	4.4	10.0	9.7	Zhao, Matty
Sinopec	386 HK	4.7	100	Buy	5.9	15.3	16.2	11.3	14.3	10.3	-27	39	0.6	0.6	5.0	6.3	4.4	6.2	Zhao, Matty
Sinopec	600028 CH	6.2	100	Buy	6.9	16.8	11.3	-3.8	21.1	15.2	-27	39	0.9	0.9	3.4	4.3	4.4	6.2	Zhao, Matty
FI- Banks																			
ABC	1288 HK	5.8	374	Neutral	1.4	12.6	8.2	40.7	6.6	6.3	5	4	0.9	0.9	4.9	5.1	10.3	10.0	Wu, Winnie
ABC	601288 CH	7.7	374	Underp.	-3.0	16.9	35.4	52.4	9.7	9.3	5	4	0.9	0.9	3.3	3.5	10.3	10.0	Wu, Winnie
Bank of Chengdu	601838 CH	16.1	10	Buy	-4.4	-6.6	-16.0	-1.3	5.1	4.8	-4	6	0.8	0.7	5.9	6.1	15.6	15.0	Han, Wenqing
Bank of Hangzhou	600926 CH	15.3	16	Neutral	-2.0	2.6	-5.4	8.9	5.5	5.4	0	3	0.8	0.7	4.2	4.7	14.9	14.2	Han, Wenqing
Bank of Jiangsu	600919 CH	10.4	27	Buy	-3.0	3.7	-11.4	11.2	5.8	5.4	9	7	0.7	0.7	5.5	5.8	13.5	13.1	Han, Wenqing
Bank of Nanjing	601009 CH	11.4	20	Neutral	-1.2	7.4	1.1	12.1	6.4	6.2	3	4	0.8	0.7	4.7	5.1	12.2	11.9	Han, Wenqing
Bank of Ningbo	002142 CH	28.1	27	Buy	0.1	7.4	7.2	20.7	6.5	5.7	10	14	0.8	0.7	3.5	4.0	13.1	13.4	Han, Wenqing
Bank of Suzhou	002966 CH	8.3	5	Neutral	1.1	4.2	-3.2	7.2	7.3	6.8	-13	7	0.8	0.7	4.7	5.0	11.0	10.7	Han, Wenqing
BOC	3988 HK	4.5	244	Neutral	-2.2	7.5	0.4	22.8	5.4	5.4	-1	-1	0.6	0.6	5.7	5.9	9.0	8.5	Wu, Winnie
BOC	601988 CH	5.7	244	Neutral	-3.8	12.8	3.9	10.8	7.7	7.7	-1	-1	0.6	0.6	4.0	4.1	9.0	8.5	Wu, Winnie
BoCHK	2388 HK	39.4	54	Buy	5.2	8.7	17.3	68.4	10.5	11.2	4	-6	1.2	1.1	5.3	5.3	11.4	10.2	Wu, Winnie
BoComm	3328 HK	6.5	84	Neutral	-7.3	1.4	-9.3	10.4	5.3	5.5	-5	-4	0.5	0.5	5.7	6.0	8.4	7.9	Wu, Winnie
BoComm	601328 CH	7.3	84	Buy	-2.4	10.2	-7.4	0.3	6.6	6.8	-7	-4	0.5	0.5	4.6	4.8	8.4	7.9	Wu, Winnie
CCB	939 HK	7.7	266	Neutral	-3.5	5.4	-0.4	30.0	5.3	5.4	-0	-2	0.5	0.5	5.7	5.7	10.0	9.3	Wu, Winnie
CCB	601939 CH	9.3	266	Buy	-2.0	10.0	0.3	12.7	7.1	7.2	-0	-2	0.5	0.5	4.2	4.2	10.0	9.3	Wu, Winnie
Changshu Rural Commercial Bank	601128 CH	7.0	3	Neutral	-1.3	2.9	-2.5	7.7	5.7	5.8	-2	-2	0.7	0.6	4.0	4.3	13.8	13.4	Han, Wenqing
China Citic Bank	998 HK	6.9	58	Buy	-3.2	6.7	-4.6	36.2	5.2	5.0	-1	3	0.6	0.5	5.9	6.1	9.4	9.1	Xu, Emma
China Citic Bank	601998 CH	7.7	58	Underp.	-0.8	9.5	-5.5	15.1	6.4	6.2	-1	3	0.6	0.5	4.8	4.9	9.4	9.1	Xu, Emma
China Everbright Bank	6818 HK	3.6	29	Underp.	-4.2	12.3	-4.9	28.3	5.3	5.1	-1	4	0.4	0.4	5.7	6.0	7.3	7.3	Xu, Emma
China Everbright Bank	601818 CH	3.5	29	Underp.	-3.3	3.9	-14.2	-5.4	5.7	5.4	-1	4	0.4	0.4	5.3	5.6	7.3	7.3	Xu, Emma
CIB	601166 CH	21.1	64	Underp.	-0.2	6.1	-9.8	15.0	6.1	5.6	-1	7	0.5	0.5	5.0	5.3	9.1	9.2	Xu, Emma
CMB	3968 HK	52.8	155	Underp.	1.0	12.9	0.2	37.4	8.3	8.2	0	1	1.0	0.9	4.2	4.3	13.2	12.3	Wu, Winnie



Exhibit 62: Valuation table for BofA Global Research China coverage universe (as of Dec 31, 2025)

By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX (Local) 31-Dec	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	P/E (x) 25E	P/E (x) 26E	EPS Growth (%) 25E	EPS Growth (%) 26E	P/B (x) 25E	P/B (x) 26E	D Yield (%) 25E	D Yield (%) 26E	ROE (%) 25E	ROE (%) 26E	Analyst
CMB	600036 CH	42.1	155	Underp.	-2.0	4.2	-4.4	11.8	7.4	7.3	0	1	1.0	0.9	4.8	4.8	13.2	12.3	Wu, Winnie
CQRB	3618 HK	6.2	10	Buy	-2.1	2.3	-7.2	34.6	5.3	4.9	5	7	0.5	0.5	5.8	6.2	9.1	9.0	Han, Wenqing
CQRB	601077 CH	6.5	10	Buy	-0.6	-2.0	-9.5	12.0	6.2	5.8	5	7	0.5	0.5	5.0	5.3	9.1	9.0	Han, Wenqing
ICBC	1398 HK	6.3	376	Buy	0.1	12.4	6.7	31.3	5.7	5.6	2	1	0.7	0.6	5.5	5.6	9.5	9.0	Wu, Winnie
ICBC	601398 CH	7.9	376	Neutral	-0.5	10.6	8.6	21.7	7.9	7.8	2	1	0.7	0.6	3.9	4.0	9.5	9.0	Wu, Winnie
MSB	1988 HK	3.9	24	Underp.	-9.7	-4.4	-8.6	20.0	5.5	5.4	0	2	0.3	0.3	5.4	5.5	5.1	5.0	Xu, Emma
MSB	600016 CH	3.8	24	Underp.	-6.4	-3.8	-15.8	-3.1	6.0	5.9	0	2	0.3	0.3	5.0	5.1	5.1	5.0	Xu, Emma
Ping An Bank	000001 CH	11.4	32	Underp.	-1.7	2.7	-3.5	2.7	5.4	5.1	-2	6	0.5	0.5	5.2	5.5	9.3	9.2	Xu, Emma
PSBC	1658 HK	5.3	92	Underp.	-3.3	-2.6	-2.9	19.1	6.5	6.7	-9	-3	0.6	0.6	4.6	4.9	8.7	8.2	Wu, Winnie
PSBC	601658 CH	5.5	92	Neutral	-4.0	-5.2	-0.4	0.7	7.4	7.7	-9	-3	0.6	0.6	4.0	4.3	8.7	8.2	Wu, Winnie
Shanghai Rural Commercial Bank	601825 CH	9.3	13	Underp.	-1.4	13.6	-1.5	14.5	7.3	6.9	0	5	0.7	0.6	4.7	5.8	9.5	9.0	Han, Wenqing
SPDB	600000 CH	12.4	59	Underp.	8.4	4.5	-7.7	24.6	8.5	8.6	8	-1	0.6	0.5	3.3	3.5	6.6	6.4	Xu, Emma
FI- Diversified Financials																			
BOC International	601696 CH	15.0	6	Underp.	16.0	4.5	40.6	34.7	39.5	35.7	16	11	2.1	2.0	0.4	0.4	5.6	5.7	Liu, Susie
China Merchants Securities	6099 HK	13.9	20	Underp.	-5.0	-19.5	2.0	-9.6	10.1	9.0	9	13	1.2	1.1	3.4	3.7	9.1	9.8	Liu, Susie
China Merchants Securities	600999 CH	16.6	20	Underp.	2.1	-2.7	-2.7	-10.7	13.5	11.9	9	13	1.2	1.1	2.5	2.8	9.1	9.8	Liu, Susie
CICC	3908 HK	19.6	19	Buy	3.2	-8.1	11.7	54.2	10.8	9.5	57	13	1.3	1.3	1.5	1.8	8.1	8.6	Liu, Susie
CICC	601995 CH	35.0	19	Neutral	0.6	-4.9	-0.5	4.4	21.5	19.0	104	13	1.3	1.3	0.7	0.9	8.1	8.6	Liu, Susie
CITICS	6030 HK	27.4	59	Buy	3.7	-10.0	18.5	31.5	12.8	11.5	36	12	1.4	1.3	2.9	3.2	10.3	10.6	Liu, Susie
CITICS	600030 CH	28.7	59	Buy	4.1	-4.0	4.9	-0.7	15.0	13.4	36	12	1.4	1.3	2.5	2.8	10.3	10.6	Liu, Susie
CSC	601066 CH	26.8	27	Underp.	8.0	-0.2	12.0	4.6	23.5	22.2	44	6	2.2	2.1	1.4	1.4	11.0	10.7	Liu, Susie
CSC	6066 HK	12.8	27	Buy	7.4	-7.8	26.4	35.1	10.1	9.6	44	6	2.2	2.1	3.2	3.3	11.0	10.7	Liu, Susie
East Money	300059 CH	23.2	52	Buy	-0.9	-14.5	0.2	-10.0	28.5	25.4	34	12	4.0	3.4	0.3	0.3	14.8	14.5	Li, Michael
Futu	FUTU US	164.2	23	Buy	-3.2	-5.6	32.9	105.3	17.0	15.3	91	11	4.6	3.5	-	-	31.2	25.9	Xu, Emma
Galaxy Securities	601881 CH	15.7	21	Buy	-1.1	-10.9	-6.6	5.2	13.6	13.0	43	5	1.2	1.1	2.6	2.7	10.7	10.1	Liu, Susie
Galaxy Securities	6881 HK	10.0	21	Buy	-1.5	-14.3	17.8	46.7	7.8	7.4	43	5	1.2	1.1	4.5	4.7	10.7	10.1	Liu, Susie
GF Securities	1776 HK	17.6	22	Buy	4.6	-13.3	34.4	74.8	9.5	8.7	44	10	1.2	1.1	4.2	4.6	9.9	10.1	Liu, Susie
GF Securities	000776 CH	22.0	22	Buy	4.2	-0.7	31.6	39.6	13.3	12.1	44	10	1.2	1.1	3.0	3.3	9.9	10.1	Liu, Susie
Guolian Minsheng Securities	601456 CH	10.2	8	Buy	-0.6	-9.0	-1.2	-24.4	24.4	25.4	197	-4	1.1	1.0	1.1	1.2	5.9	4.4	Liu, Susie
Guotai Haitong Securities	2611 HK	16.6	49	Buy	7.0	3.6	33.4	54.6	9.7	10.7	228	-10	1.1	1.0	3.1	3.7	8.6	7.5	Liu, Susie
Guotai Haitong Securities	601211 CH	20.6	49	Buy	7.3	9.8	9.6	12.6	13.3	14.8	228	-10	1.1	1.0	2.3	2.7	8.6	7.5	Liu, Susie
HKEX	388 HK	407.6	66	Buy	-0.8	-7.8	-1.4	42.1	30.8	28.6	28	8	9.0	8.5	2.9	3.1	30.1	30.5	Li, Michael
Huatai Securities	6886 HK	18.8	29	Neutral	2.8	-7.8	22.5	48.4	10.0	8.5	4	17	1.1	1.1	3.3	4.0	9.0	9.8	Liu, Susie
Huatai Securities	601688 CH	23.6	29	Buy	12.6	9.1	35.7	37.4	13.9	11.9	4	17	1.1	1.1	2.4	2.9	9.0	9.8	Liu, Susie
Orient Securities	600958 CH	10.9	13	Underp.	4.7	-3.7	13.8	5.4	18.4	16.2	61	14	1.1	1.0	2.4	2.8	6.4	6.9	Liu, Susie
Orient Securities	3958 HK	6.8	13	Underp.	0.1	-15.1	25.2	40.8	10.4	9.2	61	14	1.1	1.0	4.3	4.9	6.4	6.9	Liu, Susie
Qifu Technology	QFIN US	19.3	3	Buy	-1.3	-33.0	-54.4	-47.5	2.6	2.3	23	14	0.7	0.6	8.4	10.1	27.6	24.8	Xu, Emma
Qifu Technology	3660 HK	75.9	3	Buy	-2.5	-35.1	-55.3	-46.3	2.6	2.3	23	14	0.7	0.6	8.4	10.1	27.6	24.8	Xu, Emma
Sinolink Securities	600109 CH	9.3	5	Buy	1.6	-9.1	7.4	7.9	14.7	12.5	40	17	0.9	0.8	2.0	2.4	6.7	7.1	Liu, Susie
Tiger Brokers	TIGR US	9.6	2	Buy	8.4	-10.4	-0.9	48.0	12.0	13.7	108	-12	2.1	1.9	-	-	19.0	13.9	Xu, Emma
Zheshang Securities	601878 CH	10.8	7	Buy	-1.3	-6.2	-0.1	-10.6	20.4	16.4	6	25	1.3	1.2	1.5	1.8	6.7	7.8	Liu, Susie
FI- Insurance																			
China Life Insurance	2628 HK	27.4	162	Buy	1.9	25.4	51.0	93.8	4.6	10.1	40	-54	1.3	1.2	3.2	3.3	28.5	12.3	Li, Michael
China Life Insurance	601628 CH	45.5	162	Underp.	4.5	15.4	12.3	10.4	8.6	18.7	40	-54	2.4	2.2	1.7	1.8	28.5	12.3	Li, Michael
CPIC	2601 HK	35.2	54	Buy	14.0	13.6	31.1	45.8	5.8	6.2	17	-6	0.9	0.9	3.8	4.4	17.2	14.6	Li, Michael
CPIC	601601 CH	41.9	54	Underp.	20.6	19.3	15.0	26.6	7.6	8.2	17	-6	1.3	1.1	2.9	3.3	17.2	14.6	Li, Michael
New China Life Insurance	1336 HK	54.4	28	Underp.	17.2	19.4	35.8	146.0	3.8	4.5	52	-16	1.4	1.2	7.8	6.6	38.7	28.9	Li, Michael
New China Life Insurance	601336 CH	69.7	28	Underp.	7.2	15.1	24.1	46.0	5.5	6.5	52	-16	2.0	1.8	5.5	4.6	1,276	1,074	Li, Michael
PICC Group	1339 HK	6.8	53	Buy	-4.3	0.3	16.9	80.3	4.8	4.7	34	1	0.9	0.9	4.2	4.7	20.5	19.7	Li, Michael
PICC Group	601319 CH	9.0	53	Underp.	4.3	15.9	5.1	21.3	7.0	6.9	34	1	1.4	1.3	2.8	3.2	20.5	19.7	Li, Michael
PICC P&C	2328 HK	16.4	47	Buy	-7.4	-5.5	11.8	38.6	6.8	6.8	49	1	1.2	1.2	4.4	4.4	18.1	17.5	Li, Michael
Ping An Insurance	2318 HK	65.2	167	Buy	14.9	22.8	33.1	49.4	6.7	7.2	26	-7	1.1	1.0	4.7	4.8	16.6	14.4	Li, Michael
Ping An Insurance	601318 CH	68.4	167	Neutral	16.0	26.2	25.3	35.9	7.8	8.4	26	-7	1.3	1.2	4.0	4.1	16.6	14.4	Li, Michael
ZhongAn Online P&C	6060 HK	16.1	3	Buy	4.7	-8.5	-11.9	36.6	16.8	15.8	109	7	1.1	1.0	-	-	6.9	6.8	Li, Michael
HC- Biotechnology																			
BeiGene	ONC US	303.8	38	Buy	-10.8	-10.8	25.5	64.5	87.3	46.9	NM	86	9.0	7.6	-	-	10.4	16.9	Li, Bo (David)
BeiGene	6160 HK	179.3	37	Buy	-12.5	-12.6	21.3	64.2	87.3	46.9	NM	86	9.0	7.6	-	-	10.4	16.9	Li, Bo (David)
CanSino	6185 HK	34.9	2	Buy	-12.0	-29.5	1.4	10.9	4,362	32.1	NM	NM	0.8	0.8	-	-	0.0	4.8	Li, Bo (David)
Everest Medicine	1952 HK	37.0	2	Neutral	-21.6	-34.3	-40.5	-23.6	NM	37.8	99	NM	2.9	2.7	-	-	-0.3	6.7	Li, Bo (David)
Hualan Biological	002007 CH	15.1	4	Buy	-2.8	-2.0	-0.5	-6.3	25.2	23.0	1	10	2.2	2.1	1.3	1.7	9.0	9.3	Cui, Ethan
Imeik	300896 CH	141.7	6	Buy	-2.5	-21.9	-18.4	-20.1	28.9	26.5	-24	9	5.3	4.8	2.0	2.2	18.6	19.0	Cui, Ethan
Innovent	1801 HK	76.3	17	Buy	-19.0	-20.9	-2.7	108.3	208.2	13.2	NM	NM	8.2	4.9	-	-	4.0	46.5	Li, Bo (David)
Jinyu Bio-Tech	600201 CH	15.1	2	Buy	23.3	56.3	87.9	120.5	77.8	60.5	94	29	3.1	3.0	0.5	0.6	3.9	4.9	Li, Bo (David)
Kelun-Biotech	6990 HK	392.2	12	Neutral	-14.1	-23.7	19.9	140.2	NM	337.8	-96	NM	18.1	17.2	-	-	-14.0	5.2	Li, Bo (David)
Wantai Biological	603392 CH	44.9	8	Underp.	-6.4	-20.5	-26.3	-36.2	NM	NM	NM	-16	4.7	4.8	-	-	-1.9	-2.2	Li, Bo (David)
Zai Lab	9688 HK	13.7	2	Neutral	-13.7	-48.8	-50.3	-34.7	NM	NM	32	58	2.9	3.1	-	-	-25.1	-12.4	Li, Bo (David)
Zai Lab	ZLAB US	17.6	2	Neutral	-13.6	-47.9	-49.6	-32.6	NM	NM	32	58	2.9	3.1	-	-	-25.1	-12.4	Li, Bo (David)
Zhifei	300122 CH	18.9	6	Buy	-8.2	-9.1	-3.7	-28.3	NM	NM	NM	35	2.3	2.4	-	-	-5.5	-3.7	Li, Bo (David)
HC- Health Care Equipment & Services																			
Adicon Holdings	9860 HK	4.2	0	Buy	-22.5	-38.2	-36.5	-53.1	25.8	20.2	126	28	1.6	1.5	1.3	1.5	7.0	7.8	Li, Bo (David)

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Company	Ticker	PX (Local) 31-Dec	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	P/E (x) 25E	P/E (x) 26E	EPS Growth (%) 25E	EPS Growth (%) 26E	P/B (x) 25E	P/B (x) 26E	D Yield (%) 25E	D Yield (%) 26E	ROE (%) 25E	ROE (%) 26E	Analyst
Aier Eye Hospital	300015 CH	11.0	15	Buy	-4.5	-11.0	-12.0	-16.1	29.7	26.3	-3	13	4.4	3.9	1.5	1.7	15.7	16.0	Li, Bo (David)
AliHealth	241 HK	5.1	10	Buy	-9.3	-24.2	6.5	52.1	52.8	31.7	42	60	4.5	3.8	-	-	12.6	14.9	Zhuang, Miranda
Angelalign Tech	6699 HK	59.6	1	Buy	-4.2	-5.4	6.1	2.5	119.4	68.9	-11	73	2.6	2.4	0.7	0.8	2.2	3.6	Li, Bo (David)
Autobio Diagnostics	603658 CH	35.4	3	Underp.	-3.1	-9.6	-5.5	-16.1	19.0	17.7	-11	8	2.2	2.1	3.2	3.4	12.0	12.4	Sun, Sandra
Baiyunshan	874 HK	17.7	6	Buy	-5.9	-2.7	4.3	2.2	8.8	8.3	4	7	0.1	0.1	5.2	5.6	8.0	8.2	Sun, Sandra
Baiyunshan	600332 CH	25.7	6	Underp.	-0.2	0.7	-0.9	-6.6	14.3	13.4	4	7	1.0	0.9	3.2	3.4	8.0	8.2	Sun, Sandra
Gushengtang	2273 HK	28.2	1	Buy	-5.7	-8.9	-17.0	-14.6	16.3	14.8	23	10	2.2	2.0	1.8	2.0	17.9	18.4	Li, Bo (David)
Huadong Medicine	000963 CH	39.5	10	Buy	-6.1	-5.1	-1.4	16.5	18.0	15.9	10	13	2.7	2.5	2.5	2.8	16.0	16.5	Cui, Ethan
Hygeia	6078 HK	12.4	1	Buy	-1.7	-13.2	-18.6	-12.9	13.4	12.0	-12	12	1.0	0.9	2.2	2.5	7.9	8.3	Cui, Ethan
JD Health	6618 HK	55.5	23	Buy	-9.2	-16.5	29.1	97.5	25.5	25.4	29	0	2.6	2.4	-	-	10.8	9.8	Zhuang, Miranda
Jinxin Fertility	1951 HK	2.4	1	Buy	-0.4	-16.8	-22.2	-11.5	NM	22.7	NM	NM	0.6	0.6	-	2.2	2.9	3.9	Cui, Ethan
MicroPort	853 HK	10.8	3	Buy	-3.5	-21.5	23.5	69.3	NM	39.6	69	NM	3.5	3.0	-	-	-10.3	8.1	Sun, Sandra
Mindray	300760 CH	190.5	33	Buy	-6.6	-22.0	-14.2	-23.8	24.7	22.3	-20	10	5.9	5.5	2.7	3.0	25.0	25.4	Sun, Sandra
Ovctek	300595 CH	14.7	2	Underp.	-6.6	-14.1	-3.5	-21.1	26.7	23.5	-14	14	2.6	2.4	1.3	1.5	10.8	11.5	Li, Bo (David)
PAGD	1833 HK	14.1	4	Underp.	-4.3	-23.1	60.5	127.1	117.7	89.3	-23	32	2.9	2.9	-	-	3.6	3.2	Zhuang, Miranda
Shanghai Pharma	2607 HK	11.4	8	Buy	-2.5	-6.3	1.0	-6.4	6.6	9.1	25	-27	0.1	0.1	4.5	3.3	7.7	5.4	Li, Bo (David)
Shanghai Pharma	601607 CH	17.9	8	Underp.	0.3	-0.5	1.4	-13.6	11.6	15.8	25	-27	0.7	0.6	2.6	1.9	7.7	5.4	Li, Bo (David)
Sinopharm	1099 HK	19.4	8	Buy	-3.0	6.0	5.8	-5.1	6.8	6.6	14	3	0.6	0.6	4.3	4.7	9.8	9.5	Li, Bo (David)
Topchoice Medical	600763 CH	40.2	3	Neutral	-4.4	-8.7	-2.6	-8.4	33.5	30.5	7	10	4.2	3.8	1.2	1.3	12.8	13.0	Cui, Ethan
United Imaging	688271 CH	125.5	15	Buy	-5.7	-17.2	-1.6	-0.6	60.1	49.0	36	23	4.8	4.5	0.2	0.3	8.3	9.5	Sun, Sandra
HC- Life Sciences Tools & Services																			
Frontage	1521 HK	1.0	0	Underp.	-5.7	-20.0	-6.5	-43.8	16.2	14.0	22	15	0.8	0.7	-	-	4.8	5.3	Li, Bo (David)
Joinn Lab	603127 CH	35.0	3	Underp.	25.3	-0.8	66.6	110.7	243.7	191.8	44	27	2.7	2.7	0.1	0.1	1.3	1.7	Li, Bo (David)
Joinn Lab	6127 HK	20.6	3	Underp.	23.9	-10.6	18.4	120.8	128.7	101.3	44	27	0.4	0.4	0.2	0.2	1.3	1.7	Li, Bo (David)
Pharmaron	3759 HK	19.6	7	Buy	-11.0	-31.1	19.7	40.8	16.6	14.3	4	17	0.3	0.3	1.4	1.6	13.0	13.8	Li, Bo (David)
Pharmaron	300759 CH	28.4	7	Underp.	-1.8	-20.5	16.8	11.5	26.9	23.1	4	17	4.2	3.8	0.9	1.0	13.0	13.8	Li, Bo (David)
Tigermid	300347 CH	56.7	7	Underp.	11.2	-2.2	6.3	4.4	40.2	74.3	200	-46	1.9	1.9	0.8	0.4	5.8	3.0	Li, Bo (David)
Tigermid	3347 HK	42.5	7	Buy	8.0	-7.0	11.2	39.2	27.1	50.1	200	-46	0.2	0.2	1.1	0.6	5.8	3.0	Li, Bo (David)
WuXi AppTec	2359 HK	98.7	39	Buy	-2.5	-16.8	25.9	79.3	16.9	14.4	37	18	3.6	3.0	2.1	2.1	23.3	22.9	Li, Bo (David)
WuXi AppTec	603259 CH	90.6	39	Buy	-0.6	-19.1	30.8	68.8	17.3	14.7	37	18	3.7	3.1	2.1	2.0	23.3	22.9	Li, Bo (David)
Wuxi Biologics	2269 HK	31.4	17	Neutral	0.9	-23.3	22.6	79.0	24.8	23.8	43	4	2.5	2.3	-	-	10.6	10.0	Li, Bo (David)
HC- Pharmaceuticals																			
Asymchem Lab	002821 CH	92.9	5	Underp.	0.2	-18.3	5.3	23.7	30.1	25.9	19	16	1.8	1.7	1.3	1.5	6.4	7.1	Li, Bo (David)
CR Pharmaceutical	3320 HK	4.5	4	Buy	-7.1	-7.5	-11.7	-19.8	7.5	6.8	0	10	0.5	0.5	3.4	3.7	6.7	6.9	Li, Bo (David)
CSPC Pharmaceutical	1093 HK	8.4	12	Underp.	6.6	-8.6	11.2	81.4	18.0	15.0	14	20	2.5	2.3	2.8	3.3	14.4	15.9	Cui, Ethan
Hansoh	3692 HK	36.1	28	Buy	-10.3	0.1	22.6	111.1	39.7	41.6	11	-5	6.2	5.7	1.1	1.0	16.1	14.1	Li, Bo (David)
Hengrui Medicine	600276 CH	59.6	57	Underp.	-4.0	-16.7	14.8	30.3	40.9	70.0	47	-42	7.1	6.5	0.3	0.3	18.7	9.7	Li, Bo (David)
Pien Tze Huang	600436 CH	168.8	15	Underp.	-1.8	-14.2	-14.2	-20.0	44.0	41.7	-22	6	6.7	6.3	1.4	1.4	15.7	15.6	Sun, Sandra
Sino Biopharm	1177 HK	6.2	15	Buy	-12.3	-24.1	18.3	95.8	14.5	17.3	100	-16	2.8	2.6	2.4	2.0	20.9	15.6	Li, Bo (David)
Tongrentang	600085 CH	32.3	6	Buy	-3.6	-5.2	-10.5	-19.4	33.2	29.8	-13	12	3.3	3.3	2.7	3.0	10.0	11.1	Li, Bo (David)
Yunnan Baiyao	000538 CH	56.8	14	Buy	1.2	0.0	3.6	-1.6	19.3	18.0	10	7	2.6	2.5	4.7	5.0	13.4	14.2	Sun, Sandra
IND- Aerospace & Defense																			
Ehang	EH US	13.2	1	Buy	-7.6	-29.0	-24.1	-16.3	NM	NM	-36	31	5.5	5.2	-	-	-6.2	4.1	Liang, Fiona
IND- Airline, Logistics & Shipping																			
Air China	753 HK	7.1	22	Underp.	11.7	21.5	18.6	37.3	222.7	20.9	NM	966	2.1	1.9	-	-	-0.8	7.4	Han, Amy
Air China	601111 CH	9.4	22	Underp.	16.7	18.5	18.8	18.5	328.3	4.3	NM	NM	3.0	2.7	-	-	2.7	75.3	Han, Amy
Cathay Pacific	293 HK	12.4	11	Underp.	3.1	18.7	18.4	39.3	10.4	13.7	-20	-24	1.4	1.3	4.8	3.7	14.2	10.1	Gee, Nathan
China Eastern Airlines	670 HK	5.3	18	Underp.	16.1	60.1	68.7	105.8	285.5	27.8	NM	927	3.8	3.2	0.1	1.1	0.5	16.8	Han, Amy
China Eastern Airlines	600115 CH	6.0	18	Underp.	19.0	44.6	48.9	50.0	348.7	33.9	NM	928	4.8	4.0	0.1	0.9	0.6	17.3	Han, Amy
China Southern Airlines	1055 HK	5.8	19	Underp.	10.4	39.9	44.8	42.6	170.3	14.2	NM	NM	2.3	1.9	0.1	1.4	-0.7	12.2	Han, Amy
China Southern Airlines	600029 CH	8.0	19	Underp.	18.1	32.4	35.8	23.4	353.6	21.4	NM	NM	3.5	2.9	0.1	0.9	-1.1	12.5	Han, Amy
COSCO Shipping	1919 HK	13.8	32	Underp.	3.8	13.5	5.6	21.9	5.8	NM	-32	NM	0.8	0.9	8.6	-	13.9	-3.0	Gee, Nathan
COSCO Shipping	601919 CH	15.2	32	Underp.	3.9	10.0	4.8	8.6	7.1	NM	-32	NM	1.0	1.1	7.0	-	13.9	-3.0	Gee, Nathan
COSCO Shipping Energy	1138 HK	9.6	9	Buy	-7.7	6.4	52.7	59.8	10.3	9.1	-3	14	0.9	0.9	5.3	6.0	10.6	11.3	Gee, Nathan
COSCO Shipping Energy	600026 CH	11.7	9	Buy	-3.3	-3.6	15.4	2.8	14.0	12.3	-3	14	1.2	1.2	3.9	4.4	10.6	11.3	Gee, Nathan
CTS Logistics	603128 CH	6.1	1	Underp.	3.7	2.2	1.1	-2.5	16.3	15.2	-9	7	1.3	1.3	4.3	4.6	8.1	8.4	Tso, Fan
Daqin Railway	601006 CH	5.2	15	Underp.	-5.8	-11.2	-19.0	-21.2	14.0	13.6	-29	3	0.7	0.6	3.9	4.3	8.9	9.6	Han, Amy
Eastern Air Logistic	601156 CH	18.4	4	Underp.	12.2	16.9	40.6	11.6	11.3	11.0	-3	3	1.5	1.4	0.9	0.9	14.2	13.4	Han, Amy
Guangshen Railway	525 HK	2.2	3	Buy	-0.9	-13.2	16.0	4.6	13.2	13.9	19	-5	0.1	0.1	5.1	5.1	4.0	4.8	Han, Amy
Guangshen Railway	601333 CH	3.0	3	Buy	0.0	-9.0	7.7	-9.2	20.6	21.7	19	-5	0.6	0.6	3.3	3.3	4.0	4.8	Han, Amy
J&T Global Express	1519 HK	10.5	12	Buy	9.1	6.9	54.1	70.5	30.0	18.2	94	65	3.4	3.0	-	-	12.5	18.3	Tso, Fan
JD Logistics	2618 HK	11.4	10	Buy	-6.2	-12.8	-13.1	-10.8	8.4	8.0	-2	6	1.1	1.0	-	-	13.6	12.7	Tso, Fan
Milkyway Chemical Supply Chain	603713 CH	55.8	1	Buy	3.0	-12.7	4.6	10.4	14.2	13.1	21	8	1.8	1.6	1.5	1.7	13.8	13.3	Tso, Fan
Orient Overseas	316 HK	125.4	11	Underp.	-0.8	-0.7	-2.0	22.4	7.2	NM	-43	NM	0.8	0.8	0.5	-	10.8	-3.0	Gee, Nathan
Pacific Basin	2343 HK	2.3	2	Neutral	-10.4	-7.2	16.2	47.4	20.6	18.3	-43	12	0.8	0.8	2.4	2.7	3.8	4.4	Gee, Nathan
SF	002352 CH	38.3	27	Buy	-0.1	-5.0	-19.8	-2.9	20.7	18.7	-2	11	1.9	1.7	2.3	2.3	9.6	10.3	Tso, Fan
Sinotrans	598 HK	4.9	6	Buy	-6.7	-0.4	26.0	42.5	11.7	12.2	-15	-4	0.8	0.7	6.0	6.0	6.5	5.9	Choi, Karl
Sinotrans	601598 CH	6.1	6	Neutral	-3.0	-2.9	29.3	19.2	16.3	17.0	-15	-4	1.1	1.0	4.3	4.3	6.5	5.9	Choi, Karl
SITC International	1308 HK	27.9	10	Neutral	4.2	-7.0	15.7	50.4	7.8	10.3	18	-25	3.8	3.4	10.9	6.8	50.1	34.9	Gee, Nathan



By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX	Mkt Cap	Inv.	1M	3M	6M	12M	P/E		EPS Growth		P/B		D Yield		ROE		Analyst
		(Local)	(USD bn)	Rating	(%)	(%)	(%)	(%)	(x)	(x)	(%)	(%)	(x)	(x)	(%)	(%)	(%)	(%)	
		31-Dec							25E	26E	25E	26E	25E	26E	25E	26E	25E	26E	
Spring Airlines	601021 CH	59.5	8	Buy	8.3	12.2	9.4	5.6	24.5	18.3	1	34	3.1	2.7	1.2	1.6	13.0	15.8	Han, Amy
STO Express	002468 CH	13.4	3	Underp.	-6.6	-25.0	25.5	33.3	17.6	15.2	15	16	1.9	1.7	0.6	0.7	11.3	11.8	Tso, Fan
YTO Express	600233 CH	16.4	8	Neutral	-3.7	-10.5	27.4	19.0	14.3	12.9	-1	11	1.6	1.5	1.7	1.9	11.5	11.7	Tso, Fan
Yunda Holding	002120 CH	6.7	3	Underp.	-3.6	-9.2	0.6	-7.7	11.5	10.8	3	7	0.9	0.8	0.9	1.0	7.9	7.9	Tso, Fan
ZTO Express	ZTO US	20.9	17	Neutral	1.2	8.8	19.5	10.7	12.3	11.2	-5	10	1.8	1.6	3.3	3.6	14.6	14.8	Tso, Fan
IND- Conglomerate & Commercial Services																			
Centre Testing	300012 CH	13.6	3	Buy	-0.1	5.8	16.3	10.4	21.8	18.2	14	20	2.9	2.6	1.1	1.4	14.2	15.1	Liu, Yikai
Conch Venture	586 HK	9.4	2	Buy	-7.9	-13.5	8.1	46.7	6.3	5.5	15	14	0.3	0.3	6.0	7.6	1.8	1.9	Leung, Edward
EB Environment	257 HK	4.8	4	Buy	-4.0	8.6	30.3	31.7	6.9	5.9	27	17	0.6	0.6	5.8	6.8	8.7	9.6	Guan, Cissy
M&G Stationery	603899 CH	27.1	4	Underp.	-2.2	-1.3	-6.7	-7.4	19.4	18.2	4	6	2.7	2.5	3.9	4.1	14.1	14.2	Pang, Xinyi(Yoyo)
TUHU Car	9690 HK	16.1	2	Buy	-6.3	-15.7	-16.6	-10.3	11.9	8.6	64	39	1.8	1.5	-	-	17.8	20.4	Zhuang, Miranda
Xiamen C&D Inc	600153 CH	9.3	4	Neutral	-7.0	-9.8	-10.8	-5.6	14.3	7.4	-18	93	0.5	0.5	6.3	10.9	3.4	6.5	Du, Eric
IND- Construction & Engineering																			
China State Construction	601668 CH	5.1	30	Buy	-1.3	-5.9	-6.9	-10.5	4.5	4.2	3	6	0.4	0.4	4.8	5.1	9.9	9.7	Wang, Summer
China State Construction Intl	3311 HK	9.1	6	Buy	-1.9	-8.1	-20.5	-21.5	4.7	4.4	3	8	0.7	0.6	7.0	7.5	14.4	14.1	Wang, Summer
Kibing Group	601636 CH	5.9	3	Underp.	-2.8	-17.4	18.4	6.7	12.4	14.0	234	-11	1.1	1.0	2.4	2.1	5.2	7.6	Leung, Edward
Shenling	301018 CH	63.5	2	Buy	18.7	-10.9	67.4	65.6	75.5	45.1	94	67	6.3	5.7	0.4	0.7	8.6	13.3	Xia, Yibing
Sinopec Engineering	2386 HK	7.7	4	Buy	4.2	13.3	31.4	21.6	11.3	10.9	8	4	0.9	0.9	5.6	5.9	8.3	8.4	Wang, Yiming
Xinyi Glass	868 HK	8.3	5	Buy	-3.5	-8.3	11.3	7.8	13.4	9.8	-30	36	0.9	0.9	3.6	5.0	6.9	9.0	Zhao, Matty
IND- Electrical Equipment																			
EVE Energy	300014 CH	65.8	20	Buy	-7.9	-27.7	44.0	42.7	31.2	19.9	6	57	3.2	2.8	0.8	1.3	10.9	15.0	Lee, Ming Hsun
Goldwind	2208 HK	13.4	11	Neutral	9.7	-4.2	79.5	109.2	17.4	12.8	65	37	0.2	0.2	1.8	2.4	7.8	10.0	Tsang, Gary
Goldwind	002202 CH	20.4	11	Neutral	32.4	36.3	101.8	100.2	29.5	21.6	65	37	1.8	1.7	1.0	1.4	7.8	10.0	Tsang, Gary
Hainan Jinpan	688676 CH	90.3	6	Buy	10.4	70.8	170.1	121.6	58.7	41.4	23	42	8.4	7.4	0.7	1.0	15.0	18.9	Zhao, Matty
Hongfa Technology	600885 CH	30.4	7	Underp.	4.4	15.3	36.3	36.0	23.8	20.6	14	16	4.1	3.6	1.4	1.6	18.4	18.6	Liang, Fiona
Mingyang Smart Energy	601615 CH	14.5	5	Buy	6.7	-10.4	29.5	18.0	24.2	14.7	300	65	1.2	1.2	1.9	3.2	5.1	8.1	Xia, Charlotte
NARI Technology	600406 CH	22.5	26	Buy	1.4	-2.1	1.0	-8.5	21.8	19.5	9	12	3.4	3.2	2.8	3.1	16.2	16.8	Zhao, Matty
Orient Wires & Cables	603606 CH	59.8	6	Buy	3.4	-15.4	15.5	14.8	37.3	21.9	9	70	5.4	4.6	0.8	1.4	15.2	22.6	Tsang, Gary
Shenzhen Megmeet	002851 CH	90.1	7	Buy	26.2	16.3	79.8	46.7	154.8	48.2	-27	221	7.9	6.8	0.1	0.3	5.2	15.2	Liu, Yikai
Sieyuan Electric	002028 CH	154.6	17	Buy	7.7	41.8	113.5	114.1	41.2	31.8	42	30	8.1	6.7	0.5	0.6	21.4	23.0	Zhao, Matty
Sinexcel	300693 CH	38.3	2	Buy	-2.5	-7.5	27.8	44.3	25.6	19.0	7	34	5.6	4.6	1.4	1.9	23.7	26.6	Wang, Summer
Sungrow Power	300274 CH	171.0	51	Buy	-6.5	6.3	154.0	137.2	22.7	19.4	41	17	7.0	5.5	1.1	1.3	35.7	31.6	Zhao, Matty
TGOOD	300001 CH	25.7	4	Neutral	-3.6	-5.4	7.8	17.7	22.0	18.1	34	22	3.2	2.8	0.8	1.0	15.3	16.3	Liu, Yikai
XJ Electric	000400 CH	25.7	4	Buy	0.2	-2.2	20.0	-4.8	22.9	20.3	2	13	2.2	2.0	1.7	1.9	9.8	10.4	Zhao, Matty
Zhongtian Technology	600522 CH	18.1	9	Buy	14.5	-4.2	28.0	29.2	19.8	15.2	10	31	1.7	1.6	1.8	2.4	8.7	10.6	Tsang, Gary
IND- Heavy Machinery																			
CRRC Times Electric	3898 HK	37.6	9	Neutral	-2.5	-12.1	24.9	20.3	11.5	9.9	12	16	1.1	1.0	3.3	3.8	9.3	10.1	Liu, Yikai
CRRC Times Electric	688187 CH	51.3	9	Neutral	3.0	-1.8	24.0	10.4	17.4	15.1	12	16	1.6	1.5	2.2	2.5	9.3	10.1	Liu, Yikai
Envicool	002837 CH	106.9	15	Neutral	48.9	33.6	259.8	246.1	177.0	115.1	29	54	31.4	26.3	0.2	0.3	18.9	24.9	Xia, Yibing
ESTUN	002747 CH	23.7	3	Underp.	8.1	-7.4	17.1	28.1	354.2	78.5	NM	351	11.2	9.8	-	-	3.2	13.3	Lee, Ming Hsun
GeekPlus	2590 HK	21.9	4	Buy	-12.5	-25.8	NA	NA	289.2	82.7	NM	250	7.7	7.0	-	-		8.9	Wang, Summer
Hangcha Group	603298 CH	26.6	5	Buy	5.2	-6.8	27.8	53.7	15.4	13.6	12	13	3.0	2.6	2.1	2.4	20.6	20.1	Wang, Summer
Han's Laser	002008 CH	41.2	6	Buy	12.0	1.2	69.0	67.2	33.8	24.7	-24	37	2.5	2.4	0.7	1.0	7.6	9.7	Wang, Summer
Heli	600761 CH	20.9	3	Buy	6.7	-4.3	18.3	23.5	13.8	12.1	2	14	1.7	1.5	2.9	3.4	12.6	13.3	Wang, Summer
Hengli Hydraulic	601100 CH	109.9	21	Buy	8.5	15.2	53.2	111.1	51.1	42.9	15	19	8.3	7.3	0.7	0.9	17.2	18.2	Lee, Ming Hsun
Himile	002595 CH	84.5	10	Buy	22.7	42.6	43.7	69.5	27.1	22.9	24	18	5.8	4.8	1.1	1.3	22.4	22.5	Liang, Fiona
Huaming Equipment	002270 CH	25.0	3	Buy	1.5	27.4	54.4	53.6	30.9	25.8	18	20	6.6	6.1	2.6	3.1	22.1	24.5	Zhao, Matty
Inovance	300124 CH	75.3	29	Buy	6.6	-10.1	16.7	29.4	37.4	33.3	21	13	6.1	5.4	0.7	0.8	18.0	17.6	Lee, Ming Hsun
L.K. Technology	558 HK	3.3	1	Underp.	-0.3	-31.2	-0.9	24.3	12.9	10.3	-27	26	2.3	2.0	2.3	2.0	17.9	20.7	Yang, Joey
Leader Harmonious Drive Systems	688017 CH	192.1	5	Underp.	30.7	6.3	53.8	77.9	292.6	205.7	97	42	6.6	6.4	0.1	0.1	2.9	3.4	Liu, Yikai
Sanhua Intelligent Controls	002050 CH	55.3	32	Buy	28.7	14.2	109.7	137.5	49.6	42.8	34	16	9.2	7.9	0.6	0.7	19.9	19.8	Lo, Jessie
Sany Heavy Industry	600031 CH	21.1	28	Buy	4.0	-7.8	19.3	32.6	21.9	18.1	37	21	2.0	1.9	2.3	2.8	10.8	11.4	Lee, Ming Hsun
Sinotruk	3808 HK	27.6	10	Neutral	2.1	20.3	27.6	28.1	9.7	8.7	19	12	1.6	1.5	5.6	6.3	16.3	17.1	Liang, Fiona
UBTECH	9880 HK	126.3	8	Buy	11.8	-18.0	52.4	129.8	NM	NM	33	29	12.1	14.3	-	-	-26.9	-15.6	Lee, Ming Hsun
Weichai Power	000338 CH	17.2	21	Buy	-0.6	25.8	17.2	31.6	12.3	10.2	7	21	1.2	1.0	4.5	5.4	11.4	12.2	Liang, Fiona
Weichai Power	2338 HK	18.9	21	Buy	-2.2	35.1	21.5	66.7	12.1	10.1	7	21	0.3	0.3	4.5	5.5	13.1	13.7	Liang, Fiona
Wuxi Lead	300450 CH	50.0	11	Buy	1.9	-19.7	101.6	150.2	51.9	33.1	427	57	6.0	5.3	0.8	1.2	12.3	17.0	Liu, Yikai
XCMG	000425 CH	11.6	19	Buy	12.2	0.7	52.3	49.2	19.7	16.9	16	16	2.1	1.9	2.0	2.4	11.2	12.0	Lee, Ming Hsun
Yiheda	301029 CH	26.5	2	Neutral	4.0	-16.9	16.6	9.4	31.7	24.7	31	28	3.8	3.3	0.3	0.4	12.4	14.3	Liu, Yikai
Yuchai International	CYD US	35.5	1	Buy	-0.7	-14.2	48.5	281.2	18.7	14.8	62	26	1.0	0.9	1.6	2.0	5.6	6.7	Liang, Fiona
Yutong Bus	600066 CH	32.7	10	Neutral	5.1	20.2	33.8	31.0	14.0	12.7	25	10	4.7	4.1	4.6	4.6	36.0	34.6	Liang, Fiona
Zoomlion	1157 HK	7.8	10	Buy	9.9	9.3	36.7	47.6	12.6	10.9	36	16	0.2	0.2	5.9	6.8	8.1	8.9	Lee, Ming Hsun
Zoomlion	000157 CH	8.6	10	Buy	6.8	7.7	24.0	24.0	15.7	13.5	36	16	1.0	1.0	4.7	5.5	8.1	8.9	Lee, Ming Hsun
IND- Transportation Infrastructure																			
Beijing Cap Airport	694 HK	2.8	2	Buy	-1.4	-0.7	-6.8	-1.4	NM	103.8	85	NM	0.9	0.8	-	-	-1.6	0.8	Han, Amy
Beijing-Shanghai HSR	601816 CH	5.2	36	Buy	1.2	1.1	-7.9	-14.0	19.2	18.5	3	4	1.2	1.2	2.6	2.7	6.4	6.4	Han, Amy
China Merchants Port	144 HK	15.1	8	Neutral	-3.4	3.9	7.7	16.1	9.8	9.5	-15	4	0.5	0.5	5.1	5.3	6.0	6.0	Choi, Karl
GZ Baiyun Airport	600004 CH	9.5	3	Neutral	-2.0	-0.2	4.0	0.2	18.2	45.5	33	-60	1.1	1.1	2.2	1.1	6.1	2.3	Han, Amy
SHIA	600009 CH	32.8	12	Underp.	3.5	3.4	4.8	-2.5	37.1	32.5	14	14	1.9	1.9	1.4	1.6	5.1	5.7	Han, Amy
IT- Communications Equipment																			

Exhibit 62: Valuation table for BofA Global Research China coverage universe (as of Dec 31, 2025)

By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX	Mkt Cap	Inv.	1M	3M	6M	12M	P/E		EPS Growth		P/B		D Yield		ROE		Analyst
		(Local) 31-Dec	(USD bn)	Rating	(%)	(%)	(%)	(%)	(x)	(x)	(%)	(%)	(x)	(x)	(%)	(%)	(%)	(%)	
									25E	26E	25E	26E	25E	26E	25E	26E	25E	26E	
Innolight	300308 CH	610.0	97	Buy	18.6	51.3	318.6	396.4	65.9	31.7	101	108	21.7	13.3	0.3	0.5	40.0	52.2	Zhu, Katherine
Sunway	300136 CH	62.0	9	Underp.	96.6	140.3	177.4	144.3	82.2	70.4	10	17	7.5	6.9	0.1	0.1	9.5	10.2	Cheng, Robert
ZTE Corporation	763 HK	27.1	24	Buy	-13.6	-23.5	11.7	14.6	13.6	11.9	2	14	0.3	0.2	2.6	2.9	11.8	12.6	Zhu, Katherine
ZTE Corporation	000063 CH	37.8	24	Buy	-10.1	-17.1	16.5	-4.5	21.0	18.5	2	14	2.1	1.8	1.7	1.9	11.8	12.6	Zhu, Katherine
IT- Electronic Equipment & Components																			
AAC	2018 HK	39.0	6	Buy	6.3	-14.7	-4.2	4.7	16.5	14.6	40	13	1.6	1.5	0.9	1.0	10.5	10.8	Zhu, Katherine
BOE	000725 CH	4.2	22	Buy	9.1	1.2	5.5	-2.9	27.8	9.8	7	184	1.1	1.0	1.3	3.6	4.2	11.2	Lin, Brad
BYD Electronic	285 HK	33.6	10	Neutral	1.4	-18.6	5.8	-18.5	15.3	11.4	4	34	2.0	1.7	2.0	2.6	13.3	16.3	Zhu, Katherine
Cowell	1415 HK	27.6	3	Buy	-7.6	-29.3	1.1	-2.6	15.1	11.4	69	33	4.3	3.3	1.3	1.8	32.2	31.6	Zhu, Katherine
Crystal-Optech	002273 CH	25.1	5	Buy	3.8	-5.0	26.3	14.7	27.8	22.0	22	26	3.6	3.2	2.5	3.2	13.2	15.3	Zhu, Katherine
DS Precision	002384 CH	84.7	22	Neutral	12.8	18.4	124.1	189.9	83.9	37.3	59	125	6.9	5.9	0.1	0.3	8.9	17.4	Zhu, Katherine
Everwin Precision	300115 CH	46.5	9	Underp.	8.3	11.6	117.3	188.1	78.1	65.9	4	18	7.0	6.5	0.3	0.4	9.3	10.2	Zhu, Katherine
Foxconn	601138 CH	62.1	176	Buy	2.2	-6.0	195.9	194.3	37.2	24.5	43	52	7.7	6.4	1.5	2.2	21.1	28.5	Cheng, Robert
Friendess Electronic	688188 CH	135.9	6	Underp.	2.6	-11.2	3.7	-0.5	35.7	30.1	24	19	6.6	6.0	1.9	2.2	19.2	20.9	Wang, Summer
Goertek	002241 CH	28.7	15	Buy	-4.3	-23.0	23.8	12.7	32.3	23.2	15	39	2.8	2.4	0.6	0.9	8.9	11.1	Zhu, Katherine
Lens Tech	6613 HK	25.2	23	Buy	4.9	-17.8	NA	NA	24.2	18.3	29	32	2.0	1.9	2.3	3.0	9.4	11.2	Zhu, Katherine
Lens Tech	300433 CH	30.3	23	Buy	10.1	-9.3	36.2	41.3	32.3	24.4	29	32	2.7	2.5	1.7	2.3	9.4	11.2	Zhu, Katherine
Lianchuang Electronic	002036 CH	11.0	2	Underp.	7.4	-3.2	1.9	17.2	83.0	46.2	NM	79	4.2	3.8	-	-	5.2	8.7	Zhu, Katherine
Luxshare	002475 CH	56.7	59	Buy	-1.9	-12.3	64.4	39.9	24.4	19.3	26	26	3.9	3.3	0.4	0.6	17.8	18.7	Cheng, Robert
Maxscend	300782 CH	81.5	6	Underp.	17.7	-2.0	14.2	-9.0	451.8	75.3	-76	500	4.2	4.1	0.1	0.4	0.9	5.5	Li, Daley
OPT Machine Vision	688686 CH	124.1	2	Underp.	6.5	-15.3	29.8	64.6	76.9	47.7	45	61	4.9	4.6	0.4	0.7	6.6	10.0	Liu, Yikai
RoboSense	2498 HK	36.6	2	Buy	11.7	-13.4	13.5	19.2	NM	1,083	56	NM	5.5	5.5	-	-	-7.3	0.6	Yang, Joey
San'an Opto	600703 CH	14.1	10	Underp.	7.0	-9.3	14.0	16.3	80.0	75.0	245	7	1.9	1.8	0.4	0.5	2.4	2.5	Zhu, Katherine
Shengyi	600183 CH	71.4	25	Underp.	23.8	32.2	138.5	205.8	48.4	34.8	106	39	10.1	8.6	1.1	1.6	21.3	26.7	Yang, Mike
Shennan Circuits	002916 CH	232.3	22	Buy	18.8	7.2	115.5	145.0	48.0	31.1	72	54	9.0	7.6	1.0	1.6	20.3	26.5	Zhu, Katherine
Sunny Optical	2382 HK	65.6	9	Buy	3.2	-27.5	-5.5	-3.9	18.2	15.3	30	19	2.3	2.0	1.1	1.3	13.1	14.0	Zhu, Katherine
Supcon Technology	688777 CH	49.3	6	Neutral	-1.0	-10.4	9.9	0.9	49.7	29.7	-30	67	3.7	3.4	1.0	1.7	7.5	12.0	Liu, Yikai
TCL Tech	000100 CH	4.5	14	Neutral	11.0	5.3	6.0	-8.7	23.6	13.9	131	69	1.7	1.6	2.3	3.9	6.7	10.9	Lin, Brad
Tianma	000050 CH	9.0	3	Underp.	-0.1	-9.0	6.0	0.0	113.8	62.0	NM	84	0.8	0.7	-	-	0.7	1.2	Lin, Brad
Victory Giant	300476 CH	287.6	36	Buy	6.2	0.7	114.0	586.0	53.8	28.2	301	91	15.1	10.3	0.5	0.8	36.5	43.4	Zhu, Katherine
IT- Semiconductors																			
AMEC	688012 CH	272.7	24	Buy	1.7	-8.8	49.8	44.4	82.9	56.1	26	48	7.7	6.8	0.1	0.2	9.7	12.9	Shen, Dai
Black Sesame	2533 HK	19.3	2	Neutral	-1.1	-6.9	5.8	-33.1	NM	NM	NM	29	83.8	NM	-	-	-157.1		Li, Daley
GigaDevice	603986 CH	214.3	21	Neutral	5.5	0.4	69.8	101.2	81.5	55.9	59	46	7.9	7.1	0.3	0.4	10.1	13.3	Li, Daley
Goodix	603160 CH	79.0	5	Neutral	-0.8	-4.2	11.4	-1.2	47.7	38.1	26	25	3.9	3.6	0.3	0.4	8.4	9.7	Li, Daley
Hua Hong Semi	1347 HK	74.3	19	Underp.	-0.3	-7.1	114.1	243.2	229.7	79.1	22	190	2.5	2.5	-	0.2	1.1	3.2	Shen, Dai
Ingenic	300223 CH	106.0	7	Underp.	33.6	19.1	53.2	55.7	127.2	82.2	10	55	4.1	3.9	0.1	0.2	3.3	4.9	Shen, Dai
InnoScience Technology	2577 HK	78.4	9	Buy	14.1	-10.7	110.5	150.9	NM	NM	27	57	9.7	10.3	-	-	-19.3	-5.3	Li, Daley
JCET Group	600584 CH	36.8	9	Buy	2.4	-16.6	9.2	-9.6	45.3	21.6	-10	109	2.3	2.1	0.4	0.7	5.2	10.2	Shen, Dai
Lion Electronics	605358 CH	34.8	3	Underp.	18.3	6.7	49.4	40.6	NM	167.1	65	NM	3.2	3.2	-	0.1	-1.3	1.9	Shen, Dai
Montage	688008 CH	117.8	19	Buy	-0.6	-23.8	43.9	74.6	58.8	38.2	62	54	10.1	8.3	0.4	0.7	18.5	23.8	Li, Daley
NCE Power	605111 CH	35.7	2	Buy	3.1	-0.9	16.2	5.6	27.0	20.3	27	33	3.4	2.9	0.7	1.0	13.2	15.4	Li, Daley
Rockchip	603893 CH	178.3	11	Buy	-2.6	-21.0	17.9	62.9	67.4	47.3	86	43	17.5	14.4	0.9	1.3	28.4	33.5	Li, Daley
Silan	600460 CH	28.4	7	Underp.	1.7	-9.6	14.5	9.4	70.7	49.3	204	43	3.7	3.4	-	-	5.3	7.2	Li, Daley
VeriSilicon	688521 CH	137.0	10	Underp.	-12.3	-25.2	41.9	161.2	NM	NM	27	47	40.7	47.2	-	-	-22.9	-14.8	Li, Daley
Will Semi	603501 CH	125.9	23	Buy	5.4	-16.4	-0.8	21.2	33.2	24.3	39	36	5.3	4.3	0.5	0.6	17.4	19.7	Shen, Dai
IT- Software & Services																			
Agora	API US	4.1	0	Buy	12.7	6.5	6.8	-2.2	70.9	37.8	NM	88	0.5	0.4	-	-	2.2	2.7	Li, Daley
Chinasoft International	354 HK	5.0	2	Buy	-5.0	-21.4	-0.4	-3.2	14.8	11.0	50	35	1.0	0.9	1.8	2.4	6.9	8.6	Li, Daley
DBAPPSecurity	688023 CH	51.4	1	Underp.	-7.7	-6.9	-9.4	26.0	108.4	36.0	NM	201	2.1	1.9	-	-	1.9	5.5	Li, Daley
GDS Holdings	GDS US	34.9	7	Buy	2.7	-9.8	14.2	46.9	22.5	465.9	-41	-95	1.6	1.6	-	-	8.4	0.4	Li, Daley
GDS Holdings	9698 HK	33.7	7	Buy	1.3	-15.9	14.2	47.8	22.5	465.9	-41	-95	1.6	1.6	-	-	8.4	0.4	Li, Daley
Glodon Company	002410 CH	12.6	3	Underp.	-2.1	-10.5	-6.2	8.2	38.2	28.5	117	34	3.0	2.8	1.3	1.8	8.5	10.2	Li, Daley
Horizon Robotics	9660 HK	8.7	16	Buy	9.9	-9.6	33.4	140.6	NM	NM	NM	70	8.3	9.4	-	-	-19.3	-12.2	Li, Daley
Hundsun Technologies	600570 CH	30.2	8	Neutral	2.8	-12.7	-10.1	8.1	43.5	34.4	26	27	5.9	5.1	0.5	0.6	14.3	15.9	Li, Daley
Kingdee International Software	268 HK	13.3	6	Buy	-5.9	-24.1	-13.9	55.8	150.3	64.5	NM	133	5.1	4.7	-	-	3.4	7.5	Li, Daley
Kingsoft Cloud	KC US	10.3	3	Buy	-16.3	-30.7	-17.4	-1.4	NM	NM	5	48	4.8	5.2	-	-	-16.6	-9.9	Li, Daley
Kingsoft Cloud	3896 HK	5.5	3	Buy	-13.8	-32.9	-17.0	-7.6	NM	NM	5	48	4.8	5.2	-	-	-16.6	-9.9	Li, Daley
Kingsoft Corporation	3888 HK	28.4	5	Buy	-0.7	-17.9	-30.5	-15.1	20.0	17.3	9	15	1.5	1.4	0.4	0.6	7.3	7.8	Li, Daley
Kingsoft Office Software	688111 CH	307.1	20	Neutral	-1.4	-3.0	10.0	7.6	70.2	55.4	23	27	11.0	9.5	0.4	0.5	16.6	18.3	Li, Daley
Meitu Inc.	1357 HK	7.0	4	Buy	-18.6	-24.5	-22.1	144.4	34.5	24.3	2	42	5.6	4.9	1.3	1.8	18.6	23.9	Zhuang, Harry
Ming Yuan Cloud	909 HK	3.3	1	Neutral	4.4	-10.8	18.8	29.4	933.8	133.6	NM	599	1.2	1.2	3.0	3.0	1.2	2.1	Li, Daley
NavInfo	002405 CH	9.0	3	Underp.	5.6	-5.7	5.5	-6.5	NM	NM	55	25	2.6	2.7	-	-	-5.9	-4.7	Li, Daley
Pony AI	PONY US	14.5	6	Buy	6.1	-35.5	9.8	1.0	NM	NM	16	-0	29.5	35.0	-	-	-19.5	-17.1	Lee, Ming Hsun
Qi An Xin	688561 CH	35.6	3	Underp.	-5.2	-1.3	4.7	32.6	NM</										



Exhibit 62: Valuation table for BofA Global Research China coverage universe (as of Dec 31, 2025)

By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX (Local) 31-Dec	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	P/E (x) 25E	P/E (x) 26E	EPS Growth (%) 25E	EPS Growth (%) 26E	P/B (x) 25E	P/B (x) 26E	D Yield (%) 25E	D Yield (%) 26E	ROE (%) 25E	ROE (%) 26E	Analyst
Weimob	2013 HK	1.8	1	Neutral	-7.5	-35.0	1.7	-43.7	NM	77.5	99	NM	2.6	2.4	-	-	1.9	5.3	Li, Daley
Yonyou	600588 CH	13.3	6	Neutral	-7.0	-15.1	-0.8	23.6	NM	1,036	68	NM	5.4	5.7	-	-	-7.9	0.5	Li, Daley
IT- Technology Hardware																			
Lenovo	992 HK	9.3	15	Neutral	-3.5	-19.1	2.1	-4.6	11.7	10.5	31	11	2.4	2.1	4.2	4.2	24.7	24.4	Cheng, Robert
Transsion	688036 CH	66.2	11	Neutral	3.2	-29.8	-16.3	-28.3	22.6	16.4	-41	38	3.5	3.0	1.3	1.9	16.1	19.8	Cheng, Robert
Xiaomi	1810 HK	39.3	132	Buy	-4.2	-27.2	-34.4	13.9	22.4	21.8	70	3	3.3	2.8	-	-	18.0	14.7	Cheng, Robert
MAT- Chemicals																			
Chengxin Lithium	002240 CH	34.4	5	Underp.	-2.4	81.3	167.3	149.9	NM	NM	12	34	2.7	2.8	-	-	-4.7	-3.2	Chan, Miriam
Crystal Clear	300655 CH	16.1	2	Neutral	4.8	5.2	61.3	73.3	156.2	141.3	NM	11	6.5	6.2	0.1	0.1	4.3	4.5	Shen, Dai
Dynanonic	300769 CH	44.0	2	Buy	-10.1	-5.0	33.3	19.3	NM	18.1	63	NM	2.4	2.2	-	0.6	-9.2	12.7	Leung, Edward
Ganfeng Lithium	002460 CH	62.9	18	Buy	0.5	3.3	87.1	80.4	247.4	97.7	NM	153	3.0	2.9	0.1	0.3	1.2	3.1	Zhao, Matty
Ganfeng Lithium	1772 HK	52.0	18	Buy	6.1	20.4	127.9	160.3	161.8	68.5	NM	136	2.2	2.2	0.2	0.5	1.4	3.2	Zhao, Matty
Putailai	603659 CH	27.3	8	Buy	2.6	-11.6	45.6	73.6	25.3	18.3	94	38	2.9	2.6	1.2	1.6	11.9	14.8	Leung, Edward
Shenzhen Senior	300568 CH	15.3	3	Neutral	-0.5	4.5	20.8	57.6	70.0	24.8	-20	182	2.1	1.9	0.7	2.0	3.0	8.1	Leung, Edward
Sinopec Shanghai Petchem	338 HK	1.4	3	Underp.	2.2	0.7	7.9	16.2	NM	36.6	NM	NM	0.5	0.5	-	1.4	-1.7	1.4	Wang, Yiming
Sinopec Shanghai Petchem	600688 CH	2.8	3	Underp.	2.2	3.0	-1.8	-7.3	NM	83.2	NM	NM	1.2	1.2	-	0.6	-1.7	1.4	Wang, Yiming
Tianqi Lithium	9696 HK	51.1	13	Buy	3.6	13.6	76.3	112.3	73.0	37.1	NM	97	1.8	1.7	0.4	0.8	2.4	4.6	Zhao, Matty
Tianqi Lithium	002466 CH	55.4	13	Buy	0.6	16.4	72.8	67.8	88.2	44.9	NM	97	2.1	2.0	0.3	0.7	2.4	4.6	Zhao, Matty
Tinci Materials	002709 CH	46.3	13	Buy	12.3	21.4	155.7	136.2	85.2	14.3	116	495	6.4	4.6	0.5	2.7	8.4	37.0	Leung, Edward
Wanhua Chemical	600309 CH	76.7	34	Buy	14.2	15.2	41.3	8.9	19.1	15.1	-3	26	2.3	2.0	1.6	2.0	12.6	14.2	Wang, Yiming
Yahua Industrial Group	002497 CH	24.8	4	Underp.	9.6	66.4	117.1	112.3	71.9	34.7	54	107	2.6	2.5	0.2	0.5	3.7	7.4	Chan, Miriam
Yunnan Energy	002812 CH	56.6	8	Buy	2.3	21.3	93.4	77.1	78.5	36.5	NM	115	2.0	1.9	-	0.4	2.8	5.8	Leung, Edward
MAT- Construction Materials & Paper																			
Anhui Conch	914 HK	22.1	16	Buy	-5.7	-6.0	11.8	16.7	12.3	10.2	6	20	0.5	0.5	4.5	5.9	4.5	5.3	Zhao, Matty
Anhui Conch	600585 CH	21.9	16	Buy	-4.3	-5.9	2.9	-4.0	13.6	11.2	6	20	0.6	0.6	4.1	5.3	4.5	5.3	Zhao, Matty
CNBM	3323 HK	5.1	5	Buy	-2.1	-7.2	36.5	51.2	10.9	9.5	49	15	0.4	0.4	5.5	6.9	3.1	3.5	Zhao, Matty
CR Cement	1313 HK	1.6	1	Buy	-4.3	-14.4	-7.0	-1.1	9.5	6.6	385	43	0.2	0.2	6.3	9.8	2.3	3.2	Zhao, Matty
Lee & Man	2314 HK	2.8	2	Buy	-10.5	-1.1	26.1	21.4	7.2	6.8	27	6	0.4	0.4	4.9	5.1	5.8	5.9	Leung, Edward
Nine Dragons	2689 HK	5.9	4	Buy	-5.9	7.7	83.0	87.6	14.3	7.8	135	81	0.5	0.5	-	1.3	3.8	6.6	Zhao, Matty
Oriental Yuhong	002271 CH	13.6	5	Buy	8.5	10.3	36.5	21.1	18.8	10.9	NM	73	1.4	1.4	6.9	2.8	7.4	13.2	Leung, Edward
MAT- Gold																			
SD Gold	1787 HK	34.6	24	Buy	0.1	-6.3	27.6	178.6	24.1	14.2	95	70	3.5	3.1	1.4	2.4	14.8	23.0	Chan, Miriam
SD Gold	600547 CH	38.7	24	Buy	6.2	-1.1	22.4	72.7	30.1	17.7	95	70	4.3	3.8	1.1	2.0	14.8	23.0	Chan, Miriam
Zhaojin Mining	1818 HK	30.7	14	Buy	5.8	-1.7	50.7	181.2	28.0	16.5	131	70	3.3	2.7	0.5	0.8	13.6	20.1	Chan, Miriam
Zijin	2899 HK	35.7	129	Buy	16.2	9.4	79.3	158.8	17.2	13.1	55	31	4.5	3.5	1.7	2.3	31.1	31.7	Zhao, Matty
Zijin	601899 CH	34.5	129	Buy	20.6	17.1	78.1	133.1	18.5	14.2	55	31	4.9	3.8	1.6	2.1	31.1	31.7	Zhao, Matty
MAT- Metals & Mining (ex. gold)																			
Angang Steel	347 HK	1.9	3	Buy	-4.1	-16.4	14.5	28.6	296.1	14.7	NM	NM	0.3	0.3	-	2.0	0.1	2.2	Chan, Miriam
Angang Steel	000898 CH	2.5	3	Buy	0.0	-4.2	9.1	5.4	441.5	21.9	NM	NM	0.5	0.5	-	1.4	0.1	2.2	Chan, Miriam
Baosteel	600019 CH	7.5	23	Buy	2.8	5.4	15.0	9.9	16.4	14.3	36	15	0.8	0.8	3.2	3.7	4.9	5.5	Zhao, Matty
Chalco	2600 HK	12.2	29	Buy	16.0	50.8	135.1	184.1	13.5	10.8	12	25	2.4	2.1	3.0	4.6	18.7	20.4	Zhao, Matty
Chalco	601600 CH	12.2	29	Buy	16.3	50.4	79.3	71.7	14.2	11.4	20	24	2.6	2.3	2.6	4.1	19.8	21.1	Zhao, Matty
China Hongqiao	1378 HK	32.6	42	Buy	5.7	23.5	81.4	197.2	10.7	8.8	16	21	2.4	2.2	5.9	7.1	23.3	26.0	Chan, Miriam
CMOC	3993 HK	19.2	60	Buy	19.1	22.6	141.1	281.1	19.5	17.6	41	11	4.4	3.8	2.1	2.3	24.4	23.0	Chan, Miriam
CMOC	603993 CH	20.0	60	Buy	23.2	27.4	137.5	210.5	22.6	20.4	41	11	5.1	4.4	1.8	2.0	24.4	23.0	Chan, Miriam
Huayou Cobalt	603799 CH	68.3	19	Buy	10.4	3.6	84.4	136.8	22.4	18.9	25	19	3.1	2.7	0.9	1.1	14.3	15.0	Chan, Miriam
Jiangxi Copper	358 HK	42.9	24	Buy	39.8	42.6	185.3	267.6	17.2	14.9	12	16	0.6	0.6	2.0	2.4	9.6	10.4	Zhao, Matty
Jiangxi Copper	600362 CH	54.9	24	Buy	46.7	56.4	143.9	176.9	24.0	20.8	14	15	1.4	1.3	1.4	1.6	9.8	10.5	Zhao, Matty
Maanshan Iron & Steel	323 HK	2.5	4	Buy	0.4	-6.0	28.7	70.7	82.9	17.0	NM	388	0.7	0.7	-	2.9	0.9	4.3	Chan, Miriam
Maanshan Iron & Steel	600808 CH	4.2	4	Neutral	7.9	5.5	22.3	36.6	161.4	32.1	NM	403	1.4	1.4	-	1.6	0.9	4.3	Chan, Miriam
RE- Real Estate																			
Binjiang Group	002244 CH	10.1	4	Buy	-0.2	-19.9	4.0	17.7	11.0	9.5	15	16	1.0	1.0	1.8	3.2	9.9	10.6	Du, Eric
C&D International	1908 HK	15.7	5	Buy	-5.4	-12.5	-1.4	30.4	6.7	7.5	-12	-10	1.0	0.9	7.5	6.9	15.8	13.3	Du, Eric
China Merchants Property	001914 CH	10.7	2	Underp.	-2.7	-12.5	-12.0	2.9	13.0	12.0	9	8	1.0	1.0	2.8	3.5	8.1	8.3	Du, Eric
China Merchants Shekou	001979 CH	8.6	11	Underp.	-6.7	-15.0	0.7	-13.7	20.2	18.9	123	7	0.7	0.7	2.6	2.7	3.9	4.1	Du, Eric
China OVS PPT	2669 HK	4.5	2	Underp.	-8.5	-10.3	-15.9	-8.3	8.4	8.0	6	5	2.2	1.9	4.5	4.8	28.5	25.3	Du, Eric
COLI	688 HK	12.3	17	Buy	-7.8	-14.7	-8.5	2.6	8.7	7.9	-12	10	0.3	0.3	4.6	5.0	3.6	3.9	Choi, Karl
Country Garden Services	6098 HK	6.0	3	Underp.	-5.5	-8.8	-8.1	14.8	7.7	7.8	-22	-1	0.5	0.5	7.8	7.8	6.4	6.4	Du, Eric
CR Land	1109 HK	27.2	25	Buy	-9.8	-10.5	3.0	27.2	7.6	7.5	-9	1	0.6	0.6	5.4	4.9	8.2	7.8	Choi, Karl
CR Mixc Lifestyle	1209 HK	42.9	13	Buy	-3.1	3.9	15.8	57.4	22.0	19.3	14	14	5.3	5.3	4.5	5.2	24.2	27.6	Du, Eric
Gemdale Corporation	600383 CH	3.1	2	Underp.	-11.6	-29.5	-19.3	-30.1	NM	NM	-35	48	0.3	0.3	-	-	-10.5	-6.0	Choi, Karl
Greentown Service	2869 HK	4.7	2	Neutral	4.7	-6.4	7.1	28.2	15.2	12.5	12	22	1.6	1.6	4.6	6.0	11.1	13.0	Du, Eric
Hang Lung Prop	101 HK	8.6	6	Buy	-4.3	-1.4	16.7	49.6	13.9	13.9	-8	0	0.3	0.3	6.0	6.0	2.3	2.5	Tso, Fan
Henderson Land	12 HK	28.1	18	Neutral	-4.1	2.6	4.4	28.3	18.3	16.3	-24	12	0.4	0.4	6.4	6.4	2.3	2.5	Tso, Fan
KE Holdings	BEKE US	15.8	18	Buy	-8.5	-17.1	-11.2	-12.6	20.6	16.7	-13	23	1.8	1.7	2.3	2.6	8.4	9.6	Zhuang, Miranda
KE Holdings	2423 HK	41.5	19	Buy	-7.9	-21.2	-12.4	-10.6	20.6	16.7	-13	23	1.8	1.7	2.3	2.6	8.4	9.6	Zhuang, Miranda
Kerry Properties	683 HK	20.3	4	Buy	-3.6	-2.7	2.1	39.9	11.5	12.9	-1	-10	0.3	0.3	6.7	6.7	2.6	2.3	Tso, Fan
Longfor	960 HK	8.6	8	Buy	-11.9	-27.9	-6.6	-11.4	19.0	8.1	-62	136	0.3	0.3	1.6	3.7	1.7	4.0	Choi, Karl
New World Dev	17 HK	7.3	2	Underp.	5.8	-7.0	27.5	40.9	NM	NM	-152	97	0.1	0.1	-	-	-9.5	-0.3	Tso, Fan
Onowo	2602 HK	18.4	3	Underp.	-9.0	-24.3	-8.7	-1.9	7.9	7.6	11	4	1.2	1.2	10.5	8.1	15.2	16.2	Du, Eric

Exhibit 62: Valuation table for BofA Global Research China coverage universe (as of Dec 31, 2025)

By end of 2025, our China research team rates 55% of the coverage at Buy, 19% at Neutral, and 25% at Underperform

Company	Ticker	PX (Local) 31-Dec	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	P/E (x) 25E	P/E (x) 26E	EPS Growth (%) 25E	EPS Growth (%) 26E	P/B (x) 25E	P/B (x) 26E	D Yield (%) 25E	D Yield (%) 26E	ROE (%) 25E	ROE (%) 26E	Analyst
Poly Developments	600048 CH	6.1	10	Underp.	-9.8	-22.4	-23.1	-29.7	29.3	12.7	-41	130	0.4	0.4	1.5	3.3	1.3	2.9	Du, Eric
Poly Property Serv	6049 HK	31.9	2	Neutral	-9.1	-8.4	-3.8	10.0	10.1	9.6	6	5	1.5	1.4	5.5	6.3	15.6	15.3	Du, Eric
Seazen	1030 HK	2.1	2	Buy	-4.2	-19.9	-12.0	12.6	18.2	9.3	13	96	0.3	0.3	-	-	1.5	2.9	Du, Eric
Shanghai Lujiazui	600663 CH	7.9	5	Underp.	-2.4	-7.7	-10.0	-18.2	18.7	19.7	41	-5	1.2	1.2	2.7	2.5	6.8	6.3	Choi, Karl
Swire Properties	1972 HK	21.0	16	Buy	-1.8	-5.2	8.8	41.1	16.0	16.8	13	-5	0.4	0.4	5.4	5.6	2.8	2.6	Choi, Karl
Vanke	2202 HK	3.3	7	Underp.	-9.9	-41.1	-32.9	-38.0	NM	NM	56	32	0.0	0.0	-	-	-11.3	-8.5	Choi, Karl
Vanke	000002 CH	4.7	7	Underp.	-13.6	-32.5	-27.6	-36.0	NM	NM	56	32	0.2	0.3	-	-	-11.3	-8.5	Choi, Karl
Wharf Holdings Ltd	4 HK	21.7	9	Neutral	-7.9	-2.3	-8.2	1.5	18.0	15.4	-58	17	0.5	0.5	1.8	1.8	2.7	3.1	Choi, Karl
Yuexiu Property	123 HK	4.0	2	Buy	-12.2	-21.4	-4.8	-19.6	9.8	8.2	-8	19	0.3	0.3	4.2	4.9	2.6	3.1	Du, Eric
UTL- Gas & Water Utilities																			
Beijing Enterprises	392 HK	31.8	5	Buy	-6.5	-4.3	1.0	25.1	6.9	6.4	-8	8	0.4	0.4	5.7	6.0	6.0	6.3	Guan, Cissy
BJ Water	371 HK	2.5	3	Buy	-2.8	2.9	6.7	4.4	11.8	11.0	18	7	0.8	0.8	7.5	7.7	6.8	7.2	Guan, Cissy
China Gas	384 HK	7.7	5	Underp.	-10.7	0.8	9.4	21.2	12.5	15.0	4	-17	0.8	0.8	6.5	6.5	6.2	5.1	Guan, Cissy
CR Gas	1193 HK	22.6	7	Neutral	-0.9	14.0	14.5	-22.9	13.8	12.8	-9	8	1.2	1.2	4.2	4.5	8.8	9.0	Guan, Cissy
ENN Energy	2688 HK	69.2	10	No Rating	-2.5	8.6	11.4	29.9	11.8	11.0	0	7	1.4	1.4	4.3	5.2	12.5	12.5	Tsang, Gary
Guangdong Investment	270 HK	6.8	6	Buy	-9.2	-0.2	7.5	7.2	10.3	10.0	5	3	1.1	1.1	6.3	6.5	11.0	10.9	Guan, Cissy
Kunlun Energy	135 HK	7.4	8	Underp.	0.0	6.8	0.0	-7.3	9.6	9.4	1	2	0.8	0.8	4.7	4.8	9.0	8.8	Wang, Yiming
Shenzhen Gas	601139 CH	6.6	3	Buy	0.3	-0.3	3.8	-4.1	12.0	11.7	8	3	1.1	1.1	2.7	2.7	9.8	9.4	Guan, Cissy
UTL- Independent Power & Renewable																			
CGN Power	1816 HK	2.9	25	Underp.	-3.3	1.4	9.7	7.1	14.0	13.5	-12	4	0.2	0.2	3.6	3.6	7.8	7.8	Tsang, Gary
CGN Power	003816 CH	3.8	25	Underp.	-0.3	3.9	6.0	-6.6	20.0	19.3	-12	4	1.2	1.1	2.5	2.5	7.8	7.8	Tsang, Gary
China Power	2380 HK	3.2	5	Neutral	-5.8	0.0	8.0	7.7	10.6	10.3	0	3	0.6	0.6	5.4	5.5	6.1	6.1	Xia, Charlotte
China Three Gorges Renewables	600905 CH	4.1	17	Underp.	-2.2	-3.8	-2.5	-4.9	16.1	13.6	19	19	1.3	1.2	1.9	2.3	8.1	9.1	Xia, Charlotte
China Yangtze Power	600900 CH	27.2	95	Buy	-2.8	-0.2	-7.5	-5.0	20.0	18.0	2	11	3.0	2.8	3.5	3.9	15.4	16.3	Tsang, Gary
CR Power	836 HK	17.3	12	Neutral	-6.8	-3.0	-6.9	-3.4	6.9	6.9	-16	1	0.8	0.7	5.8	5.8	12.4	11.4	Tsang, Gary
Datang Renewable	1798 HK	2.1	2	Underp.	-9.3	-23.6	-12.2	2.9	6.3	6.0	11	5	0.4	0.4	3.6	3.8	6.2	6.1	Tsang, Gary
First Applied Material	603806 CH	14.0	5	Underp.	-1.1	-11.1	7.7	-3.7	29.2	24.2	-5	21	2.1	2.0	1.8	2.1	7.5	8.7	Chan, Miriam
Flat Glass	6865 HK	9.4	5	Neutral	-9.8	-17.0	7.0	-13.6	19.3	11.2	2	72	0.2	0.2	1.6	2.7	4.7	7.7	Leung, Edward
Flat Glass	601865 CH	15.7	5	Neutral	-2.9	-9.2	3.0	-20.4	35.8	20.8	2	72	1.3	1.3	0.8	1.4	4.7	7.7	Leung, Edward
Guiguan Power	600236 CH	7.8	9	Buy	13.3	20.0	27.9	17.9	27.5	24.6	2	12	3.6	3.4	2.7	3.0	13.4	14.3	Xia, Charlotte
Huadian	1071 HK	4.1	8	Neutral	-8.5	-0.5	0.2	7.4	6.4	8.4	25	-24	0.5	0.4	7.7	5.5	9.0	6.2	Xia, Charlotte
Huadian	600027 CH	5.0	8	Neutral	-3.7	-0.9	-5.6	-7.9	8.6	11.3	25	-24	0.6	0.6	5.7	4.0	9.0	6.2	Xia, Charlotte
Huaneng	902 HK	5.7	15	Buy	-7.7	5.7	20.3	42.2	6.6	8.4	69	-21	1.1	1.1	8.9	7.0	18.2	13.2	Tsang, Gary
Huaneng	600011 CH	7.5	15	Buy	-4.1	5.7	8.4	14.3	7.8	9.4	48	-17	1.6	1.6	6.1	4.8	22.3	17.1	Tsang, Gary
JA Solar	002459 CH	11.5	5	Underp.	-5.1	-12.9	14.7	-16.7	NM	NM	39	89	1.5	1.5	-	-	-10.8	-1.2	Tsang, Gary
Jinko Solar	688223 CH	5.6	8	Underp.	0.2	1.4	8.7	-20.7	NM	679.2	NM	NM	1.8	1.8	-	0.0	-4.8	0.3	Tsang, Gary
LONGi	601012 CH	18.2	20	Underp.	-2.0	1.1	21.2	15.8	NM	96.7	81	NM	2.3	2.3	-	0.1	-2.8	2.4	Tsang, Gary
Longyuan	916 HK	6.6	14	Underp.	-3.5	-18.9	-4.7	8.6	8.8	9.3	-11	-5	0.7	0.6	3.4	3.2	7.5	6.9	Tsang, Gary
Longyuan	001289 CH	15.0	14	Underp.	-5.3	-13.5	-5.1	-2.3	22.3	23.4	-1	-5	1.6	1.6	1.3	1.3	7.5	6.9	Tsang, Gary
Maxwell	300751 CH	206.0	8	Buy	71.8	107.3	197.8	98.6	76.9	38.5	-19	100	7.0	6.1	0.2	0.5	9.5	17.0	Tsang, Gary
SC New Energy	300724 CH	95.6	5	Underp.	12.4	-5.1	76.1	51.2	10.2	13.3	18	-23	2.4	2.1	1.5	1.1	26.0	16.7	Liu, Yikai
SDIC Power	600886 CH	13.1	15	Underp.	-4.7	0.5	-8.3	-18.7	14.9	15.6	1	-4	1.5	1.4	3.7	3.6	11.3	9.8	Xia, Charlotte
Tongwei	600438 CH	20.5	13	Underp.	-10.3	-7.9	22.5	-7.2	NM	NM	19	84	2.2	2.2	-	-	-12.5	-2.1	Chan, Miriam
Trina Solar	688599 CH	16.6	6	Underp.	-8.5	-4.7	13.9	-14.2	NM	19.3	60	NM	1.4	1.4	-	1.3	-5.4	7.3	Tsang, Gary
Xinyi Solar	968 HK	3.0	3	Underp.	-7.8	-13.7	20.8	-4.2	38.4	16.4	-38	134	0.8	0.8	1.2	2.9	2.2	5.1	Leung, Edward

Source: Bloomberg, BofA Global Research

BofA GLOBAL RESEARCH



Exhibit 63: Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
BABA	BABA US	Alibaba	US\$ 155.74	C-1-7
BABAF	9988 HK	Alibaba	HK\$ 149	C-1-7
XRTOF	688012 CH	AMEC	CNY 272.72	B-1-7
BAIDF	9888 HK	Baidu.com	HK\$ 143.8	C-1-9
BIDU	BIDU US	Baidu.com-ADR	US\$ 150.3	C-1-9
BEIGF	6160 HK	BeOne	HK\$ 184.5	C-1-9
ONC	ONC US	BeOne	US\$ 311.02	C-1-9
GDS	GDS US	GDS Holdings	US\$ 38.34	C-1-9
XMJFF	9698 HK	GDS Holdings	HK\$ 35.62	C-1-9
BGTCF	2590 HK	GeekPlus	HK\$ 23.06	C-1-9
HNSPF	3692 HK	Hansoh	HK\$ 36.44	C-1-7
XHDCF	601100 CH	Hengli Hydraulic	CNY 109.91	B-1-7
HSAL	HSAL US	Hesai	US\$ 24.08	C-1-9
XMSVF	002595 CH	Himile	CNY 84.51	B-1-7
HRZRF	9660 HK	Horizon Robotics	HK\$ 8.99	C-1-9
XSCHF	2577 HK	InnoScience	HK\$ 74.85	C-1-7
IVBXF	1801 HK	Innovent	HK\$ 78.8	C-1-9
XYMYF	300124 CH	Inovance	CNY 75.33	B-1-7
XJIEF	600584 CH	JCET Group Co Ltd	CNY 36.78	B-1-7
XJFJF	600522 CH	Jiangsu ZT	CNY 18.12	B-1-8
KGDEF	268 HK	Kingdee	HK\$ 14.15	C-1-9
KC	KC US	Kingsoft Cloud	US\$ 10.93	C-1-9
KCLHF	3896 HK	Kingsoft Cloud	HK\$ 5.68	C-1-9
XXMLF	002851 CH	Megmeet	CNY 90.07	C-1-7
MEIUF	1357 HK	Meitu	HK\$ 7.43	C-1-7
XDVVF	300760 CH	Mindray	CNY 190.45	B-1-7
XRDF	688008 CH	Montage	CNY 117.8	B-1-7
XORRF	603606 CH	NBO	CNY 59.75	B-1-7
XXHQF	603501 CH	OmniVision	CNY 125.9	B-1-7
RBSTF	2498 HK	RoboSense	HK\$ 37.3	C-1-9
XRPXF	603893 CH	Rockchip	CNY 178.28	C-1-7
XZSHF	002472 CH	Shuanghuan Driveline	CNY 47.41	C-1-7
XUJKF	002028 CH	Sieyuan Electric	CNY 154.59	B-1-7
XCBI	300274 CH	Sungrow Power	CNY 171.04	C-1-7
TCTZF	700 HK	Tencent Holdings	HK\$ 623	B-1-7
XNCGF	601689 CH	Tuopu	CNY 77.18	C-1-7
UBTRF	9880 HK	UBTECH	HK\$ 131	C-1-9
XCAOF	688271 CH	United Imaging	CNY 125.5	B-1-7
XENEF	300476 CH	Victory Giant	CNY 287.58	C-1-7
VNET	VNET US	VNET	US\$ 9.11	C-1-9
WUXIF	2359 HK	Wuxi Apptec	HK\$ 101	C-1-7
XPEV	XPEV US	XPeng	US\$ 20.43	C-1-9
XPNGF	9868 HK	XPeng Inc.	HK\$ 80.35	C-1-9
XZSIF	002050 CH	Zhejiang Sanhua	CNY 55.31	C-1-7
XZICF	300308 CH	Zhongji Innolight	CNY 610	C-1-7

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk**Alibaba Group (BABA / BABAF)**

We use a multi-year DCF to capture the long-term growth profile of the company's business portfolio, capex and investment. Our SOTP PO is US\$188 (HK\$183/HK share):

1) US\$164 from our DCF valuation of the Alibaba operations (already reflecting cash outflow for new initiatives, net cash & liquid assets of US\$3, discount rate of 11%, terminal growth rate of 3%), 2) US\$7 from its LT investments of listed entities on market value and US\$6 from unlisted entities incl. equities and debt investments on value reported on balance sheet, 3) US\$11 from Ali's stake in Ant Group, with an updated valuation of US\$78.5b in last round of official share buyback.



Downside risks: 1) macro consumption slowing down, 2) value-destructive or inefficient investments, 3) over spend for overseas expansion and new technologies development, 4) regulation regarding data, security, anti-trust, ANT, trade, VAT, listing, restriction by US and audit inspection by PCAOB, 5) reputational risks about regulation, compliance and quality, 6) industry competition incl. short video platforms and social media platforms for core Commerce and new entrants in AI computing and applications, 7) industry deceleration off a large base or high penetration, 8) macro and state-level shocks like epidemics, econ system changes, sanctions or military conflicts, 9) less stable mgmt. team which may cause confusions in strategies and inefficiency in executions.

AMEC (XRTOF)

Our PO of CNY352 is based on P/E of 60x 2026/27 average EPS of CNY5.86. The target P/E is in the middle of the company's historical P/E valuation range (45-75x) to reflect not only its long-term revenue growth potential, amid the semis equipment localization demand in China, but also the near-term OPM pressure due to the high R&D cost. The 60x P/E is also in line with China semiconductor equipment vendors' average valuation.

Upside risk

1) Faster-than-expected capacity building by local semiconductor chipmakers, thus higher demand for equipment

Downside risks

- 1) Slower progress/higher R&D costs for AMEC's new product development
- 2) More intensified competition with local peers
- 3) Further escalation of semiconductor trade restrictions (especially for some key equipment/materials, e.g., lithography tools)

Baidu.com (BIDU / BAIDF)

Our SOTP based PO is USD151/HKD148. Our PO is based on a 30% holding company discount to the sum of: 1) USD90 for cloud business, based on 6x FY26 P/S over AI Cloud Infra+AI Applications revenues, 2) USD20 for ad business, based on 3x FY26 P/S over AI native marketing revenue, 3) USD29 for robotaxi business on USD10bn valuation, based on USD2.5mn valuation per car multiplying with our estimated 4k fleet size, and 4) USD77 for net cash, investee value. RMB/USD exchange rate of 7.12. We use 30% holding company discount to reflect liquidity constraint for company's businesses.

Downside risks are 1) major operating or regulation events, 2) government intervention in business or ownership, 3) macroeconomic, 4) competition from other ad platforms and AI service providers, 5) margin and capex risk on spending for AI, 6) geopolitical risks, 7) AI technology usage risk, 8) if AI chip business is sanctioned, it may affect Baidu, 9) more intensified competition on AI, 10) slower-than-expected ramp of AI ad monetization, 11) slow or unable to unlock asset value.

Upside risks are 1) better-than-expected ad business recovery, 2) AI model upgrade that can lead ahead peers in China, 3) upside to cloud business from more capex, or more advantage with self-develop chips, 4) upside to traffic and revenue from potential iphone partnership, 5) potential capital market transactions such as spin-off, listing, or fund raising for robotaxi and chip businesses, 6) more shareholder return.

BeOne Medicines Ltd (ONC / BEIGF)

We derive our 12-month PO of USD396.4/HKD239.36 based on DCF valuation. We use a WACC of 9.4%, beta of 0.8 from Bloomberg and a terminal growth rate of 4.5%.

Downside risks to our PO are (1) NRDL negotiation pricing pressure on BeOne's upcoming market launch in large indications, (2) drug sales below our expectation, (3) setback in drug development and a delay in product approvals, (4) worse-than-expected geopolitical and tariff risks, (5) risk from potential Medicaid cuts.



GDS Holdings (GDS / XMJFF)

Our PO of US\$50.0 / HK\$49.1 is based on 1) 14x 12-month-forward EV/EBITDA for China business (GDSH, 100% stake), which is set 20% discount to overseas peers given lower profitability, and 2) 25x 12-month-forward EV/EBITDA (unchanged) for the international business (GDSI, 35.6% stake).

Upside risks: (1) faster-than-expected ramp-up for domestic backlog, (2) faster-than-expected overseas expansion, and (3) new government policies supporting the data center industry.

Downside risks: (1) lower prices for data center services on higher competition, (2) slower-than-expected move-in pace from clients, and (3) AI chip shortages due to more overseas restrictions.

GeekPlus (BGTCF)

Our PO of HK\$33 is based on the average of DCF and P/S valuation methodology, which we believe capture its cash flow and working capital management as well as growth potential. Our target 2026E P/S ratio for GeekPlus is 9x, slightly higher than the average level of its global intelligent logistics peers to reflect its faster growth rate.

Downside risks: US tariff hike, weaker demand for AMR, fierce competition.

Upside risks: stronger demand for AMR in global market, faster-than-expected share gain, higher-than-expected margin level

Hansoh (HNSPF)

Our DCF model for Hansoh derived a PO of HK\$45.0. Our assumption of the DCF model includes a 10% debt-to-asset ratio, a 4.0% risk free rate, 7.0% market premium, and 4.0% cost of debt. We apply beta of 0.66 (in line with Bloomberg 1-year beta), and arrive at 8.6% cost of equity and 8.2% WACC. We estimate a 3.5% terminal growth for the company.

Downside risks to our PO are: (1) higher-than-expected generic/innovative drug pricing pressure, (2) heightened competition resulting in loss of market share, (3) setbacks in drug development, (4) healthcare policy risk.

Upside risks to our PO are: (1) Better-than-expected drug launch and sales, (2) faster-than expected progress on pipeline.

Hesai (HSAI)

Our PO of USD25 is based on average of DCF valuation and EV/sales valuation.

DCF valuation methodology:

The fair value of USD26 is derived from our DCF calculation, with an assumption of 3.5% FCF perpetuity growth and 11.3% WACC. We come up with WACC of 11.3%, consisting of 3% risk free rate and 12% expected market return. Lastly, we assigned 3.5% perpetual growth rate to the company, which is reasonable, in our view, given the overall LiDAR penetration in ADAS is still relatively low and CAGR growth could be sustained in longer term.

EV/Sales methodology:

The fair value of USD23.8 is derived from our EV/sales valuation, as we assign 4.5x EV/sales to Hesai's 2026E sales, 0.5x higher than its peers (4.0x). We believe Hesai deserves a higher multiple with its closest peer considering its leading position in the industry (market share in terms of shipment, order gain), superior margins, faster breakeven timeline, and stronger B/S management. This characteristic set Hesai a solid foundation to survive through industry shuffling and remain as one of the top suppliers in the segment.

Risk: client concentration, ASP/GPM downside, slower EV/ smart vehicle growth



Himile (XMSVF)

We adopt a SOTP methodology to derive our PO at RMB90, as the company engages in 3 different business segments. 1) We use 13x 2026E EV/EBIT to value its auto tire mold business. Our multiple is nearly 20% higher than its global auto tire mold peers, given its leading global market position and technology edges. 2) We use 35x 2026E EV/EBIT to value its equipment components business, 20% higher than its Chinese power equipment components peers, given the upbeat outlook on gas turbine component export. 3) We use 24x 2026E EV/EBIT to value its machine tool business, 20% higher than its Chinese machine tool peers at 20x, mainly due to the company's cutting-edge in 5-axis machine tools and thus better profitability than peers.

Upside risks: stronger-than-expected Chinese auto tire companies' capacity expansion in overseas, stronger-than-expected orders from overseas gas turbine clients.

Downside risks: normalizing Chinese auto tire companies' capacity expansion in overseas, weaker-than-expected orders from gas turbine orders, more intense competition in wind turbine component business

Horizon Robotics (HRZRF)

Our PO of HK\$11.1 is based on a 50/50 blend of P/S and DCF to reflect near-term growth and long-term outlook. We choose the P/S valuation metric because Horizon Robotics is rapidly growing its revenue while it is still loss-making before breakeven from FY27E, rendering P/E inappropriate. Our P/S based value is HK\$10.4, based on 22x 12-month forward P/S. Our multiple of 22x is in-line with the market cap weighted average P/S of Horizon Robotics' China peers (major AI Chip / ADAS SoC chip vendors) given that we expect the company to post comparable FY24-27E revenue CAGR of 60% vs. peers.

Our DCF based valuation is HK\$11.8, applying 10.7% WACC (2.5% risk-free rate, 8% market risk premium, and 1.2x beta), and 3% terminal growth rate. We also assume HKD/CNY FX rate at 0.91.

Upside risks: 1) more orders win from auto OEM especially the foreign brand, 2) earlier-than-expected roll-out of more advanced solutions (with J6P), 3) earlier-than-expected breakeven.

Downside risks: 1) slower-than-expected ADAS/AD penetration in China, 2) stiff competition, 3) supply chain bottleneck, and 4) a higher proportion of OEMs/ Tier-1 suppliers with in-house solution development.

InnoScience Technology (XSCHF)

Our PO of HK\$108 is based on a DCF valuation (WACC: 10.7%, terminal growth: 3%), reflecting positive outlook on InnoScience's long-term growth trajectory. Our PO implies a FY26E price/sales growth (PSG) of 0.54x, based on 79% FY25-27E revenue CAGR. The 0.54x implied PSG is largely in line with peers' average FY26E PSG.

Upside risks: (1) faster-than-expected GaN adoption in data center and automotive, (2) earlier-than-anticipated profitability, and (3) better customer development progress with more new design wins.

Downside risks: (1) prolonged capex cycles weighing on profitability, (2) intensified competition, and (3) execution challenges under an IDM model.

Innovent (IVBXF)

We derive our PO of HK\$113.0 from a DCF model, assuming a WACC of 9.6% and a terminal growth rate of 4%. The DCF is based on PD-1, biosimilars, mazdutide and a few other drugs' commercial sales as well as revenue estimate of key pipeline assets including IB1363 and others.



Downside risks: commercialization for PD-1 and biosimilars below expectation, clinical development setback for late stage assets, and pricing pressure from NRDL's inclusion of competitors' products.

Upside risk: faster-than-expected sales growth of drugs included in NRDL.

Inovance Technology (XMYRF)

Our PO of RMB91 is derived from a blend (50/50 split) of DCF and P/E valuation methodologies. DCF is a suitable valuation methodology as it not only reflects Inovance's sustained earnings growth but also captures its cash-flow management capabilities, including working capital and capex. We also see P/E as an appropriate metric as it captures the sustained earnings growth that we estimate the firm will achieve.

(1) DCF methodology: A fair value of RMB90.7 is derived from our DCF calculation, with assumptions of 3% FCF perpetuity growth rate and WACC of 12.6%.

(2) P/E methodology: We derive our P/E-based valuation of RMB90.6 by applying a target P/E of 40x on 2026E EPS. Our target multiple of 40x is 1SD above its historical average, on the back of re-rating on FA orders recovery in 2026, and we expect Inovance to continue share gain in FA industry and maintain solid growth in EV components business.

Downside risks to our PO are (1) further average selling price (ASP) cut from major client in new energy business, (2) softer-than-expected property market which could impact Inovance's elevator inverter/control system businesses, (3) slower traction in new product developments which could result in weaker-than-expected growth momentum, (4) legacy products such as general inverters and servo facing increased price competition which could bring downside risk to our margin forecasts, and 5) milder-than-expected supportive policies from central government.

JCET Group Co Ltd (XJIEF)

We value JCET at CNY55 per share based on 30x P/E (2026-27E average), close to the historical average as 1) the US-China geopolitical tension and semiconductor tariff risks are easing so that the company should see a more normalized competition landscape, particularly in US, 2) JCET is increasing its exposure to advanced packaging, e.g. 2.5D/3D, which should provide higher long-term business growth visibility. However, the semiconductor demand weakness and competition pressure in China domestic market remains.

Downside risks to our PO are: 1) lower-than-expected major customer volume adoptions of the company's high-end technology or failure to secure new customers, 2) continuous deteriorating pricing competition, and 3) rising geopolitical tensions thus market share loss in the overseas customers.

Upside risks are: 1) chip supply shortage thus a price hike for OSAT services, 2) higher-than-expected market share gains high-end technologies from back-end peers, and 3) unexpected improvement in the US-China relationship.

Jiangsu Hengli Hydraulic Co., Ltd (XHDCF)

We derive our PO of RMB130 per share using the SOTP valuation method. For its hydraulic parts business, we derive the fair value based on 30x P/E over 2026E EPS, largely in line with its past-5-year historical average level. For its humanoid robot components business, we derive fair value based on 50x P/E over 2030E EPS, with a discount rate of 11.4% back to 2025.

Upside risks are 1) better-than-expected excavator sales volume, 2) smoother-than-expected pumps and valves market share gain, 3) the company successfully expands to other products (e.g., ball screw) into major new customers



Downside risks are 1) excavator sales volume slowdown, 2) overseas market performance affected by China-US trade conflicts, 3) failure to penetrate into pumps and valves market, particularly in medium & large pump and valve markets, 4) higher than expected OPEX., 5) FX loss

Jiangsu Zhongtian Technology (XJFJF)

Our price objective of RMB24 is based on DCF valuation, forecasting cash flow from 2025-35E. Our weighted average cost of capital (WACC) is estimated at 8.5%, assuming 3% terminal growth and company beta of 0.92.

Upside risks to our PO: 1) Higher than expected offshore wind installation, 2) Higher than expected overseas demand and acceptance of made-in-China cables, 3) Raw materials like copper price drop faster than expected, 4) Higher than expected demand for optical fiber cable and energy storage system

Downside risks to our PO: Lower than expected offshore wind power installation, 2) High reliance on SOEs' investment strategy, 3) Increasing trade barriers among China and other countries, 4) Raw materials like copper, shipping cost rise more than expected, 5) Lower than expected demand for optical fiber cable and energy storage system, 6) Privacy and national security risks in telecom industry.

Kingdee International Software (KGDEF)

Our PO of HK\$20.7 is derived by a sum of the parts (SOTP), which includes (1) HK\$20.5 based on 9x FY26E P/S for cloud revenue, 10% discount to the average of the U.S. leading SaaS companies due to Kingdee's weaker profitability, (2) HK\$0.1 based on 10x FY26E P/E for earnings of ERP business, 60% discount to average P/E of China software companies (the discount is applied due to the sharp revenue declining trend of the ERP business under the cloud strategy), and (3) HK\$0.1 for investment property business based on DCF valuation, with WACC of 9.3% and terminal growth rate of 2.0%.

Upside risks: (1) stronger topline growth driven by AI, (2) slower-than-expected decline of ERP business, and (3) better-than-expected operating margin improvement.

Downside risks: (1) intensified SaaS competition, (2) slower-than-expected cloud service revenue or subscription revenue growth, (3) valuation pushback on weaker stock market sentiment.

Kingsoft Cloud (KCLHF / KC)

We derive our PO of HK\$10.6 / US\$20.4, based on 3x 12mths forward P/S, which is set as the average valuation of China's independent cloud service providers listed in A-share market (UCloud, Bingo Software) after 50% A/H-share discount. The 50% A/H-share discount is set at the average share price discount for all companies dual-listed in both A-share and H-share market. We derive our PO on revenue multiple, because (1) Kingsoft Cloud is still loss making in near-term, and (2) we believe P/S multiple can better reflect its growth outlook, which investors care more about.

Upside risks: (1) stronger-than-expected revenue contribution from AI/LLM cloud business, 2) substantial demand increase from Kingsoft and Xiaomi ecosystem, and (3) significant demand recovery from the internet sector.

Downside risks: (1) pricing pressure from intensified competition, (2) high customer concentration, and (3) export restrictions of AI chips to China.

Meitu Inc. (MEIUF)

Our PO of HK\$13.5 is based on 45x 12-month forward adjusted P/E, which is set at 0.5SD above historical average given stronger profitability in FY25-27E with adjusted NPM of 24-28%, compared with the average of 12% in FY21-24. Our PO implies 1.1x



PEG, lower than the average of 1.5x for leading global SaaS companies, which we believe is undemanding underpinned by Meitu's faster earnings growth outlook (42% CAGR for adjusted net profit in FY24-27E, vs. 16% earnings CAGR of global SaaS peers). We believe it is more relevant to compare Meitu with global leading SaaS players as 1) most China SaaS companies are still loss making or just start to be profitable in coming years, and 2) higher revenue portion from overseas market for Meitu (32% in FY24) than China peers (low-single-digit % on average). We adopt the P/E valuation for Meitu given its solid business expansion with high profitability, which could capture the earnings growth momentum.

Upside risks: (1) faster-than-expected paying user growth, (2) faster-than-expected overseas expansion, (3) strategic partnership platform companies, and (4) commission rate cut from Apple App Store or Android Play Store.

Downside risks: (1) slower-than-expected paying user conversion, (2) competitive pressure, (3) regulatory and geopolitical risk, and (4) valuation compression.

Mindray (XDVVF)

We derive our PO of RMB262.0 based on a 10-year DCF valuation, assuming a WACC of 9.5%, terminal growth rate of 3.0% and beta of 0.78.

Upside risks: 1) rising penetration in Class III hospitals, 2) more installations of IVD TLA, 3) rapid business expansion in EM.

Downside risks: 1) more products are included in VBP with significant price cut, 2) less demand for medical devices, 3) significant impact from anti-corruption campaign, 4) further tariff hike.

Montage Technology (XRDFE)

We derive our PO of Rmb155 on discounted cash flow (DCF) valuation approach, with a weighted-average cost of capital (WACC) of 9% and terminal growth rate of 3%, implying 50x FY26E P/E, which is also in-line with the average valuation of China A-share fables.

Upside risks: 1) faster-than-expected penetration of DDR5 memory or stronger-than-expected server shipment growth, 2) higher-than-expected revenue contribution from PCIe Retimer, and 3) stronger-than-expected growth recovery of Jintide server platform business.

Downside risks: 1) intensified competition from peers or potential newcomers, 2) geopolitical risks on trade restrictions (AI Chips), and 3) delayed launch of new CPUs by others.

Ningbo Orient Wires & Cables (XORRF)

We have set a price objective of RMB81 by using a DCF-based valuation. We have assumed a risk-free rate at 3.0%, company beta of 0.88, equity risk premium of 7.0% and a 3% terminal growth rate. This is consistent with our industry metrics. We apply a WACC of 6.6%.

Upside risk: 1) higher-than-expected offshore wind installation, 2) higher-than-expected overseas demand and acceptance of made-in-China cables, 3) raw material price (e.g. copper) drops faster than expected.

Downside risk: 1) lower-than-expected offshore wind power installation, 2) increasing trade barriers among China and other countries, and 3) prices of raw materials like copper, and shipping costs rise more than expected.



Ningbo Tuopu (XNCGF)

We derive our PO of RMB82 with SOTP valuation to reflect both (1) Tuopu's auto/EV components business, (2) Tuopu's likely profit contribution from humanoid robot components in the future.

Auto/EV components: we apply 25x P/E to 2026E net profit from auto/EV components. Our target PER of 25x is based on 0.25SD above the stock's historical 5-year average one-year forward PER. We adopt the historical 5-year average, given it captures both the up and downcycle of the auto and auto parts industry. We use its 0.25SD above its historical average to reflect improving fundamentals and overseas market as new growth drivers.

Humanoid robot components: we apply 50x P/E to its 2030E net profit from humanoid robot components. Our target PER of 50x P/E is supported by (1) global humanoid robot shipments to post 123% CAGR in 2025-30E and 58% CAGR in 2030-35E, (2) other leading Chinese industrial companies were trading at 50x (0.5-0.6x PEG) in the fast growing stage. We discount 2030E implied value with 11.4% WACC.

Risks: raw material cost hikes, EV price cuts, competition, China EV market growth deceleration, inability to maintain a high capacity utilization rate.

OmniVision (XXHGF)

Our PO of CNY155 is based on 30x P/E and 2026 EPS of CNY5.17. The target 30x P/E is lower than China semiconductor fabless companies' valuation range (40-60x) as OmniVision's market share/business scale are more established but is still well supported by the solid EPS growth in 2025/26 (CAGR 38%).

Upside risks:

- 1) Stronger-than-expected smartphone and automotive demand, especially for Chinese brands
- 2) Further price cut of foundry/packaging services, leading to lower COGS for the company's chips

Downside risks:

- 1) Image sensor market share loss to competitors, e.g. Samsung, Sony, or other China companies
- 2) Escalation of US/China trade restrictions, limiting the downstream demand or the company's product supply capability

RoboSense (RBSTF)

Our PO of HKD38 is based on average from DCF and EV/sales valuation. RoboSense has relatively short operation history in a relatively innovated industry - LiDAR, and the company is still loss making. We believe the DCF valuation methodology is appropriate given this reflects the company's long-term cash flow generation. Meanwhile, we see the EV/sales valuation methodology as a suitable metric as well. We adopt the same valuation method for its closest peer Hesai.

The fair value of HKD40.7 is derived from our DCF calculation, with an assumption of 14.6% WACC and 3.5% FCF perpetuity growth. We arrive at a WACC of 14.6%, comprising of 3% risk free rate, 1.3x beta, and 12% expected market return. We assign 3.5% perpetual growth rate to the company, which is reasonable, considering normalized growth in the longer term.

The fair value of HKD35.4 is derived from our EV/sales valuation, as we assign 4.5x target EV/sales to 2026E sales. Our target EV/sales of 4.5x is benchmarking Greater China automotive technology companies (trading at an average of 4.5x 2026E EV/sales), as they are auto/EV supply chain set to benefit from the rise of vehicle intelligence trend, and they have exposure or potential of penetrating in robotic industry.



Downside risks: price competition in auto market, intensifying competition in LiDAR market, ASP/GPM downside, tariff hike risks for US revenue exposure

Rockchip (XRPXF)

Our PO of Rmb226 is based on 60x FY26E P/E, which is set in-line with the average of China fabless companies listed in A-share. We think our target valuation multiple is not demanding given that 1) it is 0.5SD below its historical average of c.90x and 2) encouraging growth outlook with 35% earnings CAGR in FY25-27E. Our PO implies 1.7x FY26E PEG. We use a P/E-based valuation methodology to better factor in its earnings growth outlook.

Upside risks: 1) faster edge-AI computing penetration, 2) more design wins, 3) automotive and robotics market expansion, and 4) faster semi localization trends.

Downside risks: 1) downstream demand volatility, 2) competitive pressure, 3) technology transition risk with slower new product launch, and 4) supply chain and geopolitical risks.

Shanghai United Imaging (XCAOF)

We derive our PO of RMB176.0 based on a 10-year DCF valuation, assuming a WACC of 9.6%, terminal growth rate of 3.0% and beta of 0.8.

Upside risks: 1) significant demand due to open-up of large medical device procurement quota, 2) strong recovery of device procurement after anti-corruption campaign impact, 3) faster-than-expected expansion of overseas business.

Downside risks: 1) its limited track record of overseas expansion, 2) a weak outlook for its CT business and potential cyclical effects due to sales of large-scale medical devices, 3) significant anti-corruption campaign impact. 4) If the alleged EU probe into procurement processes is confirmed, it could have an adverse effect on United Imaging.

Shenzhen Megmeet (XMXLF)

Our PO of RMB90 is based on SOTP method, with (1) 33x 2026E P/E of its legacy business, largely in line with the sector average and its historical average, as its earnings growth is largely in line with the sector average, and (2) 75x 2026E P/E for its AI server power supply business, around 20% higher than the sector average, considering the higher-than-peer earnings growth of its AI server power supply business in 2025-27.

Risks: (1) Geopolitical risks from US-China trade conflicts, (2) weaker-than-expected sales of Nvidia's GB200/GB300 AI server, (3) slower-than-expected market-share expansion in AI server power supply, (4) slower overseas sales growth of home appliance control, (5) fluctuation of raw material prices, (6) tariff hike in the overseas market.

Shuanghuan Driveline (XZSHF)

Our PO of RMB54 for Shuanghuan is based on SOTP valuation. For its gear and industrial robot reducer business, we apply 28x PE to 2026E EPS. We derive our target P/E of 28x, based on 0.5 standard deviation above its historical 5-years average PER. For its humanoid robot components: we apply 50x P/E to its 2030E net profit from humanoid robot components. Our target PER of 50x P/E mainly is supported by (1) global humanoid robots shipment to post 123% CAGR in 2025-30E and 58% CAGR in 2030-35E, (2) other leading Chinese industrial companies were trading at 50x (0.5-0.6x PEG) in the fast growing stage. We discount 2030E implied value with 11.4% WACC.

Downside risks: slower EV penetration expansion in China, order gain with global leading EV makers behind expectation, lower utilization or slower new capacity ramping up, raw material price hike.



Sieyuan Electric (XUJF)

Our PO of RMB156 is based on 32x 2026E P/E, 1SD above historical average to reflect our positive outlook about its overseas revenue growth. It implies undemanding PEG of 1.1x based on 2025-27E EPS CAGR of 28%.

Downside risk: higher-than-expected tariff in US and other areas, share loss in SGCC tendering, slower order and revenue growth, lower margin from overseas market

Upside risk: faster new order growth, higher margin level from overseas market, faster share gain in SGCC tendering

Sungrow Power (XCBIF)

We derive our P/E-based PO of RMB220 with a 25x 2026E EPS, which is on par with mainland China peers' average and slightly higher than its average P/E since listing due to potential upside from AIDC expansion and strong ESS shipment. Risks: 1) US tariff (US to account 20-30% of net profits in 2025) 2) weaker demand 3) lower margin 4) lower share in China and overseas markets.

Tencent Holdings (TCTZF)

Our PO of HK\$780 is based on 1) 15x PE to online game, 2) 24x PE on VAS (ex game), 3) 25x PE on online ads, 4) 20x PE on fintech, 5) 5x PS on cloud, 6) investment holding value plus net cash (HKD116 per share).

Downside risks: 1) competition from new traffic platforms and media formats, 2) regulation on fintech, collection, sharing and use of data, competition, online games, instant messaging, wireless services, app registration, minors protection. Intervention or ownership by the authority could also introduce uncertainty in business decisions. Game regulation turns out worse than expected, 3) weaker new games momentum, 4) expenses and investments for new game promotion and AI, 5) weak macro impacting ad and fintech business, 6) geopolitical risk, and risk if it is sanctioned, 7) profit impact from AI investments

Upside risks: 1) better and faster than expected macro recovery, 2) beat of new game performance, 3) synergy from ecosystem open-up with other internet platforms, 4) ecommerce business ramp up, 5) upside risk to investor sentiment if Co. can be removed from the 1260H list, 6) breakout of AI applications

UBTECH (UBTRF)

Our PO of HK\$187 is derived from the average of DCF and P/S valuation methodologies.

DCF valuation: a fair value of HK\$200.7 is derived from our DCF calculation, with assumptions of 12.3% WACC and 3% FCF perpetual growth.

P/S valuation: We assign a target P/S of 15x to its 2027E sales per share and derive a P/S-based fair value of HK\$173.2. Our target P/S of 15x is in-line with its historical average (15x) and 1SD above its average over the past one year (10x), reflecting our positive outlook of its order and sales growth in the coming five years.

Downside risks: slower-than-expected development of humanoid robot, intensifying competition, lack of critical components and materials, availability of financial resources.

Victory Giant (XENEF)

We set our PO at CNY440, based on 33x 2H26-1H27E P/E. Our 33x P/E is slightly higher than +1SD of Victory Giant's past 10-year trading average, justified by strong earnings cycle, extended business visibility and a diversified customer base. 33x also largely matches with China AI server component peers' 2026-27E average P/E.



Downside risks: (1) slower-than-expected global AI cloud capex, (2) slower-than-expected GPU platform upgrade, (3) significant market share loss to competitors, (4) supply chain bottleneck that caps server rack shipment, and (5) worsened US/China disputes.

Upside risks: (1) stronger-than-expected global AI cloud capex, (2) faster-than-expected GPU platform upgrade, (3) further market share gain at the expense of competitors, and (5) eased US/China disputes.

VNET Group (VNET)

Our PO of US\$15.1 is based on 14x 12-month forward estimated. EV/EBITDA, slightly lower than the average of China data center peers given lower portion of wholesale IDC revenue.

Upside risks: (1) faster-than-expected growth in new wholesale orders, (2) quicker-than-expected ramp-up in utilization levels, and (3) sooner-than-expected AI business ramping-up.

Downside risks: (1) failure in getting new orders from wholesale customers, (2) lower prices for data center services on higher competition, and (3) AI chip shortages due to more overseas restrictions.

Wuxi Apptec (WUXIF)

We use discounted cash flow (DCF) methodology to assess the equity value given its high growth rate and a majority of the company's value comes from its future revenue. We estimate a price objective (PO) of HK\$146.0, assuming 11.4% weighted -average cost of capital (WACC), a terminal growth rate of 1%, 4% debt and 96% equity financing, 4% risk-free rate, a beta of 1.1, 7% equity risk premium, 4.9% after-tax cost of debt, 18% long-term effective tax rate.

Downside risks to our PO: 1) strained Sino-U.S. relations, 2) a slowdown in the investment in pharma/biotech industry, and 3) margin pressure due to competition, 4) significant medicare and medicaid cuts, 5) reintroduction of Biosecure Act.

Upside risks to our PO: 1) faster growth in total number of CRO/CDMO projects, 2) attracted more than expected number of new customers, 3) faster than expected expansion of business.

XPeng Inc (XPEV / XPNGF)

We derive our PO of USD28 per ADS (HKD109 per share) using an average of EV/sales valuation and DCF valuation.

DCF-based fair value: We derive a fair value of USD28 from our DCF calculation, with assumptions of 2% FCF perpetuity growth. We use a 3.5% risk-free rate, 11% market return and Beta of 1.2 to calculate and derive the discount rate (WACC) of 11.9%.

EV/sales-based fair value: We derive a fair value of USD28.2 from EV/sales method. We apply a target EV/sales multiple of 1.5x to 2026E sales. The 1.5x target multiple is in line with its 3-year historical average, but higher than its EV peers due to XPeng's higher volume sales growth in 2025-26.

Downside risks: intensified competition from new model launches and other EV start-ups, pricing pressure amid a competitive EV market, weak macro, which would impact auto consumption.



Analyst Certification

We, Winnie Wu, Alex Liu, Dai Shen, Daley Li, CFA, David Li, Fiona Liang, Gary Tsang, Harry Zhuang, Jessie Lo, Joey Yang, CFA, Joyce Ju, Katherine Zhu, Matty Zhao, Ming Hsun Lee, CFA, Miranda Zhuang, CFA, Sandra Sun, Summer Wang, CFA and Yikai Liu, CFA, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Summer Wang, CFA
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Joon-Ho Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITEF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Joon-Ho Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVFY	7011 JP	Kenjin Hotta
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	NARI Technology	XLODF	600406 CH	Matty Zhao
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVFY	600031 CH	Ming Hsun Lee, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XXMLF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJCF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yuchai International	CYD	CYD US	Fiona Liang
	Zoomlion Heavy Industry	XLRVF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA
NEUTRAL	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXGF	301029 CH	Yikai Liu, CFA
	Envicool	XPTIF	002837 CH	Yibing Xia
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Goldwind	XJNGF	2208 HK	Gary Tsang
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	TGODD	XQGDF	300001 CH	Yikai Liu, CFA
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Zhejiang Supcon Technology	XDFFF	688777 CH	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA

UNDERPERFORM

	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Narumon Ekasamut
	Shanghai Bochu Electronic	XWUTF	688188 CH	Summer Wang, CFA
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	ST Engineering	SGGKF	STE SP	Jessie Lo

APR - Energy Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Bharat Petroleum Corporation Limited	XBPCF	BPCL IN	Bharat Subramanian
	Formosa Plastics	FSAPF	1301 TT	Joon-Ho Lee
	GAIL Limited	XGLAF	GAIL IN	Bharat Subramanian
	GAIL Limited	GAILF	GAID LI	Bharat Subramanian
	GS Holdings	GSHDF	078930 KS	Joon-Ho Lee
	Hanwha Solutions Corp.	HNWFF	009830 KS	Joon-Ho Lee
	Indorama Ventures Public Company Limited	INDMF	IVL TB	Komsun Suksumrun
	Indraprastha Gas	XTNFF	IGL IN	Bharat Subramanian
	Kumho Petrochemical	KKMHF	011780 KS	Joon-Ho Lee
	LG Chem	LGCLF	051910 KS	Joon-Ho Lee
	LG Energy Solution	XQIEF	373220 KS	Joon-Ho Lee
	Mahanagar Gas	XMGRF	MAHGL IN	Bharat Subramanian
	Oil and Natural Gas Corporation Limited	XOFOF	ONGC IN	Bharat Subramanian
	PetroChina	PCCYF	857 HK	Matty Zhao
	Petrochina Co Ltd-A	XPCLF	601857 CH	Matty Zhao
	PTT Exploration	PTXLF	PTTEP TB	Komsun Suksumrun
	PTT Global Chemical PLC	XPGOF	PTTGC TB	Komsun Suksumrun
	PTT pcl	PTTPF	PTT TB	Komsun Suksumrun
	Reliance Inds	XRFLF	RELIANCE IN	Sachin Salgaonkar
	Sinopec	SNPMF	386 HK	Matty Zhao
	Sinopec -A	SNPAF	600028 CH	Matty Zhao
	Sinopec Engineering	SENGF	2386 HK	Yiming Wang
	SK IE Technology	XKWRF	361610 KS	Taekyoung Ha
	SK Innovation	SKOVF	096770 KS	Joon-Ho Lee
	S-Oil	SOOCF	010950 KS	Joon-Ho Lee
	Star Petroleum Refining	XSJSF	SPRC TB	Komsun Suksumrun
	Sungrow Power	XCBIF	300274 CH	Matty Zhao
	Thai Oil - L	TOJF	TOP TB	Komsun Suksumrun
	Wanhua Chemical	YWNHF	600309 CH	Yiming Wang
NEUTRAL				
	China Coal	CCOZF	1898 HK	Matty Zhao
	China Coal	XAWLF	601898 CH	Matty Zhao



APR - Energy Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	China Shenhua	CUAEF	1088 HK	Matty Zhao
	China Shenhua	XCUAF	601088 CH	Matty Zhao
	COSL	CHOLF	2883 HK	Yiming Wang
	COSL	XCNRF	601808 CH	Yiming Wang
	Formosa Chemicals & Fibre	FMSFF	1326 TT	Joon-Ho Lee
	Hindustan Petroleum Corporation Limited	XHTPF	HPCL IN	Bharat Subramanian
	Indian Oil Corporation Limited	IOCOF	IOCL IN	Bharat Subramanian
	L&F	XLNTF	066970 KS	Joon-Ho Lee
	Lotte Chemical Corporation	XLCCF	011170 KS	Joon-Ho Lee
	Nan Ya Plastics	NNYPF	1303 TT	Joon-Ho Lee
	People & Technology	XDFYF	137400 KS	Joon-Ho Lee
	Petronet LNG	POLNF	PLNG IN	Bharat Subramanian
	PTT Oil and Retail Business	XNINF	OR TB	Komsun Suksumrun
	W-Scope Chungju Plant	XWSWF	393890 KS	Taekyoung Ha

UNDERPERFORM

	Ecopro BM	XKURF	247540 KS	Joon-Ho Lee
	Formosa Petrochemical	FPTCF	6505 TT	Joon-Ho Lee
	Gujarat Gas	XGGRF	GUJGA IN	Bharat Subramanian
	IRPC	IRPSF	IRPC TB	Komsun Suksumrun
	Kunlun Energy - H	KUNUF	135 HK	Yiming Wang
	Oil India Limited	XLCRF	OINL IN	Bharat Subramanian
	Petronas Chemicals	PECGF	PCHEM MK	Joon-Ho Lee
	POSCO Future M	XTAMF	003670 KS	Joon-Ho Lee
	Sinopec Shanghai Petrochemical Co	SPTJF	338 HK	Yiming Wang
	Sinopec Shanghai Petrochemical Co	SINFF	600688 CH	Yiming Wang
	SKC	XSXOF	011790 KS	Joon-Ho Lee
	Solus Advanced Materials	XSOAF	336370 KS	Taekyoung Ha
	Yankuang Energy	YZCHF	1171 HK	Matty Zhao
	Yankuang Energy	YZCIF	600188 CH	Matty Zhao

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Mike Yang
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	Global Unichip Corp.	GBUHF	3443 TT	Mike Yang
	Grand Process Technology Corp	XZOWF	3131 TT	Mike Yang
	Horizon Robotics	HRZRf	9660 HK	Daley Li, CFA
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFf	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Rockchip	XRPFf	603893 CH	Daley Li, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	GlobalWafers	XWLFF	6488 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Novatek	NVKMF	3034 TT	Haas Liu
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
UNDERPERFORM				
	Faraday	FDYTF	3035 TT	Mike Yang
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Hua Hong Semi	HHUSF	1347 HK	Dai Shen
	Ingenic	XISCF	300223 CH	Dai Shen
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	Macronix International	MXICF	2337 TT	Dai Shen
	Maxscend	MXMSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	Powertech Technology	XPPZF	6239 TT	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	XWIIF	3105 TT	Mike Yang
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	BizLink	BIZLF	3665 TT	Doris Kao
	BOE Technology Group Co., Ltd	XCJQF	000725 CH	Brad Lin
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	E Ink Holdings	PWVIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Inovance Technology	XYMYF	300124 CH	Ming Hsun Lee, CFA
	King Slide	KGSLF	2059 TT	Doris Kao
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	Lens Tech	XLTGF	300433 CH	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Luxshare	XNJQF	002475 CH	Robert Cheng



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu

NEUTRAL

	Advantech	ADTEF	2395 TT	Robert Cheng
	Asustek	AKCPF	2357 TT	Robert Cheng
	AU Optronics	AUOTF	2409 TT	Brad Lin
	AU Optronics	AUOTY US		Brad Lin
	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Ennostar	XENOF	3714 TT	Katherine Zhu
	Innolux Corporation	CMLXY	3481 TT	Brad Lin
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lenovo Group	LNVGf	992 HK	Robert Cheng
	Lenovo Group	LNVGy	LNVGy US	Robert Cheng
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Lotes	ZYZTF	3533 TT	Doris Kao
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	TCL Technology Group Corp	XTOOF	000100 CH	Brad Lin
	Transsion	XCINF	688036 CH	Robert Cheng

UNDERPERFORM

	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Delta Electronics (Thailand)	XLETF	DELTA TB	Chotipat Leksakul
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng
	Kinsus	KNSUF	3189 TT	Mike Yang
	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOFF	002036 CH	Katherine Zhu
	NYPGB	NANYF	8046 TT	Mike Yang
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Robert Cheng
	Tianma	XVZLF	000050 CH	Brad Lin

APR - Telecommunications Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	3BB Internet Infra Fund	XJBIF	3BBIF TB	Chotipat Leksakul
	Advanced Info	AVIZF	ADVANC TB	Thititthep Nophaket
	Bharti Airtel	BHTIF	BHARTI IN	Sachin Salgaonkar
	Converge ICT	XLERF	CNVRG PM	Jojo Gonzales



APR - Telecommunications Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Digital Telecommunications Infra Fund	TTCFF	DIF TB	Chotipat Leksakul
	Far EasTone	FEOTF	4904 TT	Yoyo Pang
	GDS Holdings	GDS	GDS US	Daley Li, CFA
	GDS Holdings	XMJFF	9698 HK	Daley Li, CFA
	Indosat-Hutch	PTITF	ISAT IJ	Sukriti Bansal
	KT	KTCNF	030200 KS	Sun Jung Lee
	KT	KT	KT US	Sun Jung Lee
	LG Uplus	LTCLEF	032640 KS	Sun Jung Lee
	NextDC Limited	NXDCF	NXT AU	Ware Kuo
	PLDT	PHTCF	TEL PM	Jojo Gonzales
	PLDT -A	PHI	PHI US	Jojo Gonzales
	PT Telkom	TLKMF	TLKM IJ	Sukriti Bansal
	PT Telkom	TLK	TLK US	Sukriti Bansal
	Singtel	SNGNF	ST SP	Sukriti Bansal
	Swiggy	XPDWF	SWIGGY IN	Sachin Salgaonkar
	Telstra Group	TTRAF	TLS AU	Ware Kuo
	Telstra Group-A	TLGPY	TLGPY US	Ware Kuo
	TPG Telecom	TPGTF	TPG AU	Ware Kuo
	True Corporation	XTPCF	TRUE TB	Thititthep Nophaket
	VNET Group	VNET	VNET US	Daley Li, CFA

NEUTRAL

	BrainBees Solutions (FirstCry)	XZSQF	FIRSTCRY IN	Sachin Salgaonkar
	Chunghwa Telecom	CHWAF	2412 TT	Yoyo Pang
	Chunghwa Telecom	CHT	CHT US	Yoyo Pang
	Megaport Ltd	MGPPF	MP1 AU	Ware Kuo
	SK Telecom	SKMTF	017670 KS	Sun Jung Lee
	SK Telecom	SKM	SKM US	Sun Jung Lee
	Spark New Zealand Ltd	NZTCF	SPK NZ	Ware Kuo
	Spark New Zealand Ltd.-SP ADR	SPKKY	SPKKY US	Ware Kuo
	Taiwan Mobile	TWMBF	3045 TT	Yoyo Pang

UNDERPERFORM

	Axiata	AXXTF	AXIATA MK	Sukriti Bansal
	CelcomDigi	DIGBF	CDB MK	Sukriti Bansal
	Globe Telecom	GTMEF	GLO PM	Sukriti Bansal
	Indus Towers	YYAF	INDUSTOW IN	Sachin Salgaonkar
	Vodafone Idea	IDEAF	IDEA IN	Sachin Salgaonkar
	XL Axiata	PTXAF	EXCL IJ	Sukriti Bansal

APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Power Corporation	ABZPF	AP PM	Julian Roxas
	B.Grimm Power	XVSGF	BGRIM TB	Sirichai Chalokepunrat
	Beijing Enterprises Holdings Limited	BJINF	392 HK	Cissy Guan
	Beijing Enterprises Water	BJWTF	371 HK	Cissy Guan
	China Everbright Environment Group	CHFFF	257 HK	Cissy Guan
	China Yangtze Power Co., Ltd	CYGZF	600900 CH	Gary Tsang
	CK Infrastructure Holdings	CKISF	1038 HK	Cissy Guan
	Doosan Enerbility	DOHIF	034020 KS	Taekyoung Ha
	First Gen Corporation	FSGCF	FGEN PM	Julian Roxas
	Guangdong Investment	GGDVF	270 HK	Cissy Guan
	Guangxi Guiguan Electric Power Co Ltd	XGPEF	600236 CH	Charlotte Xia
	Gulf Development	XKRIF	GULF TB	Narumon Ekasamut
	Huaneng Power International	HUNGF	902 HK	Gary Tsang
	Huaneng Power-A	HUNWF	600011 CH	Gary Tsang
	Jiangsu Zhongtian Technology	XJFJF	600522 CH	Gary Tsang
	Korea Electric Power Corp	KEPLF	015760 KS	Taekyoung Ha
	Korea Electric Power Corp	KEP	KEP US	Taekyoung Ha
	Manila Electric Co.	MERVF	MER PM	Julian Roxas
	Manila Water	MWTCF	MWC PM	Julian Roxas
	Ningbo Orient Wires & Cables	XORRF	603606 CH	Gary Tsang



APR - Utilities Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Sembcorp Industries	SCRPF	SCI SP	Jessie Lo
	Shenzhen Gas	XSRAF	601139 CH	Cissy Guan
	Synergy Grid & Development Phils., Inc.	XSLIF	SGP PM	Julian Roxas
	Tenaga Nasional Berhad	TNABF	TNB MK	Jessie Lo

NEUTRAL

	China Power International	CPWIF	2380 HK	Charlotte Xia
	China Resources Gas Group Limited	CRGGF	1193 HK	Cissy Guan
	China Resources Power	CRPJF	836 HK	Gary Tsang
	CLP Holdings	CLPHF	2 HK	Cissy Guan
	CLP Holdings - A	CLPHY	CLPHY US	Cissy Guan
	Electricity Generating Company Ltd.	EYGGF	EGCO TB	Sirichai Chalokepunrat
	Global Power Synergy	XWODF	GPSC TB	Sirichai Chalokepunrat
	Huadian Power International	HPIFF	1071 HK	Charlotte Xia
	Huadian Power Intl Corp-A	HPIZF	600027 CH	Charlotte Xia
	NTPC Ltd	NTHPF	NTPC IN	Amish Shah, CFA
	Power Grid Corporation of India Ltd	XPPWF	PWGR IN	Amish Shah, CFA
	Ratch Group PCL	XEGEF	RATCH TB	Sirichai Chalokepunrat

UNDERPERFORM

	ACEN Corporation	ACPIF	ACEN PM	Julian Roxas
	CGN Power	XALQF	003816 CH	Gary Tsang
	CGN Power	CGNWF	1816 HK	Gary Tsang
	China Datang Renewable	XGDRF	1798 HK	Gary Tsang
	China Gas Holdings Limited	CGHOF	384 HK	Cissy Guan
	China Longyuan Power Group Corp. Ltd.	CLPXF	916 HK	Gary Tsang
	China Longyuan Power Group Corp. Ltd.	XXRYF	001289 CH	Gary Tsang
	China Three Gorges Renewables	XWRFF	600905 CH	Charlotte Xia
	JA Solar	XJSTF	002459 CH	Gary Tsang
	Jinko Solar	XJGCF	688223 CH	Gary Tsang
	LONGi Green Energy Technology	XAQZF	601012 CH	Gary Tsang
	NHPC Ltd	XNTHF	NHPC IN	Amish Shah, CFA
	SDIC Power Holdings	XLGVF	600886 CH	Charlotte Xia
	Tata Power Company Ltd	XNSGF	TPWR IN	Amish Shah, CFA
	Trina Solar	XVSLF	688599 CH	Gary Tsang

APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agora	API	API US	Daley Li, CFA
	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	East Money	XEQTF	300059 CH	Michael Li
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Krafton	XKINF	259960 KS	Susie Lee



APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu
	Plan B Media PCL	XMKTf	PLANB TB	Suppapong Iemkongaek, CMT
	REA Group	RPGRF	REA AU	Sriharsh Singh
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppapong Iemkongaek, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLF	XRO AU	Sriharsh Singh
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo
	Zomato (Eternal)	XMWRF	ETERNAL IN	Sachin Salgaonkar
NEUTRAL				
	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	Delhivery	XDVLF	DELHIVER IN	Sachin Salgaonkar
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Meituan	MPNGF	3690 HK	Joyce Ju
	Ming Yuan Cloud	XWTAF	909 HK	Daley Li, CFA
	NCSOFT	NCSCF	036570 KS	Susie Lee
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar
	PB Fintech	XPFXF	POLICYBZ IN	Sachin Salgaonkar
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	VGI Public Company Limited	XZQHF	VGI TB	Suppapong Iemkongaek, CMT
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCHF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA
UNDERPERFORM				
	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	Nykaa	XQQGF	NYKAA IN	Sachin Salgaonkar
	Ping An Healthcare and Technology	PANHF	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTFD	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSf	300496 CH	Daley Li, CFA
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMOQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki
	Ehang	EH	EH US	Fiona Liang
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	EVE	XEVFF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hesai	HSAL	HSAL US	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQMWF	600699 CH	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Nexteer	NTXVF	1316 HK	Fiona Liang
	NHK Spring	NHKGf	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	SAIC Motor	XZNJF	600104 CH	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	XEVWF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Yikai Liu, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA
NEUTRAL	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki



APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Astra International	PTAIF	ASII J	Jessie Lo
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hino Motors	HINOF	7205 JP	Shiro Sakamaki
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	MeiDong Auto	CMEIF	1268 HK	Joey Yang, CFA
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTFW	NIO SP	Ming Hsun Lee, CFA
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	Yadea	YADGF	1585 HK	Joey Yang, CFA
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang
UNDERPERFORM				
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	Desay SV	XGDFF	002920 CH	Joey Yang, CFA
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Cycle & Carriage	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Wencan	XSCDF	603348 CH	Joey Yang, CFA
	Yongda	CYYHF	3669 HK	Joey Yang, CFA

APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Adicon Holdings	ADCNF	9860 HK	David Li
	Aier Eye Hospital	XAEOF	300015 CH	David Li
	Angelalign Technology Inc	AGLFF	6699 HK	David Li
	Apollo Hospital	XWQAF	APHS IN	Neha Manpuria
	Astellas Pharma	ALPMF	4503 JP	Koichi Mamegano
	Astellas Pharma	ALPMY	ALPMY US	Koichi Mamegano
	Aurobindo	XLZFF	ARBP IN	Neha Manpuria
	Australian Clinical Labs	XAUKE	ACL AU	Lynne Harrison
	Baiyunshan	GZPHF	874 HK	Sandra Sun
	Bangkok Chain Hospital	BKKFF	BCH TB	Teerapol Udomvej, CFA
	Bangkok Dusit Medical Services	BDMSF	BDMS TB	Teerapol Udomvej, CFA
	Beijing Tongrentang Co., Limited	BJTGF	600085 CH	David Li
	BeOne Medicines Ltd	BEIGF	6160 HK	David Li
	BeOne Medicines Ltd	ONC	ONC US	David Li



APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Biocon	XLOFF	BIOS IN	Neha Manpuria
	Bumrungrad Hospital	BUHHF	BH TB	Teerapol Udomvej, CFA
	Cansino Bio	CASBF	6185 HK	David Li
	Chularat Hospital Group	XOCOF	CHG TB	Teerapol Udomvej, CFA
	CR Pharmaceutical	CRPGF	3320 HK	David Li
	CSL Limited	CMXHF	CSL AU	Lianne Harrison
	CSL Limited	CSLLY	CSLLY US	Lianne Harrison
	Daiichi Sankyo	DSKYF	4568 JP	Koichi Mamegano
	Daiichi Sankyo	DSNKY	DSNKY US	Koichi Mamegano
	Divis Laboratories	XXQPF	DIVI IN	Neha Manpuria
	Dr. Reddy's	XDLZF	DRRD IN	Neha Manpuria
	Dr. Reddy's	RDY	RDY US	Neha Manpuria
	Giant Biogene	GBHCF	2367 HK	Ethan Cui
	Gland Pharma	XGLPF	GLAND IN	Neha Manpuria
	Gushengtang	GSHTF	2273 HK	David Li
	Hansoh	HNSPF	3692 HK	David Li
	Huadong Medicine	XCPDF	000963 CH	Ethan Cui
	Hualan Biological	XCBEF	002007 CH	Ethan Cui
	Hygeia Healthcare	HYHHF	6078 HK	Ethan Cui
	IHH Healthcare Berhad	IHHHF	IHH MK	Neha Manpuria
	IHH Healthcare Bhd	XFAHF	IHH SP	Neha Manpuria
	Imeik	ZMITF	300896 CH	Ethan Cui
	Innovent	IVBXF	1801 HK	David Li
	Integral Diagnostics	ITGDF	IDX AU	Lianne Harrison
	Jinxin Fertility	JXGFG	1951 HK	Ethan Cui
	Jinyu Bio-Tech	XMTDF	600201 CH	David Li
	JMDC	JMDCF	4483 JP	Ritsuo Watanabe
	Medley	XEQNF	4480 JP	Ritsuo Watanabe
	MicroPort	MCRPF	853 HK	Sandra Sun
	Mindray	XDVVF	300760 CH	Sandra Sun
	Nxera Pharma	SOLTF	4565 JP	Koichi Mamegano
	Otsuka HD	OTSKF	4578 JP	Koichi Mamegano
	Otsuka HD	OTSKY	OTSKY US	Koichi Mamegano
	Pharmaron	PHBBF	3759 HK	David Li
	Polynovo	CALZF	PNV AU	Lianne Harrison
	Praram 9 Hospital	XPNHF	PR9 TB	Teerapol Udomvej, CFA
	ResMed Inc	RSMDF	RMD AU	Lianne Harrison
	ResMed Inc.	RMD	RMD US	Lianne Harrison
	Santen Pharm.	SNPHF	4536 JP	Koichi Mamegano
	Sawai Group Holdings	SWGHE	4887 JP	Ritsuo Watanabe
	Shanghai Pharmaceuticals	SHPMF	2607 HK	David Li
	Shanghai United Imaging	XCAOF	688271 CH	Sandra Sun
	Shimadzu	SHMZF	7701 JP	Ritsuo Watanabe
	Shionogi	SGIOF	4507 JP	Koichi Mamegano
	Shionogi	SGIOY	SGIOY US	Koichi Mamegano
	Sigma Healthcare	SIGGF	SIG AU	Lianne Harrison
	Sino Biopharm	SBMFF	1177 HK	David Li
	Sinopharm	SHTDF	1099 HK	David Li
	Sonic Healthcare Limited	SKHCF	SHL AU	Lianne Harrison
	Sysmex	SSMXF	6869 JP	Ritsuo Watanabe
	Takeda Pharm.	TKPHF	4502 JP	Koichi Mamegano
	Takeda Pharm.	TAK	TAK US	Koichi Mamegano
	Terumo	TRUMF	4543 JP	Ritsuo Watanabe
	TigerMed	HTMDF	3347 HK	David Li
	Torrent Pharma	TOPHF	TRP IN	Neha Manpuria
	Wuxi Apptec	WUXIF	2359 HK	David Li
	Wuxi Apptec	XLUHF	603259 CH	David Li
	Yunnan Baiyao	YBAIF	000538 CH	Sandra Sun
	Zhifei	XCHOF	300122 CH	David Li
NEUTRAL				
	Alkem	XAMLF	ALKEM IN	Neha Manpuria
	Asahi Intecc	AHICF	7747 JP	Ritsuo Watanabe
	Chugai Pharm.	CHGCF	4519 JP	Koichi Mamegano
	Cochlear Limited	CHEOF	COH AU	Lianne Harrison
	EBOS Group Limited	EBOSF	EBO NZ	Lianne Harrison



APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	EBOS Group Limited	XBOF	EBO AU	Lyanne Harrison
	Everest Medicine	XMLKF	1952 HK	David Li
	Fisher & Paykel Healthcare	XPAXF	FPH AU	Lyanne Harrison
	Fisher & Paykel Healthcare	FSPKF	FPH NZ	Lyanne Harrison
	Fortis Health	XFFT	FORH IN	Neha Manpuria
	Fujifilm Holdings	FUJIF	4901 JP	Ritsuo Watanabe
	FUJIFILM Holdings	FUJIY	FUJIY US	Ritsuo Watanabe
	Kelun-Biotech	XSKBF	6990 HK	David Li
	Kyowa Kirin	KYKOF	4151 JP	Koichi Mamegano
	Lupin	XEFSF	LPC IN	Neha Manpuria
	M3	MTHRF	2413 JP	Ritsuo Watanabe
	Max Healthcare	XMHLF	MAXHEALT IN	Neha Manpuria
	New Industries Biomedical Engineering	XSNQF	300832 CH	Sandra Sun
	PHC Holdings	PHCCF	6523 JP	Ritsuo Watanabe
	Ramsay Health Care Limited	RMSYF	RHC AU	Lyanne Harrison
	Topchoice Medical	XZDXF	600763 CH	Ethan Cui
	WuXi Biologics	WXIBF	2269 HK	David Li
	Zai Lab	ZLAB	ZLAB US	David Li
	Zai Lab	XCDZF	9688 HK	David Li
	Zydus Lifesciences	XMQLF	ZYDUSLIF IN	Neha Manpuria

UNDERPERFORM

	Ain Holdings	AINPF	9627 JP	Ritsuo Watanabe
	Asymchem Laboratories	XALPF	002821 CH	David Li
	Autobio Diagnostics Co Ltd	XQDXF	603658 CH	Sandra Sun
	Baiyunshan	XOUFF	600332 CH	Sandra Sun
	Beijing Wantai Biological Pharmacy	XBHIF	603392 CH	David Li
	Cipla	XCLAF	CIPLA IN	Neha Manpuria
	CSPC Pharmaceutical	CHJTF	1093 HK	Ethan Cui
	Eisai	ESALF	4523 JP	Koichi Mamegano
	Frontage	FGHQF	1521 HK	David Li
	Healius Limited	PHCRF	HLS AU	Lyanne Harrison
	Hengrui Medicine	XMOKF	600276 CH	David Li
	Joynn Lab	XQTSF	6127 HK	David Li
	Joynn Lab	JOLCF	603127 CH	David Li
	Mankind Pharma	XDXZF	MANKIND IN	Neha Manpuria
	Medipal Holdings	MEPDF	7459 JP	Ritsuo Watanabe
	Olympus Corp.	OCPNF	7733 JP	Ritsuo Watanabe
	Ono Pharm.	OPHLF	4528 JP	Koichi Mamegano
	Ovctek	XOCKF	300595 CH	David Li
	Pharmaron	XYLGF	300759 CH	David Li
	Pien Tze Huang	XUVHF	600436 CH	Sandra Sun
	Shanghai Pharmaceuticals	XKCRF	601607 CH	David Li
	SMS	SMSZF	2175 JP	Ritsuo Watanabe
	Sun Pharma	XPUCF	SUNP IN	Neha Manpuria
	TigerMed	XHTHF	300347 CH	David Li
	Yifeng Pharmacy	XYHCF	603939 CH	Ethan Cui

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Autos Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	67	58.26%	Buy	28	41.79%
Hold	25	21.74%	Hold	11	44.00%
Sell	23	20.00%	Sell	10	43.48%

Equity Investment Rating Distribution: Electrical Equipment Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	15	57.69%	Buy	6	40.00%
Hold	6	23.08%	Hold	4	66.67%
Sell	5	19.23%	Sell	1	20.00%



Equity Investment Rating Distribution: Electronics Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	28	48.28%	Buy	12	42.86%
Hold	16	27.59%	Hold	5	31.25%
Sell	14	24.14%	Sell	6	42.86%

Equity Investment Rating Distribution: Health Care Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	213	56.50%	Buy	107	50.23%
Hold	87	23.08%	Hold	43	49.43%
Sell	77	20.42%	Sell	28	36.36%

Equity Investment Rating Distribution: Industrials/Multi-Industry Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	51	54.84%	Buy	25	49.02%
Hold	18	19.35%	Hold	10	55.56%
Sell	24	25.81%	Sell	13	54.17%

Equity Investment Rating Distribution: Machinery/Diversified Manufacturing Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	39	59.09%	Buy	16	41.03%
Hold	12	18.18%	Hold	7	58.33%
Sell	15	22.73%	Sell	8	53.33%

Equity Investment Rating Distribution: Technology Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	208	54.03%	Buy	106	50.96%
Hold	97	25.19%	Hold	44	45.36%
Sell	80	20.78%	Sell	23	28.75%

Equity Investment Rating Distribution: Telecommunications Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	56	53.33%	Buy	36	64.29%
Hold	23	21.90%	Hold	15	65.22%
Sell	26	24.76%	Sell	15	57.69%

Equity Investment Rating Distribution: Utilities Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	77	48.43%	Buy	58	75.32%
Hold	38	23.90%	Hold	31	81.58%
Sell	44	27.67%	Sell	21	47.73%

Equity Investment Rating Distribution: Global Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1869	53.99%	Buy	1069	57.20%
Hold	834	24.09%	Hold	481	57.67%
Sell	759	21.92%	Sell	383	50.46%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. **VOLATILITY RISK RATINGS**, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. **INVESTMENT RATINGS** reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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